2024

ANNUAL REPORT





His Majesty Sultan Haitham bin Tariq

BOARD Of GOVERNORS



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FOREWORD

The Omani economy continued to expand in 2024, demonstrating its resilience amid elevated global uncertainty and geopolitical developments. The Government advanced further on its comprehensive reform agenda, guided by the wise leadership and strategic vision of His Majesty Sultan Haitham bin Tarik. This progress was reflected in the realization of significant achievements that reinforced efforts in financial and monetary stability, and supporting economic activity in the country.

As the Central Bank of Oman (CBO) marked its 50th anniversary, it remained steadfast in its mandates, focusing on safeguarding financial stability, strengthening monetary and regulatory frameworks, supporting economic growth, and contributing to the advancement of the financial sector through innovative policies and cutting-edge digital services— all aligned with global trends and future needs.

The 2024 Annual Report highlights the key achievements made during the year. It provides a comprehensive analysis of macroeconomic developments in the Sultanate of Oman, including the real sector, public finance, external sector, and financial sector in 2024, along with economic outlooks and developments.

Real GDP expanded by 1.6 percent in 2024, boosted by stronger non-hydrocarbon sector performance. The non-hydrocarbon sector grew by 3.5 percent in 2024 on the back of expansions in manufacturing and services. Looking ahead, non-hydrocarbon growth is set to accelerate over the medium term supported by large-scale investments from the local and foreign private sector as well as expectations of increasing demand for local products in the global market. Inflationary conditions continued to remain low during the year.The exchange rate peg has been instrumental in delivering low and stable inflation, serving as an appropriate nominal anchor in light of Oman's economic structure. Confidence in Oman's longer-term growth prospects continued to improve on the back of the Government's commitment to reforms. The Government's continued focus to optimize expenditure through subsidy rationalization is an important step in strengthening Oman's fiscal position. Fiscal balances recorded healthy surplus of 1.3 percent of GDP in 2024, while public debt declined significantly compared to the previous year. Spillovers from regional conflicts were limited.

The external position remained robust in 2024, supported by favorable oil prices, growth in non-oil exports, the government's rationalization of current and capital expenditures, and attraction of more foreign direct investments. These factors contributed to the current account reaching a surplus of 2.9 percent of GDP in 2024.

The banking sector has continued to meet the needs and demands of Oman's economic development. The banking sector remained stable and sound with licensed banks consistently maintaining robust capital positions with capital adequacy ratio of 18.2 percent at the end of 2024. This not only underscores their stability but also illustrates their capacity to withstand economic and financial shocks. Importantly, strong capital and liquidity buffers have remained critical to preserve banks' resilience, as well as public and investor confidence, despite global elevated uncertainty. Importantly, the sector continues to step up efforts to embrace digitalization. Significantly, the CBO has implemented various regulatory and technological initiatives to promote financial innovation, enhance payment systems, and facilitate a transition towards a more digital society. These efforts are supported by initiatives to modernize infrastructure and processes across the sector.

Sustainability also remains a key priority for the CBO. In line with Oman's net zero 2050 strategy the CBO has directed banking sector to integrate climate considerations into regulatory and supervisory frameworks. This includes advancing sustainable and green financial practices to enhance resilience to environmental risks. Such initiatives pave the way for banks to significantly revamp their strategies, governance, credit allocation, as well as risk management practices to ensure a sustainable future and to actively facilitate investing in green projects.

Lastly, I would like to express our deep appreciation to all CBO staff members for their commitment and high-quality output. I also sincerely acknowledge the steadfast support that CBO receives from the government authorities, banking sector, non-banking financial institutions, and other institutions to efficiently implement its various responsibilities. I am also thankful to the Board of Directors of the CBO for their invaluable support and guidance. Looking ahead, I am confident that the CBO will continue to remain committed to policies and initiatives that underpin financial stability and promote sustainable economic growth and development.

Ahmed Al Musalmi
Governor

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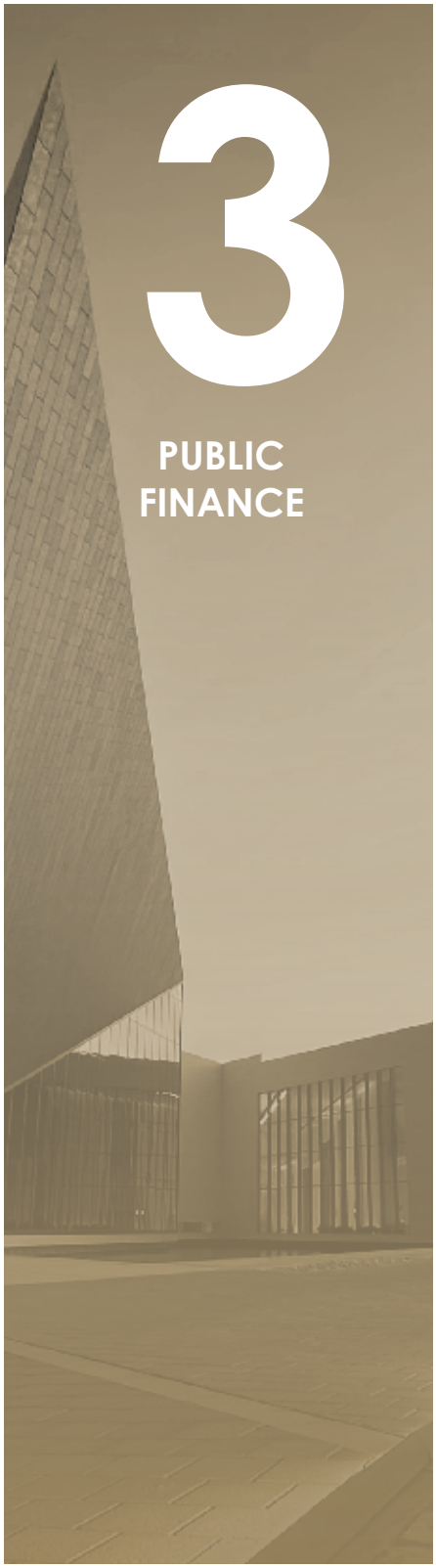
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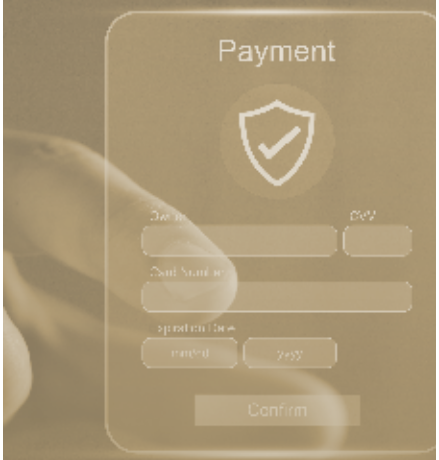






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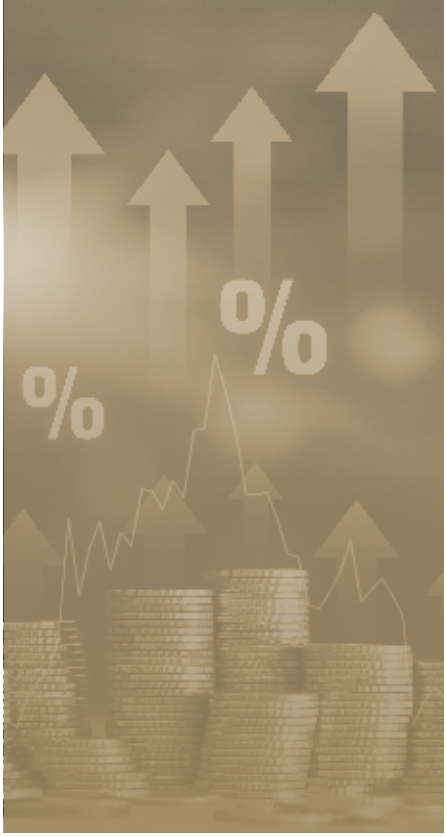
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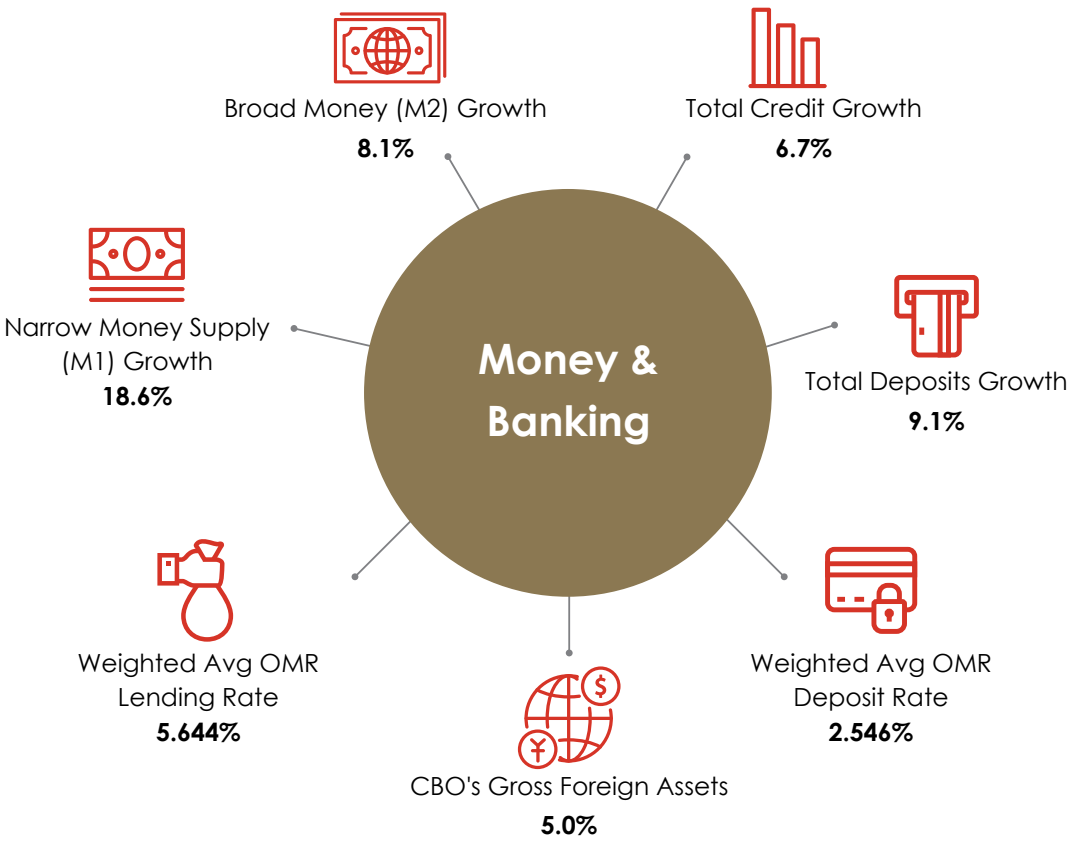


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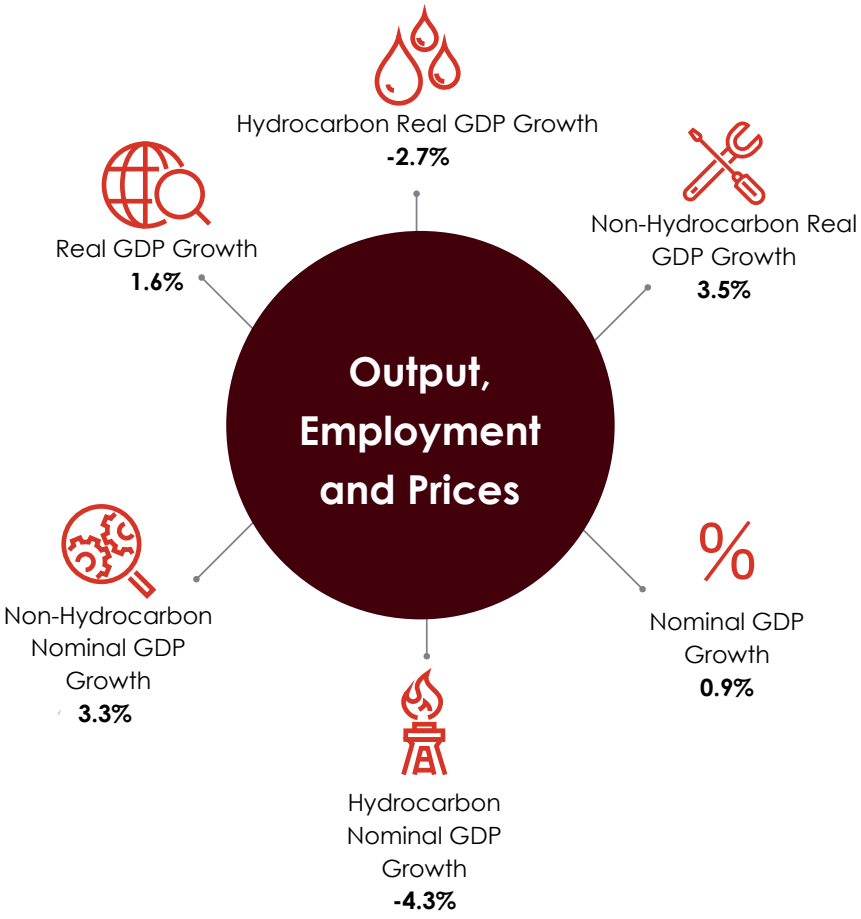


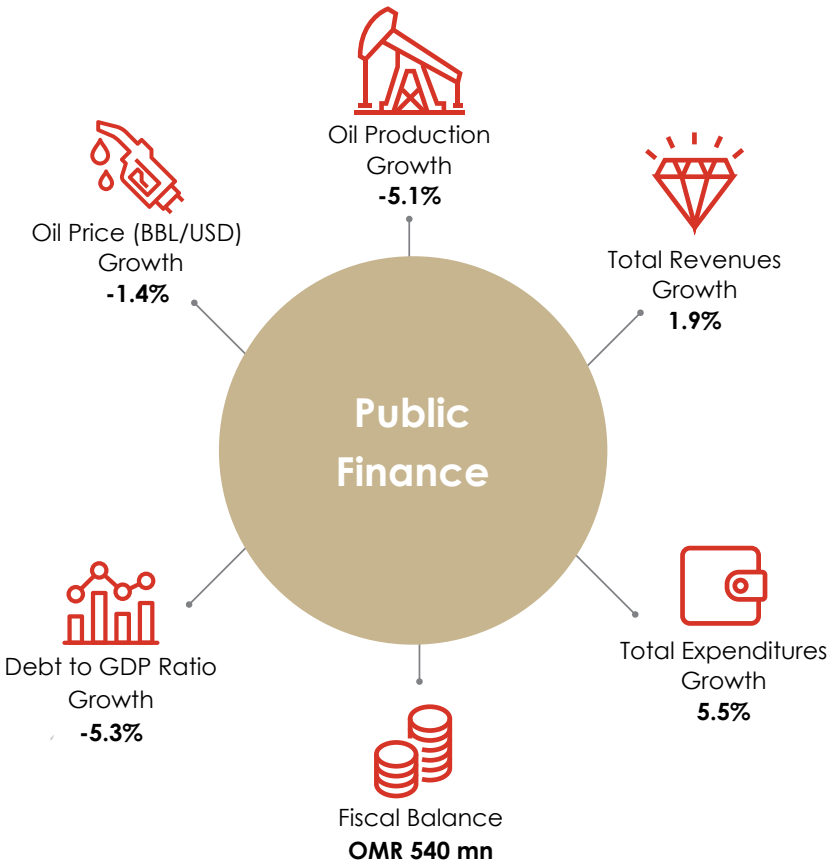
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Macroeconomic Indicators at a Glance 2024





CHAPTER 1

CURRENT ASSESSMENT AND MACROECONOMIC OUTLOOK





ANNUAL REPORT 2024

The global economy remained stable in 2024, despite earlier concerns of a widespread slowdown. These concerns were largely fueled by the aggressive monetary policy tightening undertaken by central banks starting in March 2023, alongside geopolitical tensions and supply chain disruptions. As the year progressed, economic activity strengthened, supported by resilient labor markets, and a gradual shift toward more accommodative monetary policy. Global trade also gained momentum amid improving demand. However, the recovery was not without setbacks— heightened geopolitical tensions and ongoing trade frictions led to periodic disruptions, particularly affecting shipping routes in the Red Sea.

Throughout the year, major central banks remained committed to reducing inflation, with notable progress in the global disinflation process. As the lagged effects of earlier monetary tightening become more apparent, many countries experienced significant decline in inflation. Lower global commodity prices and improved supply chain conditions also contributed to this trend, allowing central banks to gradually ease policy and leading to a softening of global financial conditions in the latter half of 2024.

Despite these challenges, the Omani economy delivered strong growth in 2024, driven by the Government's reform agenda and the continued expansion of the non-hydrocarbon sector. Inflation remained low, underpinned by well-coordinated monetary and fiscal policies. Fiscal and external balances posted surpluses in 2024, and public debt continued its declining path. Oman's sovereign credit rating was upgraded to investment grade. The banking sector remained highly liquid and well capitalized. Backed by sound macroeconomic fundamentals, the domestic environment in 2024 provided a strong platform to advance the next phase of structural transformation under Oman Vision 2040. Looking ahead, Oman remains focused on deepening regulatory reforms, and building a more dynamic, private sector-led economy, to position itself as a resilient and competitive force in the region.

Against this backdrop, this chapter outlines the economic developments during 2024 in the Sultanate of Oman and the outlook for 2025.



Global Developments in 2024

The global economy remained broadly stable in 2024, though performance varied across countries. In many regions, inflation declined faster than expected, supported by generally accommodative global financial conditions. This overall stability reflects resilience despite ongoing challenges, including elevated services inflation, which continues to complicate the path toward monetary policy normalization. Additional pressures came from geopolitical tensions and structural issues such as aging populations and sluggish productivity growth.

According to the International Monetary Fund's (IMF) April 2025 World Economic Outlook (WEO), global economic growth was estimated at 3.2 percent in 2024, compared to 3.3 percent in 2023. Advanced economies (AEs) grew by 1.8 percent, while emerging and developing economies (EMDEs) expanded by 4.3 percent in 2024. However, this growth occurred against the backdrop of geopolitical risks, rising supply chain distortions, and increased use of trade-restrictive measures, all of which pose risks to growth prospects—particularly for EMDEs.

Global trade growth remained modest in 2024, with the volume of world trade increasing by 3.8 percent, up from 1.0 percent in 2023. Trade performance was constrained by persistent geopolitical tensions and rising policy uncertainty, which continued to strain the multilateral trading system. The ongoing trend of geoeconomic fragmentation raises concerns about further restrictions on the movement of goods, capital, technology, and labor, posing risks to global collaboration. Global trade growth is expected to slow down in 2025 to 1.7 percent reflecting increased tariff restrictions affecting trade flows and, to a lesser extent, the waning effects of cyclical factors that have underpinned the recent rise in goods trade.

Global inflation eased significantly to 5.7 percent in 2024 from 6.8 percent in the previous year, and is projected to decline further to 4.3 percent in 2025. In advanced economies (AEs), the inflation fell to 2.6 percent in 2024 from 4.6 percent in 2023, while in EMDEs it decreased to 7.7 percent from 8.0 percent. This moderation was largely due to delayed effects of earlier monetary tightening by central banks, which helped reduce core inflation, alongside improved supply chain conditions and lower energy prices. Advanced economies are expected to return to their inflation targets sooner than emerging markets and developing economies.

The IMF (WEO, April 2025) also placed oil prices at 1.8 percent lower in 2024, and are projected to decline by approximately 15.5 percent in 2025, due to factors such as trade tensions, increased non-OPEC+ supply, and easing of OPEC+ production cuts. The average price of oil –based on a simple average of UK Brent, Dubai Fateh, and WTI crude oil prices– is projected to decrease to $66.94 per barrel in 2025 and further to $62.38 per barrel in 2026.

Domestic Developments in 2024

Oman's economy continued to expand in 2024, demonstrating resilience amid global economic uncertainty and elevated geopolitical tensions. This performance was supported by favorable oil prices, effective policy measures, and ongoing reform efforts. The government's strong focus on fiscal discipline and its economic diversification agenda played a key role in maintaining macroeconomic stability and promoting long-term sustainable growth.

Overall economic expansion was driven by solid growth in non-hydrocarbon activities —particularly in manufacturing, services, and logistics— supported by active project implementation and initiatives to strengthen private sector participation and investment. Inflation eased, reflecting declining transport prices and moderating food prices. Both fiscal and current account balances remained in comfortable surpluses, underpinned by strong hydrocarbon revenues and rising non-oil exports. Importantly, public debt declined significantly from the previous year, reflecting sound debt management practices and improved fiscal performance.

Real GDP expanded by 1.6 percent in 2024, compared with 1.4 percent in 2023, boosted by stronger non-hydrocarbon sector performance. The non-hydrocarbon sector grew by 3.5 percent in 2024 on the back of expansions in manufacturing and services. Looking ahead, non-hydrocarbon growth is set to accelerate over the medium term supported by large-scale private sector investments and rising demand from neighboring countries.

The government's focus on enhancing industrial capacity reflects Oman's ability to advance effective reforms.

Industrial output in real terms rose by 4.2 percent in 2024, reversing a 0.1 percent contraction in 2023. The manufacturing sector expanded significantly by 7.5 percent during the year, electricity and water supply by 6.6 percent, while the construction sector grew by 0.9 percent.

The services sector registered a real output growth of 3.0 percent in 2024. Within this sector, wholesale and retail trade saw the highest growth at 5.3 percent, followed by transport and storage at 4.0 percent. However, accommodation and food services declined by 3.3 percent. Overall, services contributed significantly to non-hydrocarbon sector expansion and remain a key driver of economic diversification.

Inflation in Oman in 2024 was markedly lower than the previous year. A strong Omani Rial, combined with administrative and fiscal measures, helped contain inflation. The average consumer price inflation in Oman was 0.6 percent in 2024, down from 0.9 percent in 2023, reflecting continued declines in transport prices and moderated food prices. Oman's inflation remains among the lowest in the region, supported by sound monetary and fiscal policies.

Oman's fiscal position continued to strengthen in 2024, maintaining a surplus driven by favorable oil prices, prudent policy measures and improved fiscal discipline. The government recorded a fiscal surplus of 1.3 percent of GDP, marking steady progress towards its fiscal consolidation target of achieving fiscal balance by 2025. These efforts, supported by effective debt management, reduced the public debt-to-GDP ratio to 35.0 percent in 2024, down from 37.1 percent in 2023. Continued

fiscal improvements and debt reduction contributed to a stable and positive credit ratings outlook, with Oman's sovereign credit rating upgraded to investment grade, reflecting strengthened macroeconomic fundamentals.

The budget for 2025 assumes an average oil price of US$ 60 per barrel. The fiscal deficit is estimated at OMR 620 million, down 3.1 percent from the 2024 estimate of OMR 640 million, and equivalent to about 1.5 percent of GDP. The deficit is expected to be financed through OMR 220 million in external and domestic borrowing, along with drawing on reserves of OMR 400 million. Continued subsidy and taxation reforms remain a key part of the government's strategy to strengthen fiscal sustainability.

On the financial stability front, Oman's banking sector remained solid, underpinned by strong capital and liquidity buffers and sound asset quality. To preserve this stability, the Central Bank of Oman (CBO) maintained a proactive regulatory stance and effective communication strategy. The CBO also continued to integrate climate-related risks into supervisory and regulatory frameworks. The banking sector continued to align with the needs and demands of economic development, with increased emphasis on digital transformation to improve the delivery of financial services. In 2024, the banking system in Oman showed improved performance with total assets of the banking sector increasing by 6.6 percent to reach OMR 44.6 billion. Total credit increased to RO 32.5 billion in 2024 showing a Y-o-Y growth of 6.7 percent compared to 4.3 in December 2023. This growth in credit was supported by stronger deposit mobilization. Total deposits grew by 9.1 percent, reaching OMR 31.7 billion in 2024 compared to their level in December 2023.

Banking profitability remained healthy, reflecting financial resilience. Gross non-performing loans (NPLs) remained reasonably low, at 4.5 percent as of December 2024. The capital adequacy ratio (CAR) stood at 18.2 percent at the end of 2024 compared to 19.7 percent at the end of 2023. Liquidity conditions of banks remained comfortable, as indicated by regulatory liquidity ratios.
The CBO continued to support economic activity through an accommodative monetary policy, ensuring sufficient liquidity and credit availability in the system. As a result, the banking sector's performance remained in line with overall GDP growth. Although broad money (M2) grew by 8.1 percent in 2024 despite the fall in reserve money, the expansion in M2 reflected stronger money demand driven by ongoing economic recovery. Importantly, this growth was supported by an increase in net foreign assets of the banking system, particularly foreign assets held by other depository corporations.

The exchange rate peg has been instrumental in delivering low and stable inflation, serving as an appropriate nominal anchor in light of Oman's economic structure. The CBO's monetary policy and liquidity management operations in 2024 were shaped by the need to support domestic economic activity and by the accommodative monetary stance of the US Federal Reserve. Amidst these developments, CBO lowered its policy rate to reach 5.145 percent by the end of December 2024.

The average overnight inter-bank rate declined to 5.047 percent in December 2024 from 5.255 percent in December 2023. The decline in money market rates in 2024 is attributed to the cut in repo rate by the CBO and easing liquidity conditions in the second half of 2024.



The rate cut by the CBO, however, did not fully pass-through to lending rates by banks, due to low monetary policy transmission and strong demand for credit.

The external position remained robust in 2024, supported by favorable oil prices, growth in non-oil exports, the government's rationalization of current and capital expenditures, and attraction of various foreign direct investments (FDI). These factors contributed to the current account reaching a surplus of 2.9 percent of GDP in 2024. The services account widened by 7.7 percent in 2024, due to higher freight and insurance costs, steady outbound travel, and increased regional insurance claims. The primary income account deficit widened by 5.6 percent in 2024, mainly driven by increased dividend distributions from corporates and higher returns on equity assets. While, in the secondary income account, worker remittances remained stable in 2024, in line with the economy's demand for foreign labor, and partly due to a growing inclination among Omanis toward private-sector employment. As a result, the current account posted a surplus of OMR 1,180 million in 2024, compared to OMR 935.7 million in 2023. Meanwhile, the financial account recorded a higher net outflow of OMR 808.7 million in 2024 as compared with the outflow of OMR 539.4 million, reflecting net inflows in direct investments, while portfolio investments and other investments experienced net outflows during 2024.

Macroeconomic Outlook 2025

The global economic environment in 2025 is expected to experience moderate but uneven growth amid persistent structural and geopolitical developments. While the world economy showed signs of resilience in 2024, the momentum is projected to soften slightly in 2025, with global growth estimated at 2.8 percent, down from 3.2 percent in 2024 (IMF WEO April 2025). The deceleration reflects the lingering effects of elevated interest rates, trade fragmentation, and ongoing geopolitical tensions which continue to weigh on investor confidence and global supply chains. Advanced economies are projected to see subdued growth, averaging around 1.4 to 1.5 percent in 2025, due to the cumulative impact of monetary tightening, weak investment activity, and softening consumer demand. These trends reflect the delayed effects of high interest rates on borrowing costs, waning post-pandemic fiscal support, and increased economic uncertainty, which have collectively dampened business confidence and household spending. In contrast, emerging markets and developing economies are expected to account for the bulk of global expansion, with projected growth of around 3.7 to 3.9 percent, driven by stronger domestic demand, investment in infrastructure, and increased export competitiveness, particularly in Asia and the Middle East.

Inflationary pressures have eased globally due to tighter monetary policy and improved supply-side dynamics. Global headline inflation is expected to decline from 5.8 percent in 2024 to 4.2 percent in 2025, and further to 3.5 percent in 2026. This downward trajectory reflects falling energy and food prices, normalization of global supply chains, and disinflationary monetary stances adopted by major central banks. Nonetheless, inflation is anticipated to remain above central bank targets in many economies, especially in emerging and developing markets, where structural rigidities, weaker currencies, and ongoing food and fuel price volatility may continue to exert upward pressure on consumer prices. In advanced economies, inflation is expected to gradually converge toward target ranges by late 2025 or early 2026, barring any renewed external shocks.

One of the main downside risks to the global outlook in 2025 stems from escalating trade tensions and a resurgence of protectionist measures. The re-emergence of trade frictions—particularly between major economies such as the United States and China—has led to increased tariffs on strategic goods, disruptions to global supply chains, and uncertainty around trade policy. These dynamics have raised costs for businesses, reduced trade flows, and created inefficiencies in resource allocation. In particular, restrictions on critical technologies and retaliatory tariffs have contributed to a more fragmented and less predictable trade environment. Combined with heightened geopolitical uncertainty and financial market volatility, these developments could amplify inflationary pressures and dampen the pace of global recovery.

The macroeconomic outlook for Oman in 2025 remains broadly positive, supported by stable progress in structural reforms, FDI attraction and continued government support for strategic economic sectors for diversification.

According to the CBO's macro-projections model, Oman's real GDP growth is projected to grow by 2.9 percent in 2025, following a 1.7 percent growth in 2024, driven by non-hydrocarbon activities.

Non-hydrocarbon growth is expected to be the larger contributor to growth in 2025, posting a growth of 3.3 percent. Sectors such as services and industrial activities are expected to retain momentum and provide most of the impetus to such growth. Finally, inflation is projected to remain low in 2025, averaging around 0.8 percent, following the real GDP growth figures, stable currency peg and lower imported inflation.

Fiscal and external positions are expected to turn to small deficits, following the surpluses achieved in 2024, largely due to lower oil prices in 2025, resulting in gross government debt inching up to 36 percent of GDP. Similarly, the current account balance is expected to reach a deficit of 1.5 percent of GDP in 2025, compared to a surplus of 2.9 percent in 2024.



As the 10th Five-Year Development Plan (2021–2025) concludes in 2025, Oman has made notable strides in achieving its strategic objectives under Vision 2040. The plan marked a key milestone in advancing economic diversification and driving institutional reform. Non-oil sectors recorded steady growth, supported by increased private sector participation and rising foreign investment. Fiscal consolidation measures focused on improving the efficiency of public spending. Social development also advanced, with improvements in education, healthcare, and social protection systems. Institutional reforms strengthened governance, and improved public sector performance.

In terms of sectorial growth support, the CBO introduced a key initiative in 2025 aimed at directing bank lending toward priority economic sectors. Under this initiative, all licensed banks are required to meet specific financing targets for strategically important sectors such as agriculture, fisheries, mining, logistics, tourism, and renewable energy. The objective is to align financial sector activity with national development priorities, stimulate economic diversification, and support job creation. The CBO offers regulatory incentives, such as capital relief measures, for banks that meet the prescribed targets.

In 2025, Oman modernized its banking regulatory framework through Royal Decree No. 2/2025, which introduced a comprehensive New Banking Law. This legislation aligns with international best practices and aims to enhance the resilience, transparency, and competitiveness of the financial sector. Key features of the new law include greater flexibility in regulation of emerging financial activities and technologies as well as provisions for the use of risk-based supervisory tools to enhance the effectiveness of oversight activities

Notably, optimism in Oman's longer-term growth prospects remains favorable on the back of the Government's commitment to reforms— despite elevated global uncertainty and potential downside risks. Structural reforms under Oman Vision 2040 are expected to continue enhancing economic resilience and inclusive growth. Advancements in areas related to economic diversification, private sector development, job creation and digital transformation have been yielding solid medium-term growth.

CHAPTER 2

OUTPUT, EMPLOYMENT AND PRICES





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Economic activity in Oman remained resilient in 2024, supported by strong growth in the non-hydrocarbon activities, steady implementation of major projects, and continued progress on economic diversification. The Government maintained its commitment to macroeconomic stability through prudent policies, and strengthened regulatory frameworks that promote private sector development and investment. Inflation remained low, largely due to reduced transport costs and easing food price pressures. Fiscal and external balances recorded healthy surpluses in 2024, while public debt declined significantly compared to the previous year. Spillovers from regional conflicts were limited.

Throughout the year, Oman advanced its labor market through targeted reforms and strategic investments. Employment growth was driven by large-scale projects, enhanced labor mobility, and increased female workforce participation. Wage structures have become more closely aligned with productivity, while skill-building efforts have focused on IT and digital technologies. These initiatives, aligned with Oman Vision 2040, are designed to expand job opportunities for Omanis nationals across key sectors.

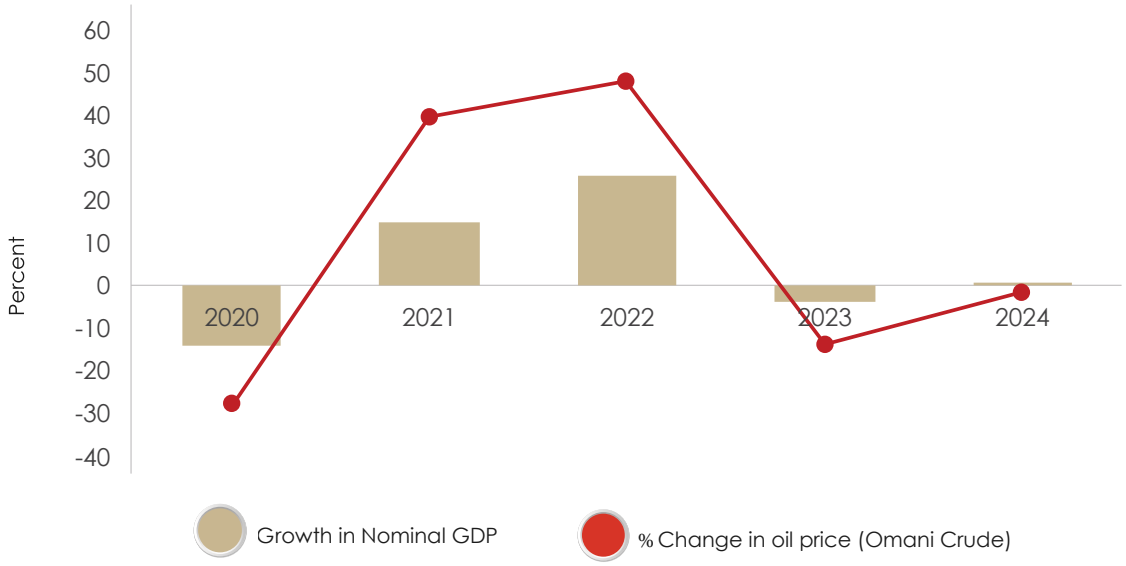
Overall, Oman's economy remains on a solid footing despite global uncertainty relating to shifting trade policies and heightened financial market volatility. Against this backdrop, this chapter outlines key developments in output, employment, and prices in the Sultanate of Oman during 2024.

Output

The Omani economy recorded nominal growth of 0.9 percent in 2024, recovering from a 3.3 percent contraction in 2023 (Chart 2.1 and Table 2.1). This improvement was primarily driven by the stronger non-hydrocarbon growth, which expanded by 3.3 percent. Growth in non-hydrocarbon activities was largely driven by a 4.4 percent increase in industrial output and a 2.5 percent rise in the services sector. As a result, the share of non-hydrocarbon sector in nominal gross domestic product (GDP) increased to 68.2 percent in 2024 from 66.7 percent in 2023, reflecting the government's broad-based efforts to advance economic diversification.

In contrast, the hydrocarbon sector contracted by 4.3 percent in 2024. Although natural gas output posted notable gains, the overall decline was primarily driven by a 5.4 percent reduction in average daily crude oil production. Oil prices also eased slightly over the year, albeit modestly, posting a decline of 1.4 percent. In the wake of these developments, the hydrocarbon sector's share of nominal GDP fell to 34.6 percent in 2024, down from 36.4 percent in the previous year.

Chart 2.1 : Nominal GDP Growth & Change in Oil Prices



Hydrocarbon Sector

Despite a recent decline in its share of GDP, the hydrocarbon sector remains the cornerstone of the Omani economy, given its close integration with the non-hydrocarbon sector and its substantial contribution to government revenues. Nominal output in the hydrocarbon sector fell by 4.3 percent in 2024, following a 11.4 percent contraction in 2023, primarily due to OPEC+ agreed production cuts and relatively lower oil prices (Chart 2.2). Amid ample spare capacity and rising non-OPEC+ supply, the average oil price declined slightly by 1.4 percent to USD 81.2 per barrel in 2024, down from USD 82.3 in 2023, while oil production decreased by 5.4 percent. As a result, the hydrocarbon sector's share of nominal GDP fell from 36.4 percent in 2023 to 34.6 percent in 2024 (Chart 2.3). Within the sector, nominal output of crude petroleum declined by 5.6 percent in 2024, while natural gas output grew by 4.0 percent during the year (Table 2.1 and 2.2). Accordingly, the share of natural gas in hydrocarbon sector's nominal output increased to 15.4 percent in 2024, up from 14.2 percent in 2023, reflecting both price and production dynamics within the sector.

Chart 2.2: Oil Production and Oil & Non-Oil GDP Growth

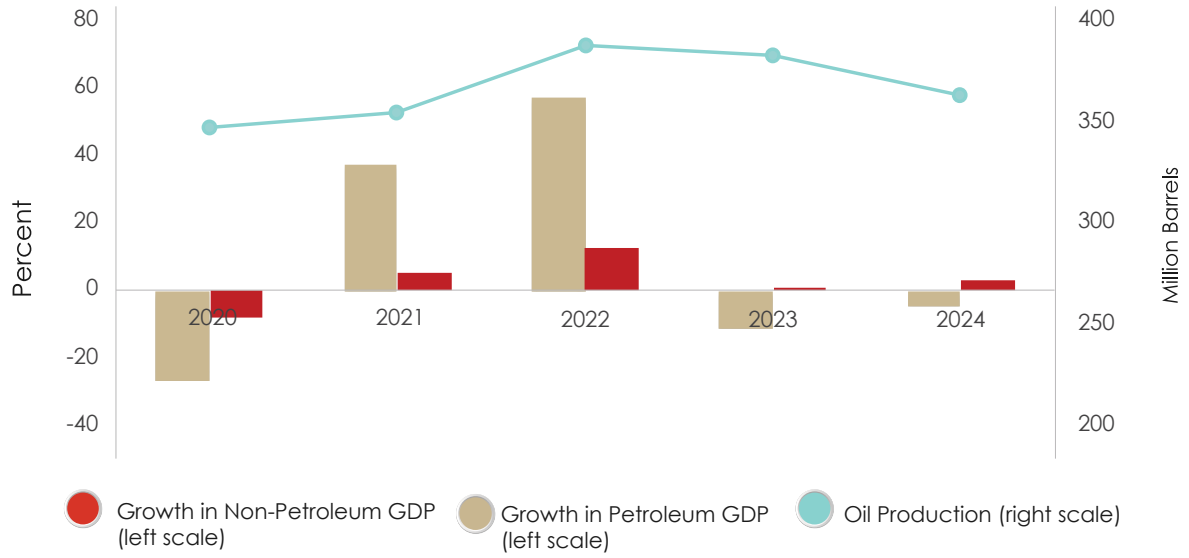
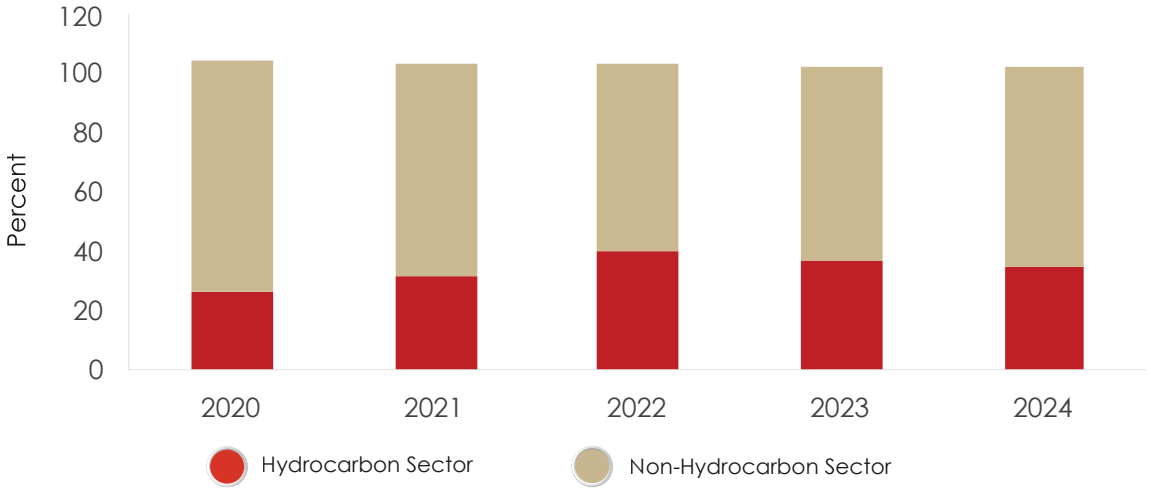


Chart 2.3 : Share of Hydrocarbon and Non-Hydrocarbon Sector in GDP at Current Market Prices



Oil and Gas Production Developments in World Oil Markets

In 2024, the global oil market saw notable fluctuations driven by production adjustments, geopolitical developments, and shifting demand patterns. Looking ahead to 2025, market dynamics are expected to remain influenced by both OPEC+ strategies and non-OPEC supply. Evolving tariff policies have added uncertainty to global oil demand forecasts, contributing to downward pressure on prices over the past year. On the supply side, a potential ceasefire in the Russia-Ukraine conflict could bring additional Russian oil back into the market.

Global oil demand increased from 101.8 mb/d in 2023 to 103.1 mb/d in 2024, while supply rose from 101.5 mb/d in 2023 to approximately 104.7 mb/d over the same period (EIA Short Term Energy Outlook). These supply-demand dynamics, alongside trade tensions, expanded non-OPEC+ output, and the gradual unwinding of OPEC+ production cuts, contributed to a reduction in oil prices in 2024. According to the IMF's April 2025 World Economic Outlook (WEO), oil prices fell by 1.8 percent lower in 2024 compared to 2023, and are expected to decline further by around 15.5 percent in 2025.

The average price of oil— based on the simple average of UK Brent, Dubai Fateh, and WTI crude oil— was $79.17 per barrel in 2024. It is projected to drop to $66.94 per barrel in 2025 and further to $62.38 per barrel in 2026.

Economics of Oil and Gas in Oman

The average Omani oil price decreased slightly by 1.4 percent to USD 81.2 per barrel in 2024, compared to USD 82.3 in 2023, ranging from a low of USD 73.5 in November to a high of USD 89.3 in June. Oil and gas activities accounted for approximately 34.6 percent of nominal GDP in 2024. Revenues from these activities represented about 72.6 percent of total government revenues, up from 71.9 percent in 2023.

Crude Oil Production & Exploration

Average daily oil production declined by 5.4 percent to 992.6 thousand barrels in 2024, bringing total annual production to 363.3 million barrels (Chart 2.4). Condensate production also edged down by 0.2 percent to 85.3 million barrels in 2024. Oman exported 308.4 million barrels of crude oil in 2024, a 0.6 percent decrease compared to 2023.

Oil Exports

Oman's total oil exports slightly declined by 0.6 percent in 2024 to 308.4 million barrels, compared to 310.3 million barrels in 2023. However, the share of oil exports in total production increased to 84.9 percent in 2024 from 81.1 percent in 2023 (Chart 2.5). China remained the largest importer, receiving 290.2 million barrels, an increase of 1.6 percent from 2023, followed by South Korea with 5.8 million barrels, an increase of about 12 percent, followed by Japan with 5.7 million barrels, a decrease of about 39 percent. Exports to India amounted to 3 million barrels in 2024.

Natural Gas

Oman's natural gas production recorded a notable increase of 5.0 percent, reaching 54,612 million cubic meters in 2024, up from 51,996 million cubic meters in 2023. This growth highlights the expansion of the energy sector and Oman's growing role as a key regional supplier. Associated gas accounted for 21.3 percent of total natural gas production in 2024, as against 21.1 percent in 2023, while non-associated gas made up the remaining 78.7 percent (Table 2.8).

Chart 2.4 : Oil Production and Prices

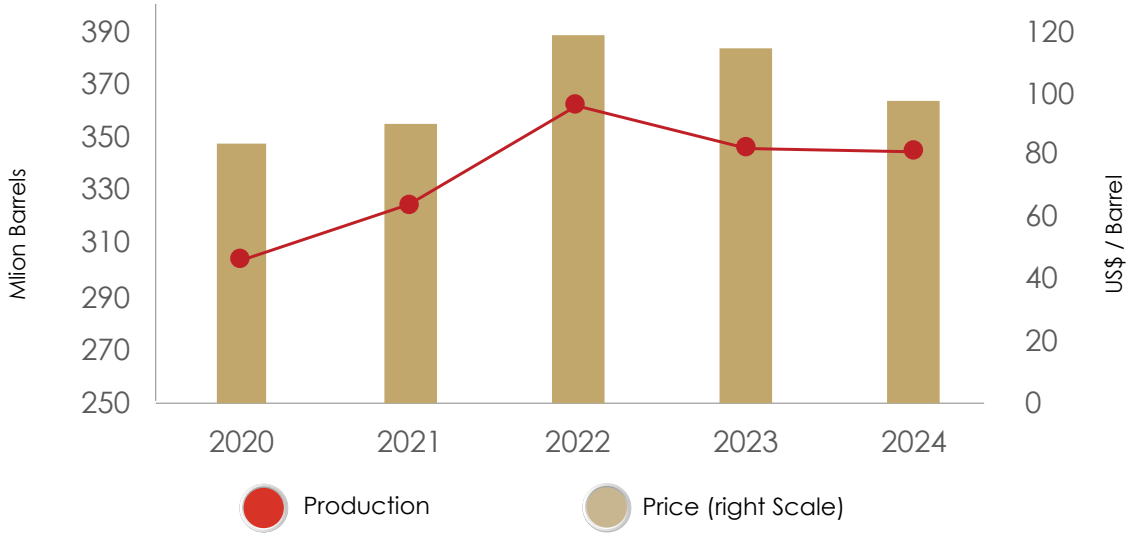


Chart 2.5: Omani Crude Oil Production and Exports

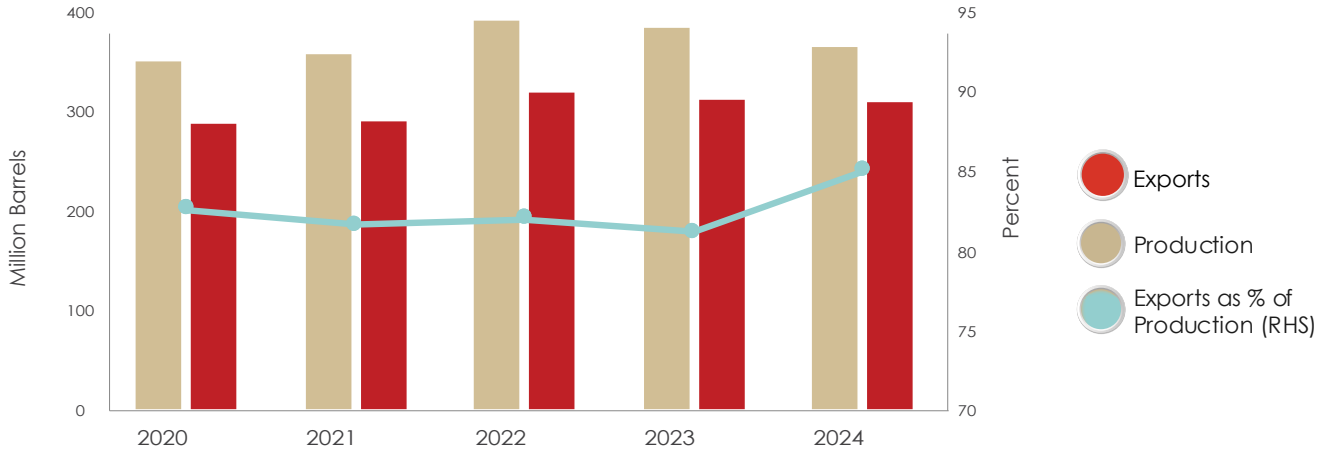
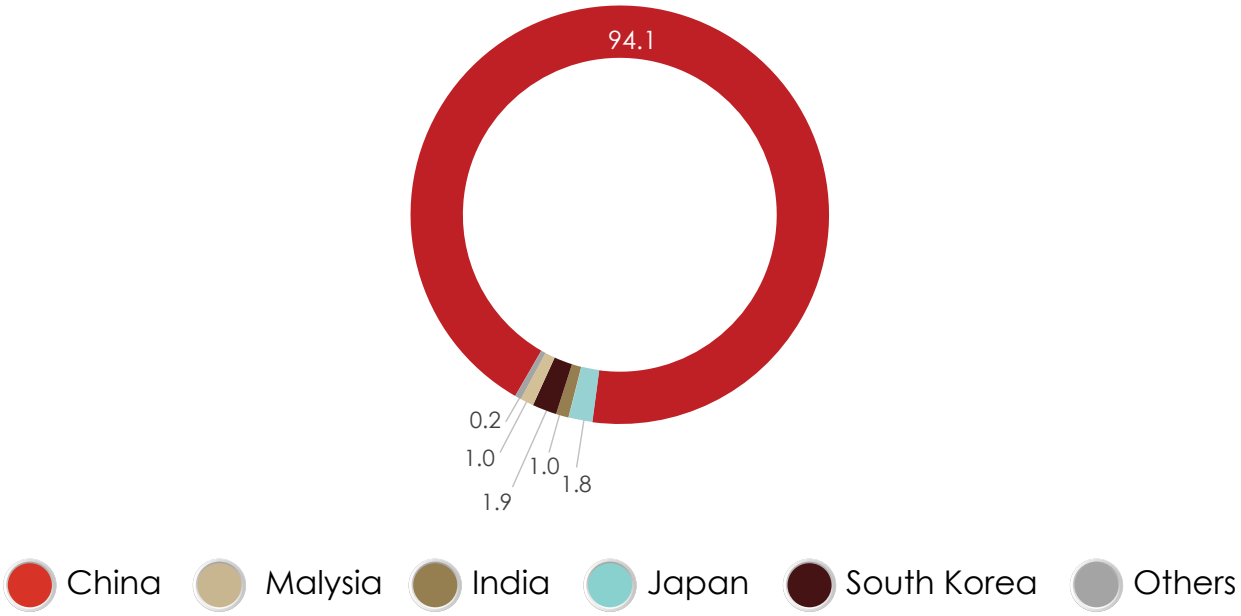


Chart 2.6 Direction of Oil Exports 2024



Non-Hydrocarbon Sector

In recent years, the government's intensified diversification efforts have underscored the growing significance of the non-hydrocarbon sector in the Omani economy. As a result, the pace of non-hydrocarbon sector activities continued to expand in 2024 on the back of expansions in manufacturing, and services. The nominal output from the sector experienced a notable growth of 3.3 percent in 2024 compared to a modest 0.4 percent growth in 2023. Growth was broad-based across various non-hydrocarbon activities, with significant contributions from industrial activities such as manufacturing, and service-related sectors including wholesale and retail trade.

Non-Hydrocarbon Industrial Activities

Nominal output from non-hydrocarbon industrial activities grew by 4.4 percent in 2024, recovering from a 7.3 percent decline in the previous year. This rebound was mainly attributed to a robust 8.0 percent expansion in the manufacturing sector. By contrast, the mining and quarrying sector witnessed contraction of 3.7 percent in 2024 (Chart 2.7 a and b).

Chart 2.7 (a): Sectoral share in Non-hydrocarbon GDP (Current Prices)

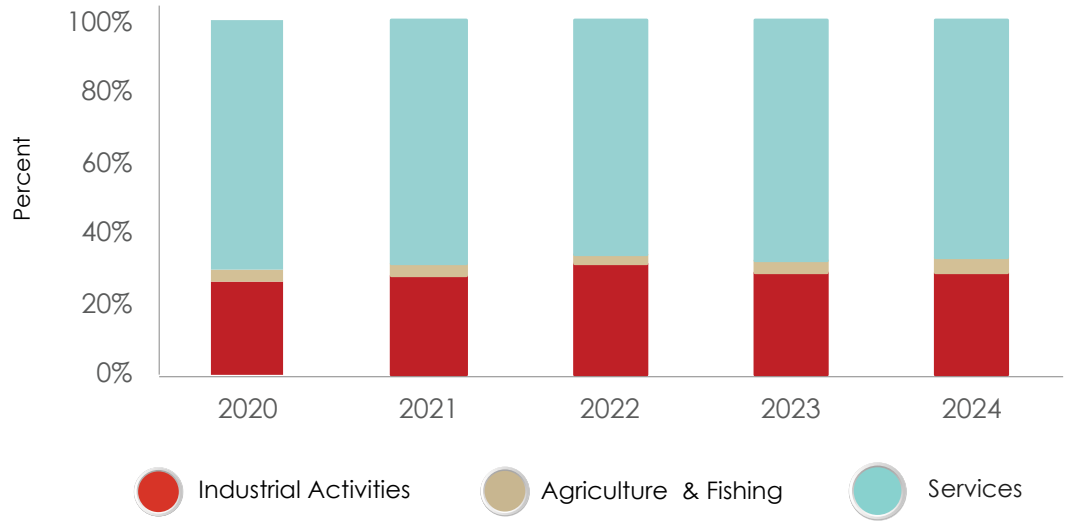
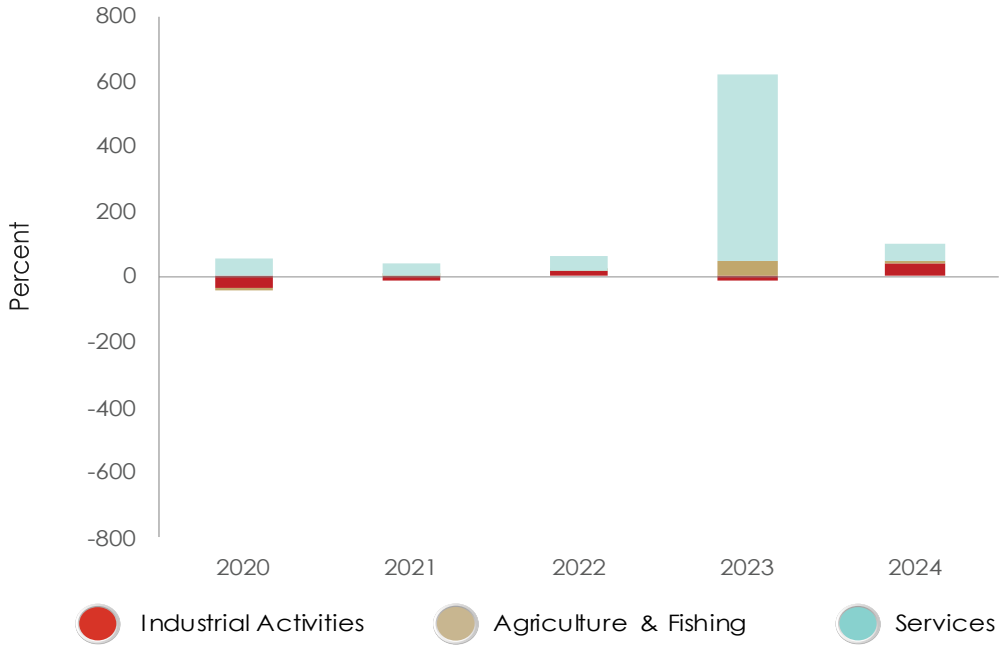


Chart 2.7 (b): Contribution to Incremental Value Addition in Non-hydrocarbon Sector (Real Prices)



Agriculture, Forestry and Fisheries

Nominal output from agriculture, forestry, and fishing grew by 8.7 percent in 2024, down from 10.7 percent in the previous year. Despite the slower growth, the contribution of agriculture, forestry and fishing to total GDP increased to 2.6 percent in 2024, up from 2.4 percent in 2023.

Services

In nominal terms, the services sector witnessed a growth of 2.5 percent in 2024 compared with 3.5 percent a year ago. The share of the services sector in total GDP increased to 46.0 percent in 2024 compared with 45.3 percent in 2023. A disaggregated analysis reveals that all segments of the services sector—except for 'wholesale and retail trade' and education and health—experienced subdued growth in 2024 compared to the previous year, with hotel and restaurants declining by 1.7 percent, financial intermediation by 0.5 percent, and real estate and administrative services by 1.9 percent. In contrast, wholesale and retail trade posted a strong recovery, growing by

5.5 percent after a 0.6 percent contraction in 2023. Growth in health and education also picked up, rising to 5.9 percent, and 3.0 respectively in 2024 from 5.2 percent, and 3.0 percent in the previous year. These gains reflect the sector's resilience and increasing competitiveness in responding to growing domestic demand. Importantly, ongoing economic diversification efforts continue to bolster the sector's expansion through both direct and indirect channels.

GDP at Constant Prices

Oman's real GDP at constant prices (base year 2018) grew by 1.6 percent in 2024, reaching OMR 38.4 billion, up from 1.4 percent in previous year (Table 2.3). This growth was mainly driven by a 3.5 percent expansion in the non-hydrocarbon sector. Within total non-petroleum GDP, agriculture, forestry and fishing activities contributed strongly with 7.2 percent growth, industrial activities with 4.2 percent growth, and the services sector by 3.0 percent. Real output in the hydrocarbon sector contracted by 2.7 percent in 2024, primarily due to OPEC+ agreed production cuts and relatively lower oil prices. Within petroleum activities, crude oil output declined by 4.4 percent, while natural gas output significantly increased by 7.1 percent in 2024. As a result, the share of petroleum sector activities in overall GDP edged down to 31 percent in 2024 from 32.4 percent a year ago.

Industrial output in real terms rebounded in 2024, growing by 4.2 percent in 2024 after a contraction of 0.1 percent in 2023. The manufacturing sector—comprising 43.4 percent of industrial activities—posted a significant growth of 7.5 percent during the year, electricity and water of 6.6 percent, while construction sector expanded by 0.9 percent. However, mining and quarrying declined by and 2.9 percent. With continued government investment in infrastructure, construction activity is expected to strengthen further in the coming period.

The service sector recorded real output growth of 3.0 percent in 2024, compared with 3.3 percent a year ago. Within the services category, wholesale and retail trade recorded the highest growth at 5.3 percent, while transport and storage activities increased by 4.0 percent. In contrast, accommodation and food services activities declined by 3.3 percent during the year.

Employment

In 2024, Oman made significant strides in strengthening its employment landscape through targeted government initiatives and strategic investments. Employment levels continued to rise, bolstered by the implementation of large-scale projects that supported domestic economic growth.

The government maintained its focus on enhancing labor market efficiency by promoting labor mobility, increasing female



participation, and expanding vocational training programs. In addition, wage structures are being increasingly aligned with productivity to improve labor market outcomes.

A key priority has been equipping Omani nationals with the skills needed for future job markets, particularly in information technology, transformative technologies, and digitalization. These efforts form part of a broader strategy to prepare the workforce for the demands of a rapidly changing economy. In line with Oman Vision 2040, a broad set of initiatives have been introduced to create high-quality, skilled employment opportunities for Omanis across both the public and private sectors.

Building on this momentum, Oman's ongoing efforts under Oman Vision 2040 present strong potential for generating high-skilled and attractive employment opportunities for Omani nationals. As a result, employment among Omanis rose by 10.6 percent in 2024, while employment of expatriate workers declined by 1.0 percent. These trends reflect the positive impact of enhanced labor mobility, expanded vocational training, and increased female participation in the workforce. They also highlight the effectiveness of Omanisation policies in promoting a more inclusive and sustainable labor market.

Public Sector

The number of Omani employees in the public sector increased by 4.0 in 2024, alongside a 3.2 percent decline in expatriate workers, reflecting the continued success of Omanization policies aimed at boosting national workforce participation. Omanis accounted for 90.2 percent of total public sector employment in 2024, up from 89.5 percent in 2023 (Chart 2.8). The government remained focused on expanding job opportunities for young Omanis as part of its broader commitment to economic development and workforce readiness. Importantly, the government placed a strong emphasis on skill-building through various initiatives to prepare Omanis for emerging employment opportunities in information technology, transformative technologies, and digitalization.

Private Sector

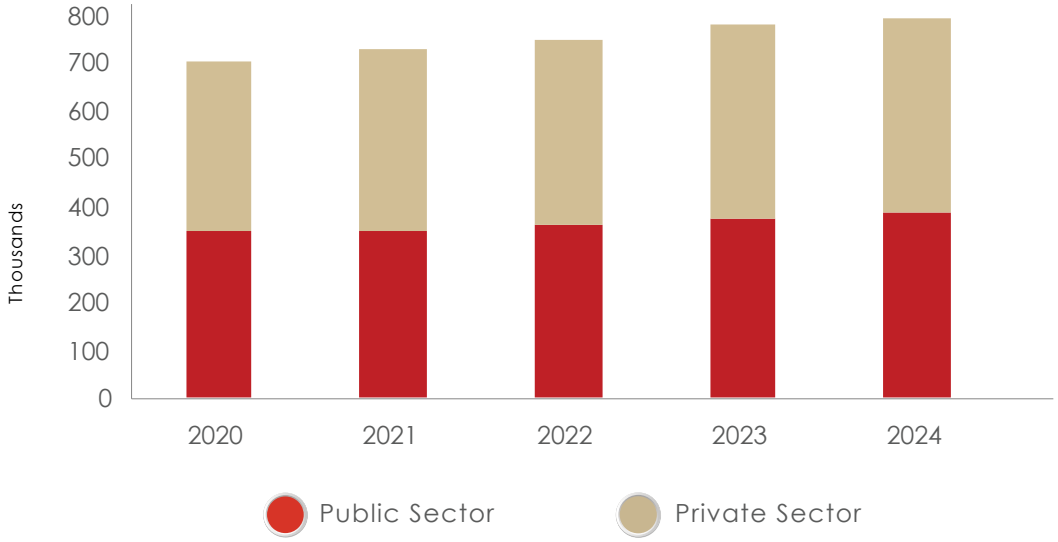
Government initiatives to support private sector employment in Oman focus on three key areas –implementing policies that promote the Omanisation of job opportunities, encouraging economic diversification, and improving the skills and employability of Omani nationals through trainings and development programs.

The private sector continues to play a vital role in absorbing Omani talent, serving as both a major employment generator and as a model for implementing Omanisation strategies across the economy.

In 2024, total private sector employment declined by 2.3 percent, largely due to a 0.9 percent decline in expatriate employment. In contrast, the number of Omani employment in the private sector grew by 16.7 percent during the same period. This increase reflects the impact of sustained policy measures by the Ministry of Labor aimed at correcting labor market imbalances and expanding job opportunities for nationals in the private sector.

In line with the progress on Omanisation, the share of Omani citizens in private sector employment rose to 18.6 percent in 2024, up from 18.3 percent in the previous year. This upward trend underscores a growing inclination among Omanis for private sector careers, supported by ongoing reforms that are making the sector increasingly accessible and attractive for national talent.

Chart 2.8: Employment for Omanis in Public & Private Sector



Inflationary Conditions

Inflation in Oman is influenced by both domestic factors and global price movements. Within the currency peg regime, the CBO remains focused on its core mandate of ensuring monetary and financial stability to support sustainable growth and price stability. Fiscal policy has concentrated on rationalizing expenditures, targeting priority areas, and managing the budget and public debt, prudently. Government supply-side interventions and administrative price controls also contributed to lowering prices. Monetary tightening by the CBO, through rapid interest rate hikes, helped moderate domestic demand and ease inflationary pressures without undermining exchange rate stability or overall economic growth. As a result, inflation remained contained in 2024.

According to the IMF, global financial conditions in 2024 were broadly accommodative, supported by improved investor sentiment, falling long-term bond yields in major economies, and a decline in global risk premiums. Central banks in advanced economies began cautiously shifting toward less restrictive monetary stances as inflation eased, though policy rates remained above pre-pandemic levels. In 2024, global inflation was partly shaped by persistent price pressures in the services sector, which remained volatile due to ongoing global uncertainty from post-pandemic supply chain disruptions, geopolitical tensions, and regional conflicts. Nonetheless, global inflation continued its downward trend from the 2022–2023 peaks, reflecting the lagged effects of earlier monetary tightening, lower energy prices, and easing supply constraints. Average retail inflation in advanced economies declined to 2.6 percent in 2024 from 4.6 percent in 2023 (IMF, WEO April 2025). Similarly, inflation in emerging market and developing economies (EMDEs) eased to 7.7 percent from 8.0 percent over the same period.

Inflation in Oman in 2024 was significantly lower than in the previous year. A strong OMR, along with administrative and selective fiscal interventions, helped contain inflationary pressure amid global inflationary trends. Average inflation, based on the consumer price index, stood at 0.6 percent in 2024, down from 0.9 percent in 2023 (Chart 2.9). Among major components, the miscellaneous goods and services group recorded higher inflation, while the transport group saw a decline in prices. Oman's inflation remains among the lowest in the region, supported by prudent fiscal policies, government intervention.

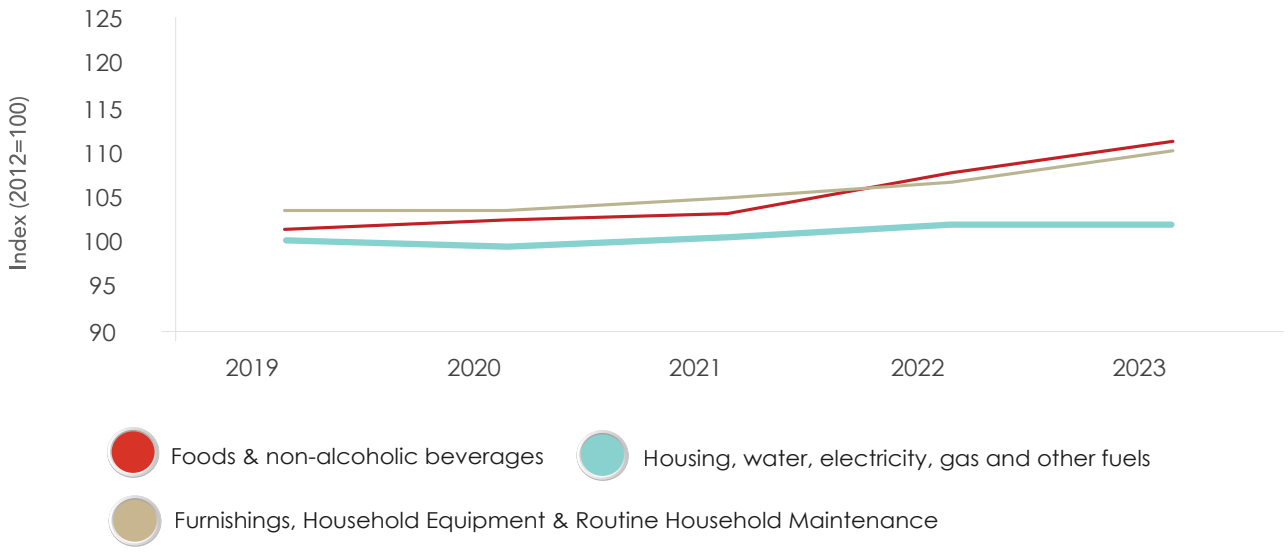
On the demand side, conditions remained robust, with real GDP growing by 1.6 percent and government expenditure by 5.5 percent, aided by favorable oil prices. Asset prices also contributed modestly to demand, with broad-based increases across asset classes; the MSM 30 Share Price Index rose by 1.39 percent in 2024.

On the supply side, international fuel prices fell by 1.8 percent in 2024, following a sharper 16.4 percent decline in 2023. In contrast, non-fuel commodity prices rose by 3.7 percent, reversing a 5.7 percent decline the previous year. Disaggregated data show that world metal prices declined by 1.9 percent, reflecting lower demand from the construction sector, particularly in China, while world food prices dropped by 2.7 percent, further easing global food inflation concerns.

The impact of global inflationary pressures on domestic inflation was partially offset by 4.1 percent year-on-year appreciation in the nominal effective exchange rate (NEER) of the Omani Rial in December 2024, supported by strengthening of US dollar.

A breakdown of the CPI components shows that inflation was highest in the miscellaneous goods and services category, which increased by 3.8 percent, followed by the food and non-alcoholic beverages group at 2.9 percent (Table 2.5 and Chart 2.10). Disruptions to food and energy markets were mainly caused by the lingering effect of the pandemic, geopolitical developments, and climate-related shocks.

Chart 2.9: Annual Consumer Inflation (CPI)



Box 2.1: New Projects in 2024

Several major projects completed in 2024 are expected to support and sustain the non-hydrocarbon growth momentum across tourism, services, industry, and construction sectors.

In the tourism and services sector, multiple high-profile projects were completed. These include the St. Regis Hotel, a landmark project valued at OMR 168 million and backed by Omani-Qatari investments, which opened in early 2024. The Mandarin Oriental Hotel, a joint venture with UAE investors valued at OMR 128 million, also opened during the same period. Other key developments included the Indigo Hotel in Al Jabal Al Akhdar, and the Manah Solar Power Plant. The latter, completed in October 2024 with an investment of OMR 150 million, will supply 500 MW of electricity, reinforcing Oman's clean energy initiatives.

On the industrial front, the OQ Duqm Refinery has emerged as a key driver of growth, with a projected refining capacity of 250,000 barrels per day. Notably, refinery exports more than doubled during the first nine months of 2024. Also completed this year was the OQ South Grid Debottlenecking project—an OMR 154 million investment involving a 210 km pipeline from Thumrait to Salalah, aimed at enhancing gas distribution capacity and efficiency. In addition, the Underground Copper Mining Project in Al Khaburah marked a significant milestone as Oman's first copper mine. With an investment value of OMR 40 million, the project is expected to extract 6.4 million tons of copper over the next seven years. In the construction sector, several major infrastructure projects were delivered. Nama Water Services completed a OMR 100 million upgrade to the water transmission system in Al Sharqiya. The Khazaen Central Fruits & Vegetable Market was finalized with a project value of OMR 60 million. Flood protection infrastructure was enhanced through the completion of three major dams—two in Salalah and one in Al Jifnain—with a combined investment of OMR 120 million. Additionally, the Rusayl–Nizwa Double Road project, connecting Muscat Expressway to the Al Sharqiya Interchange, was completed at an estimated cost of OMR 80 million, improving connectivity and transport infrastructure across the region.

Box 2.2: Oman's Green Hydrogen Sector: Strategy, Structure, and Project Development

The Sultanate of Oman is positioning itself as a global leader in green hydrogen production, leveraging its exceptional renewable energy potential and geographic advantages. Green hydrogen is hydrogen produced by using renewable electricity (like solar or wind) to split water into hydrogen and oxygen with no carbon emissions. This hydrogen can then be used to generate clean electricity through fuel cells or turbines, emitting only water as a byproduct. With immense solar radiation, and wind speed coupled with adequate land, easy access to water and free zones for manufacturing, Oman is well placed to transition to a green hydrogen economy. As the energy transition accelerates globally, the Sultanate has embraced green hydrogen not just as an economic diversification tool but also as a cornerstone of its commitment to decarbonization and long-term sustainability.

The establishment of Hydrom and the strategic roll-out of large-scale green hydrogen projects signal Oman's the country's intent to play a transformative role in the global hydrogen economy. Oman is looking to cement its position as a regional leader in the emerging green hydrogen sector and has established a state-owned entity, Hydrogen Development Oman to manage its expanding list of planned projects.

With approximately $140 billion in cumulative investments in the sector until 2050, the development of the green hydrogen sector in Oman is aligned with its broader economic diversification goals under Vision 2040, and its pledge to reach net-zero emissions by 2050. Green hydrogen is seen as a high-value export commodity, a major attractor of foreign direct investment and technology transfer, and a driver for local supply chain development and Omani job creation, especially in engineering, manufacturing, and logistics.

Natural Resource Opportunities: Solar and Wind Energy Potential

Oman's viability as a green hydrogen hub is grounded in its abundant solar and wind resources, among the best in the world. It has some of the highest global horizontal irradiance (GHI) values in the Middle East, particularly in regions like Al Wusta. These areas receive more than 2,400 kWh/m²/year of solar radiation—ideal for photovoltaic energy generation. Simultaneously, the southern and eastern coastal regions—especially Dhofar, Duqm, and Ras Madrakah—enjoy consistent and high-speed wind currents. Average wind speeds in these zones reach up to 11 m/s, enabling efficient wind power generation.

The synergy of both solar and wind resources—often complementary across day-night cycles—makes Oman uniquely suited for 24/7 renewable energy generation, critical for efficient hydrogen electrolysis and low-cost production of hydrogen. The Sultanate has allocated 50,000 km2 of land for green H2 projects.

National Vision and Export Targets

Oman's strategic objective is to become one of the world's top 10 exporters of green hydrogen and its derivatives (particularly green ammonia) by 2030. The government has articulated ambitious production targets:

- 1-1.5 million tons per annum (MTPA) by 2030,
- 3.25-3.75 MTPA by 2040, and
- 7.5-8.5 MTPA by 2050.

Such figures include exports mainly to Europe and Asia, regions that are already announcing hydrogen import targets and offering long-term offtake opportunities. Oman's proximity to these markets—coupled with its access to deep-water ports in Duqm and Salalah—offers critical logistical advantages.

Institutional Framework: Hydrom and National Governance

In March 2022, His Majesty Sultan Haitham bin Tarik issued a royal directive to create a new general directorate for clean energy and hydrogen power within the Ministry of Energy and Minerals (MEM) and to establish a new company dedicated to developing the clean energy and hydrogen sector in Oman. This led to the formation of Hydrogen Oman (Hydrom) in 2022, which is an independent subsidiary of Energy Development Oman SAOC (EDO). Hydrom functions under the supervision of the MEM and was established to act as the sector's master planner, regulator, and central allocator of land and infrastructure.

Hydrom's mandate is expansive. It is tasked with designing and administering the national hydrogen auction program, managing the transparent allocation of land in high-resource areas, and coordinating shared infrastructure such as water desalination plants, pipelines, ports, and power transmission networks. In essence, Hydrom serves as the institutional backbone of the country's hydrogen value chain, ensuring integrated planning and efficient implementation.

Such efforts were formalized through Royal Decree No. 10/2023, issued in February of 2023. This decree established a legal framework for allocating land specifically for renewable energy and green hydrogen projects, thus supporting the attraction of investments and accelerating the development of green hydrogen projects across the country.

Major Projects and Phases

Hydrom launched its first competitive auction—Phase A—in late 2022, targeting leading global energy players. The successful bidders were then awarded long-term land lease contracts and exclusive development rights for green hydrogen projects. Phase A of Hydrom's program entailed the auction of two key land blocks, located in Duqm and Dhofar. These auctions resulted in long-term Land Use Agreements (LUAs), supplemented by Project Development Agreements (PDAs) that outline investment timelines, environmental compliance, and production commitments. The types of contracts signed with winning consortia include:

* 30–47year land leases,
* Development milestones with phased implementation,
* Infrastructure sharing protocols,
* Commitments to establish export-oriented hydrogen/ammonia plants.

Phase B, initiated in late 2023, marked the next round of land allocations for hydrogen development. This phase expanded the scope of available blocks and introduced refined infrastructure plans. It attracted new players and encouraged partnerships with Omani firms to deepen local content. The new phase also broadened contractual options to include joint infrastructure investment commitments, more integrated water desalination planning, and enhanced environmental and social governance clauses.

The awarded consortia in this round are currently in pre-FID (Final Investment Decision) stages, with studies underway on grid integration and logistics optimization, as well as financial arrangements.

Liquid Hydrogen Corridor – A Strategic Gateway to Europe's Clean Energy Future

With large-scale projects underway, state-backed coordination through Hydrom, and strong partnerships with leading European ports, Oman is building a first-of-its-kind green hydrogen corridor connecting Duqm to Amsterdam and beyond. A Joint Development Agreement was signed in April 2025 between Hydrom, OQ, Port of Duqm and European partners (such as Port of Amsterdam and Tata Steel Nederland) to build the world's first commercial-scale liquid hydrogen corridor linking Oman to the Netherlands and Germany. The corridor aims to meet EU's standards for production of renewable fuels of non-biological origin (RFNBOs), supplying various industries such as steel, chemicals, transport. This ambitious project places Oman at the heart of the global energy transition—offering Europe a reliable, low-cost, and scalable source of clean hydrogen for decades to come.

Table 2.1 Output Indicators					
Item	2020	2021	2022	2023	2024
GDP at Current Market Price (R.O. Million)	29187.2	33576.0	42238.4	40824.2	41194.3
Annual Growth (%)	-13.8	15.0	25.8	-3.3	0.9
GDP at Constant 2018 Prices (R.O. Million)	33611.2	34479.2	37232.5	37759.0	38375.1
Annual Growth (%)	-3.4	2.6	8.0	1.4	1.6
GDP Deflator	86.8	97.4	113.4	108.1	107.3
Annual Growth (%)	-10.8	12.1	16.5	-4.7	-0.7
Share in GDP at Current Market Price (in percent)**					
1. Petroleum Activities	26.5	31.7	39.7	36.4	34.6
1.1 Crude Petroleum	21.4	27.1	34.8	31.3	29.2
1.2 Natural Gas	5.1	4.6	4.9	5.2	5.3
2. Non-Petroleum Activities	78.2	71.8	64.2	66.7	68.2
2.1 Agrl. and Fishing	2.5	2.4	2.1	2.4	2.6
2.2 Industry	20.7	20.2	19.8	18.9	19.6
2.3 Services Activities	55.0	49.2	42.3	45.3	46.0
Component of GDP (in percent)					
a. Private Consumption	44.0	39.2	34.2	37.7	39.1
b. Government Consumption	26.1	22.1	17.7	18.8	18.7
c. Capital Formation (investment)	31.6	26.9	22.9	24.3	25.5
d. Exports-Imports (goods and services)	40.9	49.4	60.1	57.9	61.9

* Provisional

** Shares may not add up to 100 because two items are not considered here, i.e. net import taxes and financial intermediation services indirectly measured.

Source: National Center for Statistics and Information, Statistical Year Book 2025

Table 2.2
Gross Domestic Product at Current Market Prices
(Rial Omani Million)

Activitiy	2020	2021	2022	2023	2024*	% Change (2023/22)	% Change (2024/23)
1. Industry (1.1 + 1.2)	**13761.1**	**17435.0**	**25125.6**	**22604.5**	**22312.6**	**-10.0**	**-1.3**
1.1 Petroleum Activities	**7727.5**	**10644.1**	**16781.7**	**14870.0**	**14234.5**	**-11.4**	**-4.3**
- Crude Petroleum	6248.7	9102.5	14694.4	12765.6	12045.1	-13.1	-5.6
- Natural Gas	1478.8	1541.6	2087.3	2104.4	2189.4	0.8	4.0
1.2 Non-Petroleum Industrial Activities	**6033.6**	**6790.9**	**8343.9**	**7734.5**	**8078.1**	**-7.3**	**4.4**
- Mining and Quarrying	210.1	182.9	196.1	198.1	190.8	1.0	-3.7
- Manufacturing	2438.9	3159.4	4443.7	3816.7	4120.3	-14.1	8.0
- Electricity & Water Supply	801.4	870.4	912.8	953.4	1011.6	4.5	6.1
- Construction	2583.2	2578.2	2791.3	2766.3	2755.3	-0.9	-0.4
2. Agriculture &Forestry & Fishing	**720.7**	**803.2**	**890.5**	**986.1**	**1072.3**	**10.7**	**8.7**
3. Services	**16060.0**	**16504.7**	**17877.9**	**18495.1**	**18954.8**	**3.5**	**2.5**
- Wholesale & Retail Trade	2627.2	2851.1	3184.0	3164.8	3338.3	-0.6	5.5
-Hotels and Restaurants	434.0	446.6	536.8	582.0	572.4	8.4	-1.7
- Transportation & Storage	1131.1	1372.5	1613.1	1691.2	1709.2	4.8	1.1
- Telecommunications and Information Service Activities	558.2	536.8	579.2	609.7	630.8	5.3	3.5
- Financial Intermediation	2276.3	2410.4	2613.1	2741.1	2726.8	4.9	-0.5
- Real Estate, Professional & Technical & Administrative Service Activities	1951.0	1978.9	2137.0	2229.1	2271.6	4.3	1.9
- Public Administration & Defence	3441.1	3439.8	3566.8	3675.2	3743.4	3.0	1.9
- Other Services	3641.1	3468.6	3647.9	3802.0	3962.3	4.2	4.2
4. Total Non-Petroleum Activities (1.2 + 2 +3)	**22814.3**	**24098.8**	**27112.3**	**27215.7**	**28105.2**	**0.4**	**3.3**
5. Less Financial Intermediation Services Indirectly Measured	813.7	883.5	980.7	1017.3	952.7	-3.7	6.4
6. Gross Domestic Product at Producers Prices (1.1+4-5)	**29728.1**	**33859.4**	**42913.3**	**41068.5**	**41387.1**	**-4.3**	**0.8**
7. Plus :Taxes Less Subsidies on Products	-541.0	-283.4	-674.9	-244.3	-192.8	63.8	21.1
8. Gross Domestic Product at Market Prices (6+7)	**29187.2**	**33576.0**	**42238.4**	**40824.2**	**41194.3**	**-3.3**	**0.9**

* Provisional

Source: National Center for Statistics and Information, Statistical Year Book 2025

Table 2.3
Gross Domestic Product at Constant Prices (Base Year 2018)
(Rial Omani Million)

Activitiy	2020	2021	2022	2023	2024*	% Change (2023/22)	% Change (2024/23)
1. Industry (1.1 + 1.2)	**18515.5**	**18732.5**	**20234.4**	**20235.2**	**20240.8**	**0.0**	**0.0**
1.1 Petroleum Activities	**10912.1**	**11245.7**	**12215.6**	**12227.4**	**11895.1**	**0.1**	**-2.7**
- Crude Petroleum	9375.2	9600.8	10489.1	10433.2	9974.2	-0.5	-4.4
- Natural Gas	1536.9	1644.9	1726.5	1794.1	1920.9	3.9	7.1
1.2 Non-Petroleum Industrial Activities	**7603.4**	**7486.8**	**8018.8**	**8007.8**	**8345.7**	**-0.1**	**4.2**
- Mining and Quarrying	239.4	213.9	228.1	225.2	218.8	-1.3	-2.9
- Manufacturing	2819.5	3019.2	3442.4	3369.0	3620.1	-2.1	7.5
- Electricity & Water supply	754.9	867.7	898.0	941.3	1003.0	4.8	6.6
- Construction	3789.6	3386.0	3450.3	3472.3	3503.8	0.6	0.9
2. Agriculture &Forestry & Fishing	**775.4**	**849.3**	**906.9**	**959.7**	**1028.3**	**5.8**	**7.2**
3. Services	**15328.1**	**16107.1**	**17354.6**	**17920.2**	**18462.6**	**3.3**	**3.0**
- Wholesale & Retail Trade	2651.3	2744.0	3023.2	3020.4	3181.2	-0.1	5.3
-Accommodation & food service Activities	547.8	593.7	673.8	714.3	690.9	6.0	-3.3
- Transport & Storage	1558.9	1862.8	2089.0	2147.4	2232.6	2.8	4.0
- Telecommunications and Information Service Activities	600.2	588.0	648.9	689.9	701.7	6.3	1.7
- Financial & Insuarance Activities	1881.1	1884.1	2005.3	2114.9	2087.4	5.5	-1.3
- Real Estate, Professional & Technical & Administrative Service Activities	2132.7	2103.5	2267.5	2353.9	2401.6	3.8	2.0
- Public Administration & Defence	2838.6	3256.7	3384.5	3508.1	3626.2	3.7	3.4
- Other Services	3117.5	3074.3	3262.4	3371.3	3541.0	3.3	5.0
4. Total Non-Petroleum Activities (1.2 + 2 +3)	**23706.9**	**24443.2**	**26280.3**	**26887.7**	**27836.6**	**2.3**	**3.5**
5. Less Financial Intermediation Services Indirectly Measured	716.0	879.8	943.1	974.1	947.8	-3.3	2.7
6. Gross Domestic Product at Producers Prices (1.1+4-5)	**33902.9**	**34809.1**	**37552.9**	**38140.9**	**38783.9**	**1.6**	**1.7**
7. Plus :Taxes Less Subsidies on Products	-291.8	-330.0	-320.4	-381.9	-408.8	-19.2	-7.0
8. Gross Domestic Product at Market Prices (6+7)	**33611.2**	**34479.1**	**37232.5**	**37759.0**	**38375.1**	**1.4**	**1.6**

* Provisional

Source: National Center for Statistics and Information, Statstical Year Book 2025

Table 2.4
Sector Wise Employment in Oman

Category	2020	2021	2022	2023	2024*
A. Public Sector Employees	**393184**	**392872**	**407494**	**421034**	**434789**
Omanis	349272	351231	363438	376856	392021
Expatriates	43912	41641	44056	44178	42768
B. Private Sector Employees**	**1720099**	**1717798**	**2046431**	**2182873**	**2232740**
Omanis	352735	374606	383179	399803	466582
Expatriates	1367364	1343192	1663252	1783070	1766158

*; Data before 2020 are not comparable to later years because of expanded coverage.

**; Private, Family, Communal and Other Sectors.

Table 2.5
Sultanate Consumer Price Index (100 = 2018)

Item	Weights	2021	2022	2023	2024	% Change 2023/22	% Change 2024/23
1. Food & Non -Alcoholic Beverages	**20.615**	**103.0**	**107.7**	**111.1**	**114.3**	**3.2**	**2.9**
Cereals & Breads	3.093	101.4	105.5	108.0	108.7	2.4	0.7
Meat	5.102	101.2	108.3	109.0	111.3	0.7	2.1
Fish & Sea Food	1.981	104.3	107.2	116.6	112.9	8.8	-3.2
Milk , Cheese & Eggs	2.517	100.3	103.4	111.7	117.1	8.1	4.8
Oil & Fats	0.594	101.0	117.3	124.8	127.2	6.4	1.9
Fruits	2.197	101.6	106.7	109.4	115.7	2.6	5.7
Vegetables	2.088	110.3	113.5	114.4	126.2	0.8	10.3
Sugar, Jam,Honey, Chocolate & Confectionary	0.857	101.8	104.3	108.3	110.8	3.9	2.2
Food Products n.e.c.	0.068	101.5	102.7	107.2	109.9	4.4	2.5
Non- Alcoholic Beverages	1.762	108.6	110.1	111.9	112.7	1.7	0.7
2. Tobacco	**0.110**	**200.3**	**202.9**	**206.0**	**207.8**	**1.5**	**0.9**
3. Clothing & Footwear	**6.129**	**98.7**	**100.0**	**100.2**	**100.4**	**0.2**	**0.2**
4. Housing,Water,Electricity, Gas & Other Fuels	**31.701**	**100.3**	**101.7**	**102.0**	**102.4**	**0.4**	**0.3**
5. Furnishings,Household Equipment & Routine Household Maintenance	**6.327**	**104.8**	**106.5**	**110.0**	**110.0**	**3.3**	**- 0.1**
6. Health	**1.424**	**100.0**	**103.5**	**104.5**	**106.5**	**1.0**	**1.9**
7. Transport	**14.521**	**102.9**	**106.6**	**103.5**	**100.8**	**-2.9**	**-2.6**
8. Communication	**5.874**	**98.0**	**97.8**	**97.5**	**97.4**	**-0.4**	**-0.1**
9. Recreation and Culture	**1.142**	**102.8**	**104.7**	**106.9**	**107.5**	**2.0**	**0.6**
10. Education	**2.388**	**105.0**	**111.0**	**110.9**	**110.6**	**-0.1**	**-0.3**
11. Restaurants and Hotels	**4.493**	**101.2**	**104.0**	**107.9**	**108.3**	**3.8**	**0.4**
12. Miscellaneous Goods and Services	**5.276**	**103.7**	**105.5**	**108.4**	**112.6**	**2.8**	**3.8**
General Price Index	**100.0**	**101.7**	**104.3**	**105.3**	**105.9**	**0.9**	**0.6**

Note:
1. The weights are based on Household Expenditure and Income Survey for the average years (2018 and 2019)
2. Data collected from all Governorates of the Sultanate Excluding Musandam and AL Wustta Governorates.
3. Data are compiled on the basis of 56640 priced items of goods and services from 3907 selected sources.
4. Data on rent are collected from a sample of 1150 rented units.
Source: National Center for Statistics and Information, Statical Year Book 2025

Table 2.6 Oil Production & Exports (Million Barrels)				
Year	Production	% Change	Exports	% Change
2020	347.9	-1.8	287.0	-7.5
2021	354.5	1.9	289.0	0.7
2022	388.4	9.6	318.0	10.0
2023	382.8	-1.4	310.3	-2.4
2024	363.3	-5.1	308.4	-0.6

Source: Ministry of Energy and Minerals & National Center for Statistics and Information.

Table 2.7 Destinations of Oil Exports (Million Barrels)					
Country of Destination	2020	2021	2022	2023	2024
China	248.1	242.2	260.8	285.6	290.2
Japan	3.9	4.2	11.7	9.4	5.7
United State of America	0.0	0.0	0.0	0.0	0.0
Korea, South	5.0	6.5	12.1	5.2	5.8
India	17.8	28.9	31.2	2.7	3.0
Thailand	0.7	1.2	1.9	0.6	0.6
Singapore	0.3	2.1	0.0	0.0	0.0
Others	11.2	3.9	0.3	6.8	3.1
Total	**287.0**	**289.0**	**318.0**	**310.3**	**308.4**

Source: Ministry of Energy and Minerals.

Table 2.8 Production & Uses of Natural Gas (Million Cubic Meter)			
	2023	2024*	% Changes 2024/23
Production	**51996**	**54612**	**5.0**
Associated	10,983	11,616	5.8
Non - Associated	41012.7	42995.5	4.8
Uses	**53,925**	**56,542**	**4.9**
A- Power Generation	8,774	15,107	72.2
B- Industrial Areas	260	251	-3.2
C- Industrial Projects	31,639	29,054	-8.2
D- Oil Fields	13,253	12,130	-8.5
Imports	**1,929.5**	**1,930.7**	**0.1**

*Provisional.
Source: National Center for Statistics and Information, Statistical Year Book 2025.

CHAPTER 2
PUBLIC FINANCE





ANNUAL REPORT 2024

Overall Fiscal Assessment

In 2024, Oman's fiscal position strengthened further, reflecting ongoing consolidation efforts and improved revenue performance amid a challenging international environment. Despite external pressures stemming from geopolitical tensions, volatile oil markets, and tighter global financial conditions, the State's General Budget recorded a surplus of OMR 540 million, reversing the initially projected deficit of OMR 640 million.

This positive outcome reflects the combined effect of higher-than-expected hydrocarbon revenues and cautious execution of expenditures. Total revenue exceeded budget projections by 16 percent, while overall spending rose by 5.1 percent relative to initial estimates, driven mainly by increased allocations for development projects and subsidy programs. The authorities also maintained discipline in current spending and achieved notable savings in public debt servicing.

The resulting fiscal space enabled the government to reduce its financing needs, repay part of its outstanding debt, and refrain from drawing on fiscal reserves. These improvements contributed to a further decline in the debt-to-GDP ratio and supported the upgrade of Oman's sovereign credit ratings, reinforcing investor confidence and the country's fiscal sustainability outlook (Table 3.1).

The 2024 State General budget

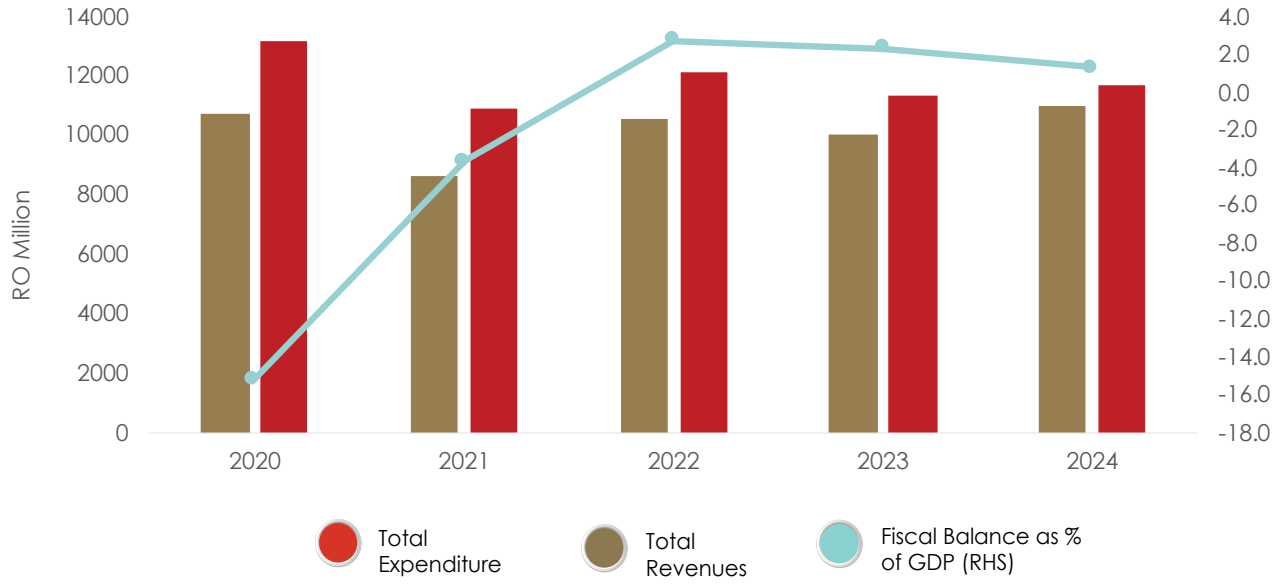
The 2024 State Budget was developed within the framework of Oman Vision 2040 and the Tenth Five-Year Development Plan 2021–2025. It was based on an assumed average oil price of USD 60 per barrel and daily oil production of 1,031 thousand barrels. The fiscal strategy aimed to reduce the deficit gradually while preserving macroeconomic stability and supporting national development objectives.

Total government revenue was projected to increase by 9.6 percent compared to the 2023 budget, reaching OMR 11,010 million (chart 3.1). Hydrocarbon revenues were expected to account for over two-thirds of total income, supported by oil revenues estimated at OMR 5,915 million, up by 11.2 percent, and gas revenues forecast at OMR 1,575 million, up by 12.5 percent.

The increase in gas revenue reflected higher sales volumes and a three percent rise in domestic gas prices. Non-hydrocarbon revenues were expected to grow by 5.7 percent, driven by value-added tax (VAT) and excise receipts estimated at OMR 645 million, corporate income tax at OMR 630 million, and contributions from the Oman Investment Authority amounting to OMR 800 million. Revenues from government service fees were projected at OMR 1,380 million, while capital revenues and repayments were estimated at OMR 65 million.

Total government spending was forecasted to reach OMR 11,650 million, representing a 2.6 percent increase over the 2023 budget. Current expenditure was set to absorb 73.6 percent of the total, while participation and other public expenses were projected to represent 18.7 percent. Investment spending remained unchanged at OMR 900 million, representing only 7.7 percent of total expenditure and reflecting a cautious approach to development priorities. This allocation underscores the government's emphasis on maintaining essential services and meeting debt obligations, though the limited capital spending may affect the long-term efficiency of public spending.

Chart 3.1 : State Budget Estimates



Box 3.1: The Main Tax Measures Introduced in 2024

In 2024, Oman introduced key tax measures to boost revenue diversification and align with global tax standards.

1. Personal Income Tax Legislation Progress

As part of its fiscal diversification efforts under Vision 2040 and the Medium-Term Fiscal Plan (2020–2024), Oman advanced plans to introduce a Personal Income Tax (PIT) targeting high-income earners. This reform aims to broaden non-oil revenue without affecting the wider population.

On 27 June 2024, the Shura Council referred the draft PIT bill to the State Council. The law was enacted by Royal Decree No. 56/2025 in June 2025, with implementation set for 1 January 2028. The approved framework introduces a 5% tax on annual incomes above OMR 42,000, exempts gratuities, end-of-service benefits, housing and healthcare expenses, and allows deductions for charitable contributions and dependents.

2. Implementation of BEPS Pillar Two[1] Rules

In alignment with international tax reform efforts led by the OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting (BEPS), Oman enacted Royal Decree No. 70/2024 on December 31, 2024, establishing a Domestic Minimum Top-Up Tax and an Income Inclusion Rule (IIR). These measures mark a major step in Oman's commitment to international tax transparency and fairness.

Under this new regime, multinational enterprise groups with consolidated global revenues equal to or exceeding €750 million in at least two of the previous four fiscal years are subject to a 15% minimum effective tax rate on profits generated within Oman. The new rules take effect for fiscal years beginning on or after January 1, 2025.

3. DTAA Revision with India

In 2024, Oman and India undertook a significant revision of their Double Taxation Avoidance Agreement (DTAA), which entered into force on May 28, 2025. The amendment expands the definition of "permanent establishment" to include digital platforms, service-based activities, and dependent agents—meaning non-resident companies may now have a taxable presence even without a fixed place of business.

This revision also consists of reducing withholding tax rates on cross-border income: interest, royalties, and technical service fees from 15% to 10%, supporting tax clarity and facilitating bilateral investment.

[1] Pillar Two of the BEPS framework is designed to ensure that large multinational enterprises (MNEs) pay a minimum level of tax, no matter where they operate.

The budget implementation

In 2024, the government sustained its fiscal consolidation efforts, registering an actual surplus of OMR 540 million, compared to a projected deficit of OMR 640 million (Chart 3.2). This outcome was driven by higher-than-anticipated hydrocarbon revenues and prudent expenditure execution. Total revenues exceeded budget projections by 16 percent, while total expenditures were executed at 105.1 percent of planned levels, reflecting higher-than-anticipated investment and subsidy spending (Chart 3.3).

Chart 3.2: Budgeted Vs. Actual Fiscal Balance

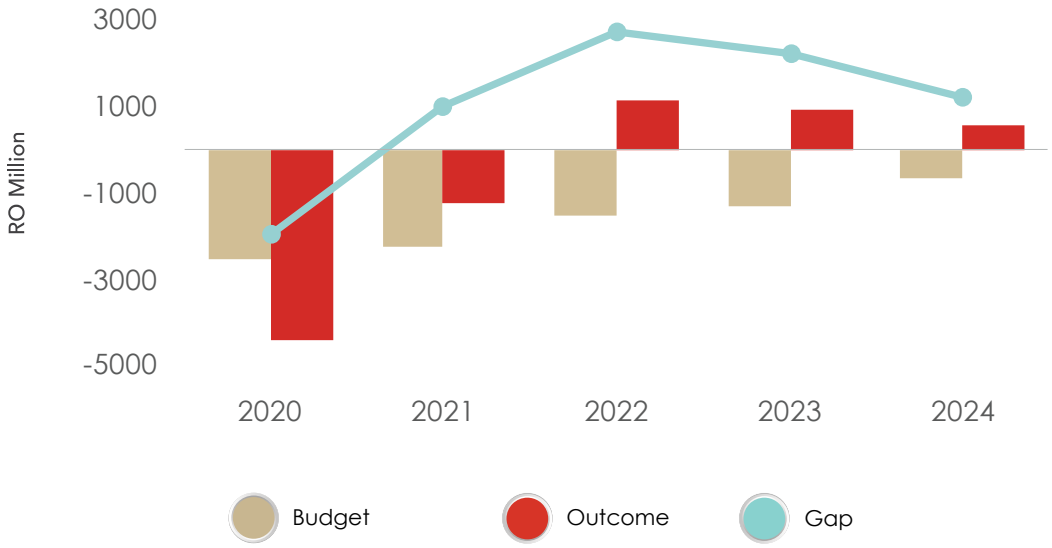
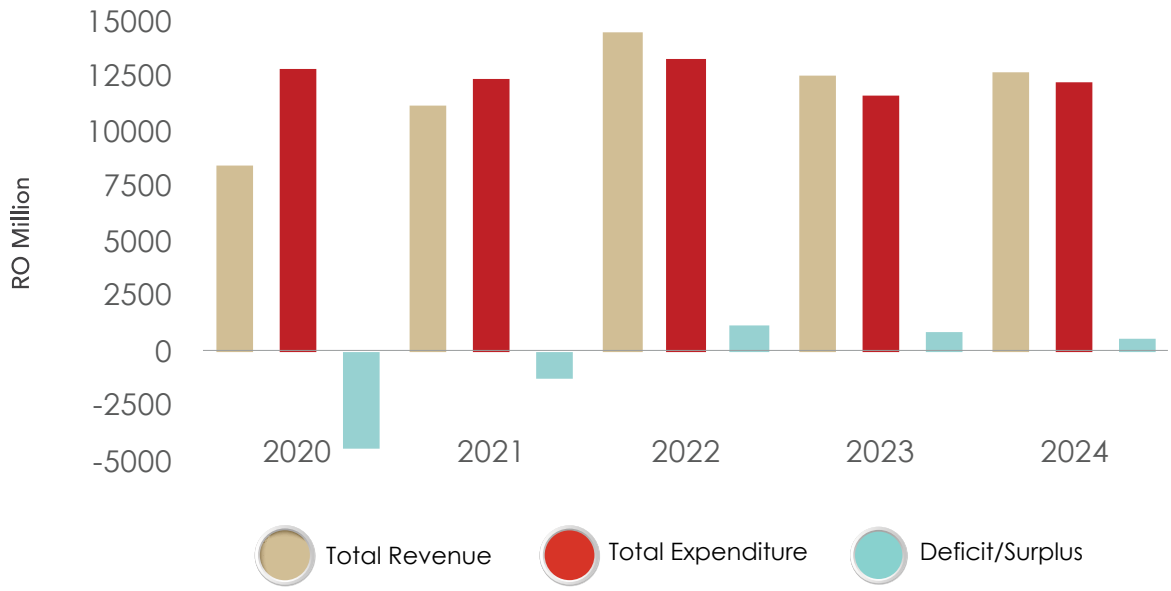


Chart 3.3: Overall Fiscal Balance



Government Revenues

Government revenue surpassed expectations in 2024, reaching OMR 12,781 million—an increase of 1.9 percent compared to the previous year and 16 percent above the budget projection. This outturn was primarily supported by elevated oil prices and stronger-than-expected gas revenues, while non-hydrocarbon revenue remained broadly in line with projections.

By the end of 2024, **hydrocarbon revenue** amounted to OMR 9,274 million, rising by 23.8 percent compared to the budgeted OMR 7,490 million and increasing slightly from OMR 9,018 million recorded in 2023 (Table 3.2). It accounted for 72.6 percent of total government revenue. Net oil revenue, which represented the largest share, increased by 4.2 percent year-on-year to OMR 7,452 million. This outcome was driven by an average oil price of USD 82 per barrel, well above the budgeted USD 60, despite lower-than-anticipated production volumes, which declined to 997 thousand barrels per day, compared to the projected 1,031 thousand barrels, primarily due to Oman's compliance with the voluntary production cuts set by OPEC+. Gas revenue, although declining by 2.5 percent year-on-year to OMR 1,822 million, exceeded the 2024 budget projection by about 16 percent, reflecting higher average selling prices of liquefied natural gas.

As for **Non-hydrocarbon revenue**, it stood at OMR 3,507 million, down slightly by 0.4 percent relative to the OMR 3,520 million budget and broadly unchanged from its 2023 level. It represented 28 percent of total revenue, with the majority derived from current revenue sources.

A closer look reveals that current revenues declined by 0.8 percent compared to 2023. Within this category, revenues from

tax and fees increased modestly by 1.3 percent, a slowdown from the 11.4 percent growth registered in 2023 (Table 3.3). These receipts accounted for 60 percent of current revenues, driven by stronger corporate income tax and VAT collections, which surpassed budget estimates by OMR 48 million and OMR 41 million respectively, reflecting sustained economic recovery. However, non-tax revenue declined by 3.8 percent, mainly due to lower receipts from miscellaneous and telecommunications sources. On a positive note, revenues from ports, airports, and mining activities showed promising growth within the non-tax category.

Chart 3.4: Ratio of Government Revenues to GDP

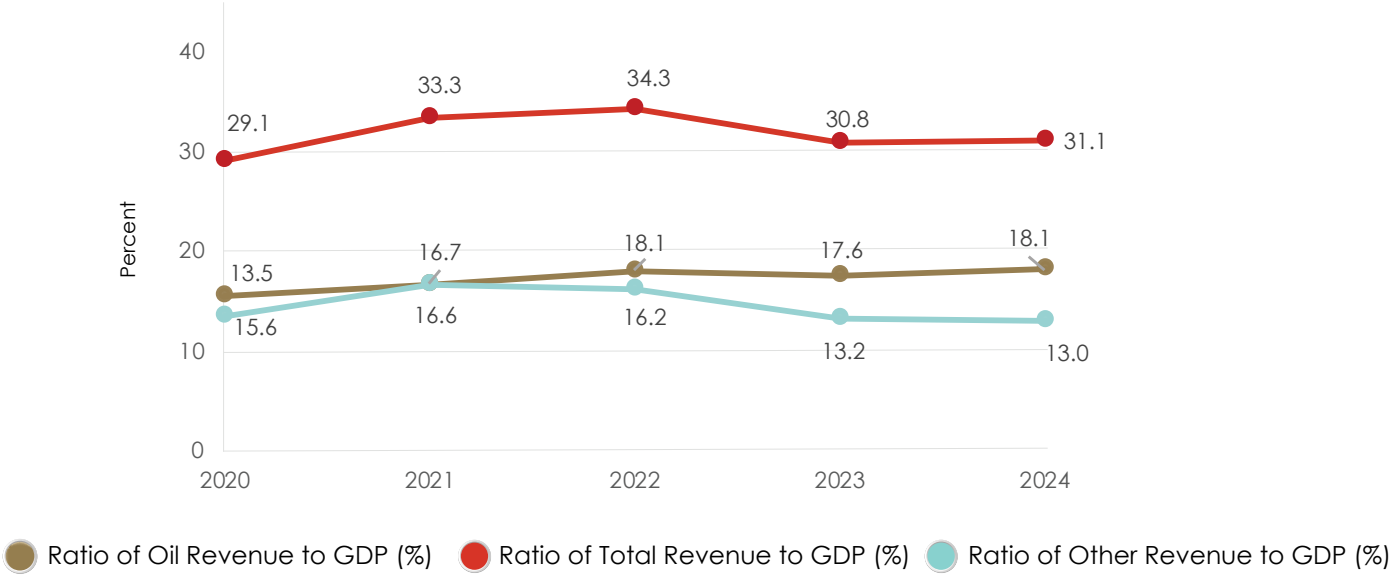


Chart 3.5: Breakdown of Government Revenues (Share of Total Revenues)

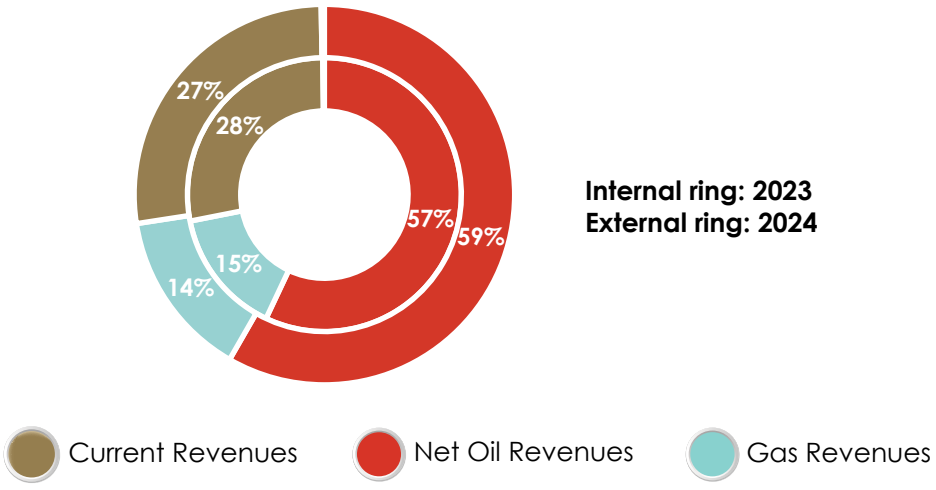
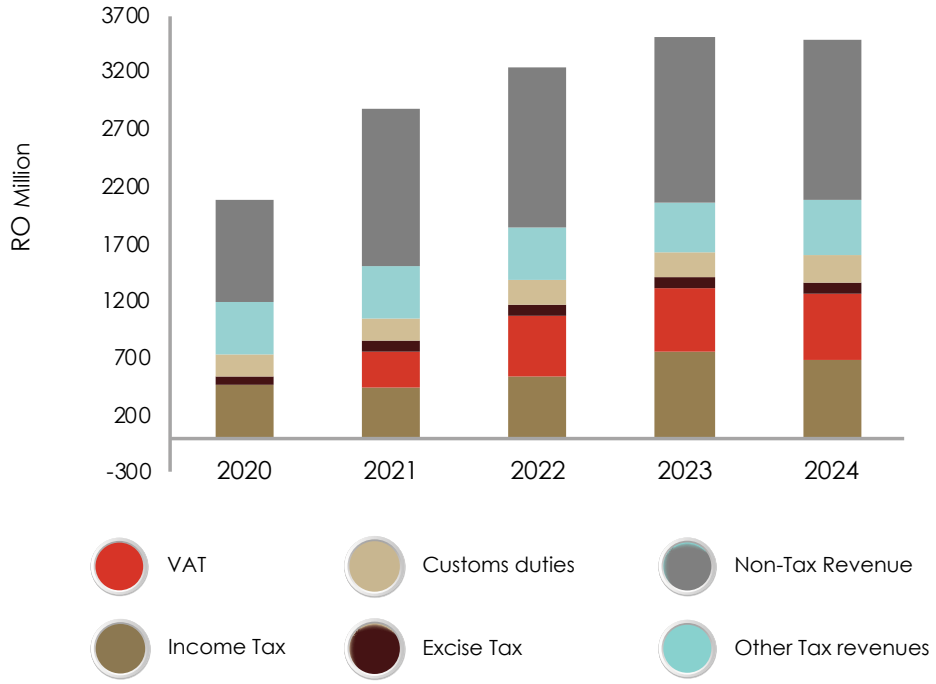


Chart 3.6: Main Components of Current Revenue



Government Expenditure

In 2024, government expenditure increased to OMR 12,241 million, exceeding the budgeted amount of OMR 11,650 million by 5.1 percent and rising by 5.5 percent compared to 2023 (Chart 3.7 and chart 3.8). The deviation from projections was primarily driven by higher allocations for development spending and social transfers, while reduced debt servicing costs helped mitigate overall fiscal pressures.

Chart 3.7: Ratio of Governement Expenditures to GDP

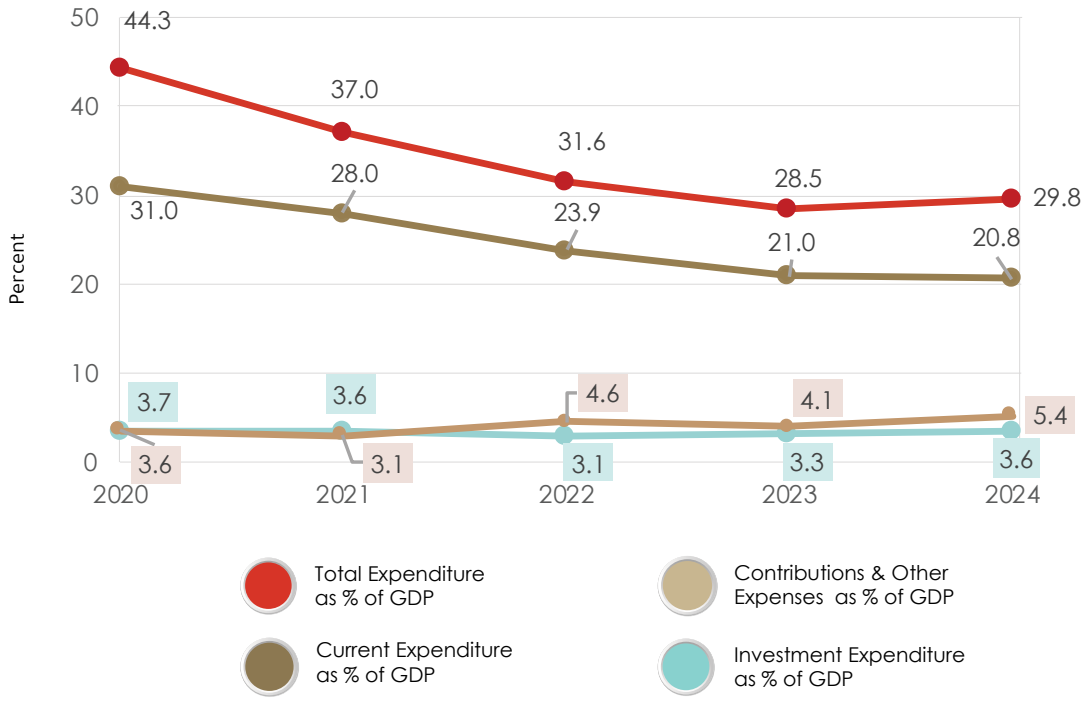
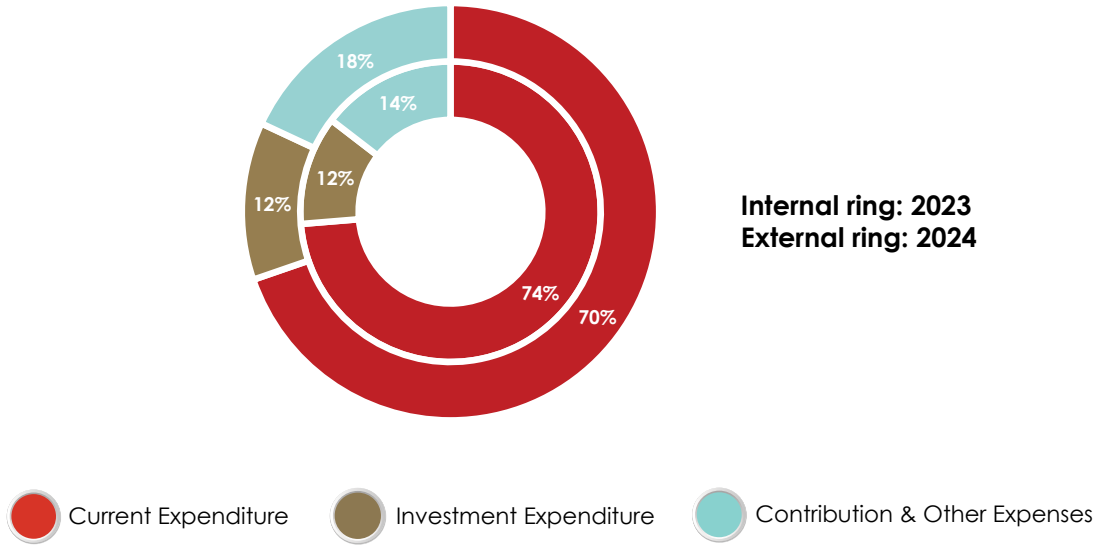
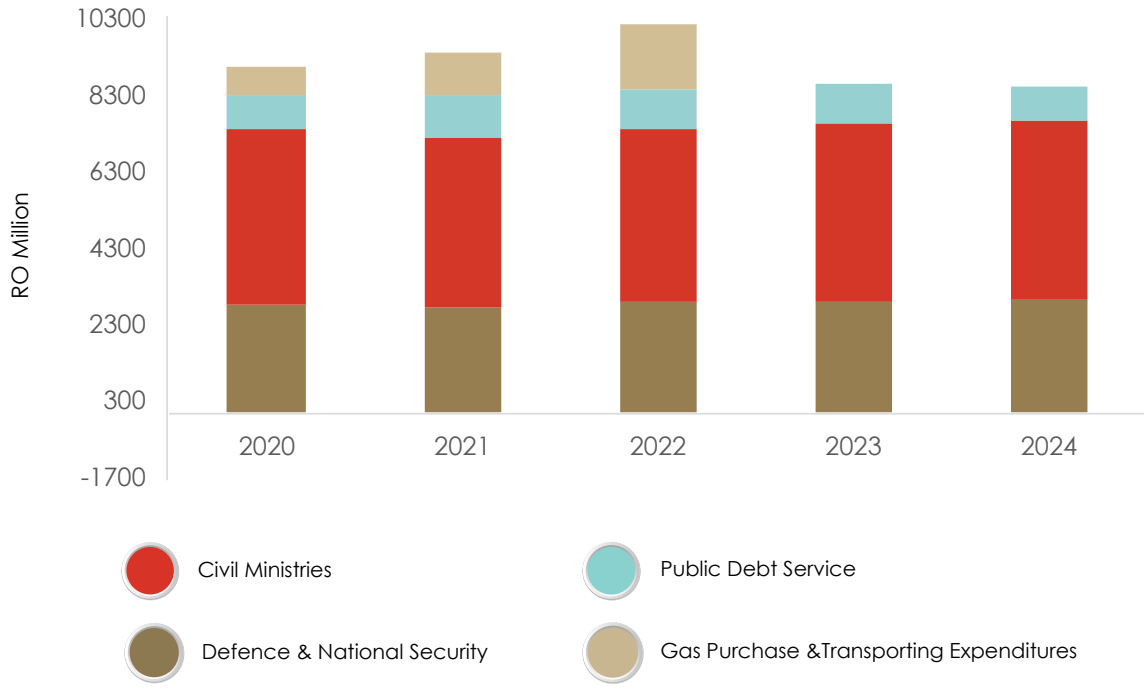


Chart 3.8: Breakdown of Total Expenditure (Share of Total Expenditure)



Current expenditure, which accounted for around 69.7 percent of total public spending, remained broadly stable in 2024, edging down by 0.2 percent year-on-year to OMR 8,534 million, following a sharper decline of 15.2 percent in 2023 (Chart 3.9). This relative stability reflects diverging trends across expenditure components: a notable 10.3 percent reduction in public debt servicing needs helped offset increased spending by civil ministries, which rose by 4 percent compared to budget estimates. Meanwhile, expenditure on defense and national security recorded a year-on-year increase of 3.2 percent.

Chart 3.9: Components of Current Expenditure



Investment expenditure amounted to OMR 1,498 million in 2024, representing a 9.9 percent increase compared to 2023 and accounting for 12.2 percent of total public spending. This entire amount corresponds to development spending by civil ministries and government units, which rose by 66.4 percent relative to the approved budget. This increase reflects higher financial allocations across governorates and the settlement of outstanding dues to private contractors. Infrastructure projects accounted for 44 percent of total development expenditure, while social infrastructure represented 38 percent, highlighting the authorities' continued focus on strengthening public services and supporting governorate-level development plans.

Expenditure on government contributions and other expenses recorded a significant increase in 2024, rising by 14 percent to reach OMR 2,209 million, compared with OMR 1,937 million projected in the budget, and accounting for 18 percent of total public spending. This expansion follows a contraction of 12.5 percent in 2023 and was largely driven by a substantial rise in energy-related subsidies. Support to petroleum products surged sixfold to OMR 232 million, in line with earlier Royal Directives to stabilize fuel prices, while electricity subsidies exceeded allocations by OMR 105 million, reaching OMR 565 million.

Financing Needs

The financing position of the State's General Budget improved markedly in 2024, shifting from a projected net borrowing requirement of OMR 640 million to a net repayment of OMR 963 million worth of debt. This reversal was underpinned by higher-than-budgeted hydrocarbon revenues, which limited the need for external support. Notably, no withdrawals were made from the reserves, reflecting improved fiscal space and stronger liquidity conditions.

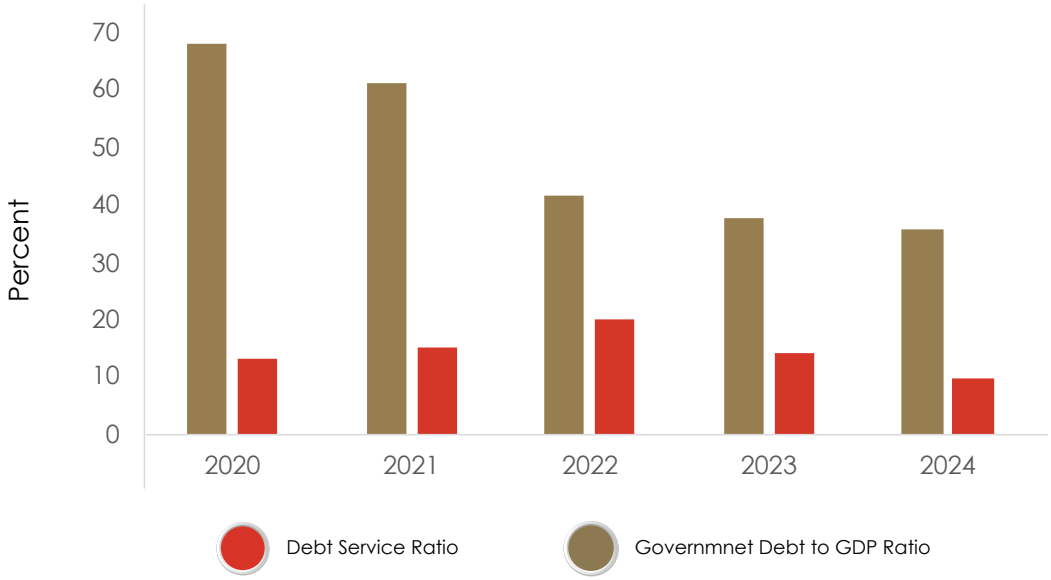
Government Debt

The fiscal surplus helped the government to reduce its public debt to OMR 14.6 billion, down from OMR 15.3 billion in 2023. As a result, Debt-to-GDP ratio declined to 35.5 percent in 2024, compared to 37.5 percent a year earlier (Table 3.5 and Chart 3.10), reinforcing the improvement in sovereign debt sustainability. The debt service ratio also continued its downward trend, reaching 9.8 percent in 2024, from 13.3 percent a year earlier, supported by lower external repayments and stronger export earnings.

The favorable debt trajectory, supported by fiscal consolidation efforts and higher hydrocarbon revenues, contributed to enhanced sovereign credit ratings in 2024. S&P upgraded Oman's long-term rating to "BBB- with a stable outlook", restoring investment-grade status, while both Fitch and Moody's[2] revised their outlooks to positive, reflecting strengthened market confidence in the Sultanate's fiscal and macroeconomic fundamentals.

[2] In 2024, Fitch and Moody's both revised Oman's credit outlook from **stable to positive**, while affirming their respective ratings at **BB+** and **Ba1**.

Chart 3.10: Government Debt to GDP Ratio and Debt Service Ratio



Box 3.2: Government Spending Multipliers and Oil Shocks in Oman and other GCC Countries: Differential Effects of Oil Demand- and Supply-Driven Price Swings

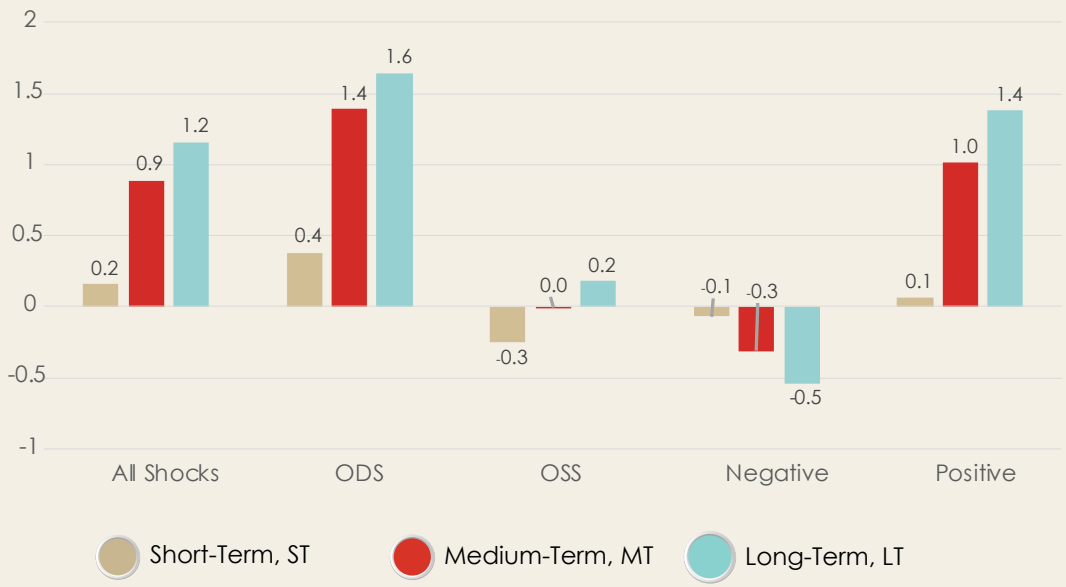
As part of its commitment to strengthening fiscal policy analysis, the Central Bank of Oman (CBO) has conducted a study[3] examining the effectiveness of different types of government spending in stimulating non-oil economic activity. The analysis focuses on Oman while also providing a comparative perspective across other GCC countries.

The research combines both **country-specific Structural VAR** models and a **regional Panel VAR** framework, covering annual data from 1980 to 2023. Key variables include real non-oil GDP, disaggregated government spending (total, capital, and current), real oil prices, and government revenues. A central feature of the study is the decomposition of oil price shocks into demand- and supply-driven components, based on the direction of movement between oil prices and production. If both move in the same direction, the shock is classified as **demand-driven**; if they move in opposite directions, it is treated as a **supply shock.** The study also distinguishes between **positive and negative shocks,** allowing for a more nuanced understanding of asymmetric fiscal responses in oil-exporting economies.

Key Findings for Oman

The empirical analysis confirms that Oman's fiscal policy effectiveness is closely shaped by the type of government spending, the nature of oil price shocks, and the time horizon. Several important findings emerge:

Figure 1: Total expenditure multipliers in Oman by horizon and by type of oil price shock



[3] Tahri, F., Saidi, Y., & Alrashidi, A. (2025). Government Expenditure Multipliers in Oman and other GCC Countries: Differential Effects of Oil Demand- and Supply-Driven Price Swings (Working Paper No. 2025/1).

Figure 2: Current expenditure multipliers in Oman by horizon and by type of oil price shock

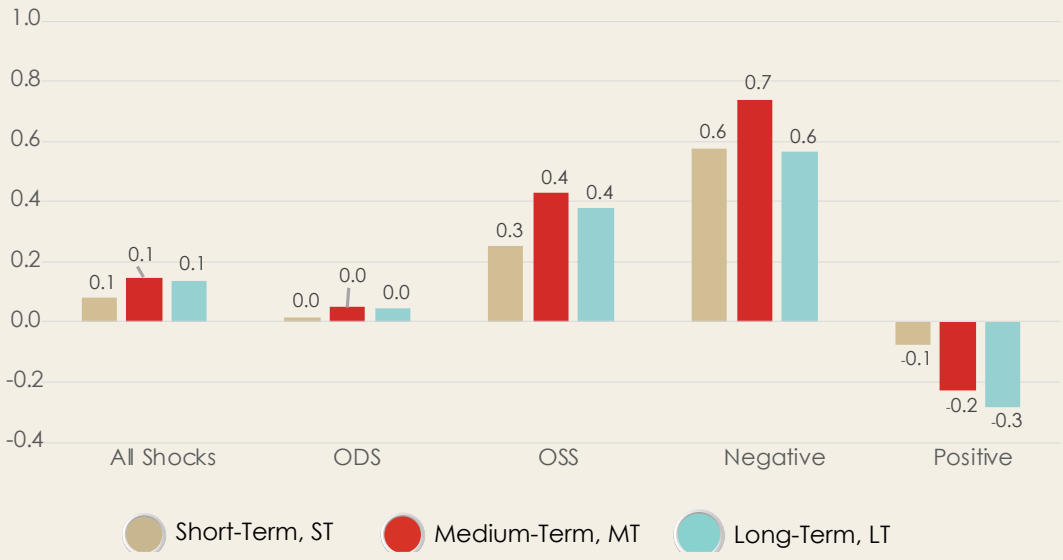
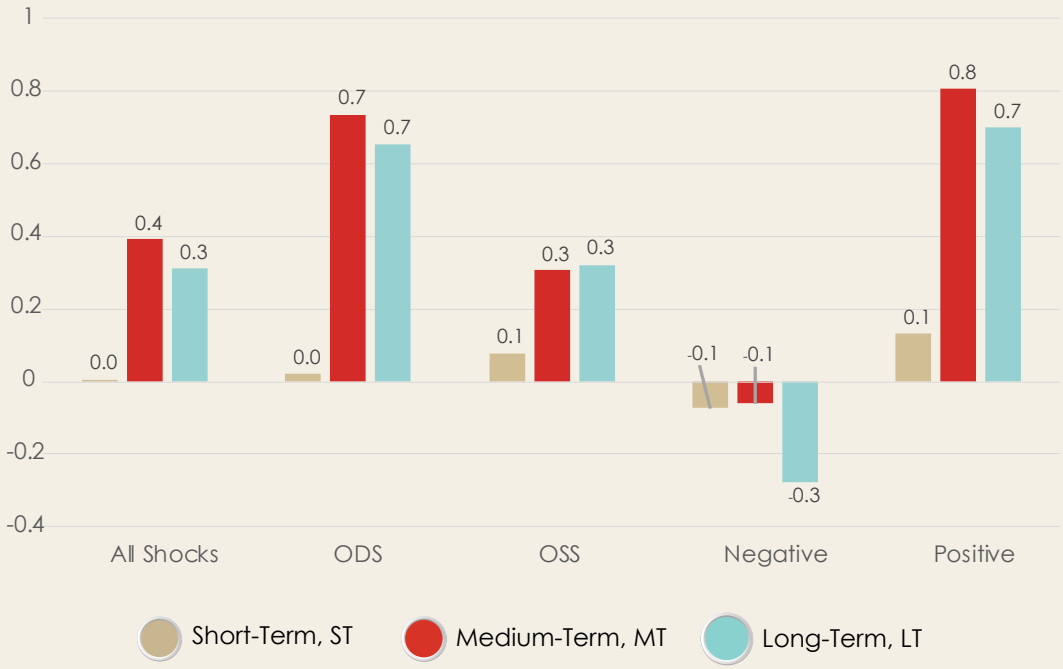


Figure 3: Capital expenditure multipliers in Oman by horizon and by type of oil price shock



Stronger multipliers from capital spending:

Capital expenditure yields the highest and most sustained fiscal multipliers, especially under positive and demand-driven oil price shocks. Long-term multipliers peak at 0.8, reflecting the strong returns on strategic investments in infrastructure, human capital, and development sectors - validating the prioritization of capital spending under Oman Vision 2040. These results underscore the need to enhance project execution efficiency to maximize the growth impact of such investments.

Multipliers strengthen over time:

Across all expenditure types, multipliers are modest in the short term, reaching their peak between 3 and 5 years. For instance, total expenditure multipliers grow from 0.2 in the short term to 1.2–1.6 in the long term. This delayed but rising impact underscores the importance of medium- to long-term fiscal planning and sustained public investment.

Oil demand shocks amplify fiscal effectiveness:

Demand-driven oil shocks lead to significantly higher multipliers than supply shocks. Under positive demand conditions, total spending multipliers reach 1.6 in the long term, while capital spending also reaches 0.8. These findings support a strategy of scaling up public investment during periods of strong oil demand to leverage pro-cyclical fiscal space.

Current spending plays a stabilizing role during downturns:

While current expenditure multipliers are generally low (around 0.1), they increase under negative oil shocks, peaking at 0.7. This highlights the stabilizing role of current spending in protecting vulnerable sectors and ensuring social stability during downturns. This confirms the need to prioritize targeted operational spending during adverse conditions while advancing structural reforms to enhance its long-term efficiency.

Spending composition shapes fiscal outcomes:

The results highlight the critical importance of spending quality and composition. Capital spending drives growth and diversification, while current spending needs structural reform to improve efficiency and reduce leakages, especially during fiscal expansions.

Asymmetric fiscal effects require adaptive policy:

The asymmetry of fiscal multipliers by shock type and sign confirms that fiscal policy should be differentiated—more expansive and investment-oriented under positive demand shocks, and more protective and targeted under negative supply shocks.

Oman's fiscal framework is becoming more responsive:

The observed rise in multipliers over time suggests that fiscal reforms and institutional efforts (e.g., particularly the

Non-Hydrocarbon Primary Deficit initiative) are enhancing the responsiveness and effectiveness of public spending, particularly in a more diversified economic model.

How Does Oman Compare to the GCC?

Oman's fiscal multipliers reflect a balanced path among GCC peers: modest in the short term but rising steadily over time. Total expenditure multipliers align with Bahrain and Saudi Arabia early in the short term (around 0.2), but climb to 1.2–1.6 in the long term, supported by Oman's strategic investment reforms. Medium-term capital expenditure multipliers (0.4) outperform many in the region, though still below Qatar's high infrastructure-led levels. Meanwhile, current spending multipliers remain low (around 0.1), mirroring regional patterns. Oman's gradual an investment-oriented strategy signals a lasting shift toward structural resilience and fiscal sustainability.

Policy Implications and Recommendations

In light of these findings, Oman can take the following steps to enhance the growth impact and resilience of its fiscal policy:

1. Enhance capital expenditure efficiency: Streamline project implementation, align infrastructure investments with non-oil growth sectors (e.g., technology, renewable energy, tourism), and conduct periodic reviews to improve delivery and returns on public investment.

2. Diversify revenue sources: Reduce reliance on oil by expanding the non-oil tax base, improving the business environment, and promoting private sector-led growth in innovation-driven sectors. Fiscal incentives can also boost private investment in priority areas.

3. Strengthen fiscal resilience: Build fiscal buffers, implement a counter-cyclical fiscal rule, and reallocate recurrent spending toward high-multiplier investments. The creation of contingency reserves and automatic stabilizers would cushion shocks while preserving long-term fiscal sustainability.

4. Improve public sector efficiency: Adopt more efficient budgeting, monitoring, and evaluation systems to reduce waste and enhance value for money. Transparent procurement and modern project management practices are critical to boosting the effectiveness of both current and capital spending.

5. Foster public-private partnerships (PPPs): Leverage private capital and expertise to expand infrastructure and social investments. Robust PPP frameworks can ease fiscal burdens, support job creation, and accelerate innovation.

By prioritizing capital expenditure, sustaining fiscal discipline, and deepening economic diversification, Oman is well-positioned to strengthen its macro-fiscal resilience, reduce oil dependence, and achieve its long-term development goals.

State General Budget 2025

The 2025 budget has been formulated in alignment with Oman Vision 2040 and the Tenth-Five-Year Development plan (2021-2025), reaffirming the government's commitment to sustainable economic growth, financial stability, and social wellbeing. It takes a proactive approach to reducing public debt costs through loan restructuring while prioritizing digital transformation, employment, maintaining essential service, and subsidies for basic needs.

Macroeconomic assumptions

For the 2025 budget remain consistent with those of the previous years. The budget is based on an average oil price of USD 60 per barrel and an oil production level of 1,001 thousand barrels per day, reflecting a conservative stance amidst ongoing global oil market uncertainty.

Total government revenues

Total government revenues are projected at OMR 11,180 million in 2025, representing a modest increase of 1.5 percent over the 2024 budget estimate (Table 3.6). Net oil revenues are expected to reach OMR 5,830 million, accounting for 52 percent of total revenues, and marking a slight decline of 1.4 percent compared to the previous year. Gas revenues, however, are estimated to rise by 12.8 percent to OMR 1,777 million, due to increased volumes sold and a 3 percent rise in the domestic selling price. As a result, oil and gas revenues combined will continue to dominate the revenue structure, making up over 70 percent of total public revenues, which underscores the persistent reliance on hydrocarbon resources.

Non-hydrocarbon revenues

Non-hydrocarbon revenues are projected to reach OMR 3,573 million, an increase of 1.5 percent compared to the 2024 budget. This includes revenue from taxes, fees, and other government service-related collections, reflecting the state's ongoing, albeit gradual, efforts to diversify its revenue base. Capital revenues and repayments, however, are expected to decline by 18.5 percent, reaching only OMR 53 million in 2025, a development that highlights the volatility of non-recurrent revenue sources. On the expenditure side, total government spending is estimated at OMR 11,800 million, registering a slight increase of 1.3 percent over the 2024 budget. Within this total, current expenditure is projected at OMR 8,555 million, representing 72.5 percent of total expenditure, and marking a marginal decline of 0.2 percent. Debt service payments are estimated at OMR 915 million, reflecting a significant drop of 12.9 percent from the previous year, which can be attributed to the success of government efforts in optimizing the cost and structure of public debt. Meanwhile, contributions and other public expenses are budgeted at OMR 2,345 million, rising by 7.7 percent compared to the previous year, and accounting for 19.9 percent of total expenditures, which reflects the state's ongoing support for social development and strategic sectors.

The government budget 2025 projected the fiscal deficit at OMR 620 million, representing 3.1 percent decline compared to 2024 budget, and 1.5 percent of GDP. External and domestic borrowing will finance OMR 220 million, while the remaining OMR 400 million will be financed by drawing on reserve.

The budget projects a fiscal deficit of OMR 620 million, equivalent to 1.5 percent of GDP, and down by 3.1 percent compared to the 2024 budget estimate. To finance this gap, the government plans to mobilize OMR 220 million through a mix of domestic and external borrowing, while the remaining OMR 400 million will be covered through drawdowns from financial reserves.

Table 3.1: Indicators of Fiscal Management					
Items	2020	2021	2022	2023	2024
Fiscal Balance as % of GDP	-15.2	-3.6	2.7	2.3	1.3
Total Revenues as % of GDP	0.0	33.3	34.3	30.8	31.1
Net Oil Revenues as % of GDP	13.5	16.7	18.1	17.6	18.1
Share of Oil Revenues in Total Revenues	46.3	50.1	52.7	57.0	58.3
Total Expenditure as % of GDP	44.3	37.0	31.6	28.5	29.8
Current Expenditure as % of GDP	31.0	28.0	23.9	21.0	20.8
Share of Current Expenditure in Total Expenditure	69.9	75.7	75.7	73.7	69.7
Investment Expenditure as % of GDP	3.7	3.6	3.1	3.3	3.6
Contributions & Other Expenses as % of GDP	3.6	3.1	4.6	4.1	5.4

Source: Ministry of Finance and National Center for Statistics and Information.

Table 3.2 Public Finance (Rial Omani Million)

Items	2020	2021	2022	2023	2024	% change 2024/23	2024 Budget	Implementaion rate compared to budget projections
REVENUES	**8503.2**	**11195.0**	**14473.0**	**12542.0**	**12781.0**	**1.9**	**11010.0**	**16.1**
Net Oil Revenues	3937.5	5613.0	7625.0	7150.0	7452.0	4.2	5915.0	26.0
Gas Revenues	1860.2	2629.0	3548.0	1868.0	1822.0	-2.5	1575.0	15.7
Current Revenues	2087.1	2874.0	3248.0	3500.0	3472.0	-0.8	3455.0	0.5
Capital Revenues	132.9	49.0	25.0	22.0	33.0	50.0	55.0	-40.0
Capital Repayments	485.5	30.0	27.0	2.0	2.0	0.0	10.0	-80.0
TOTAL EXPENDITURE	**12925.7**	**12418.0**	**13329.0**	**11607.0**	**12241.0**	**5.5**	**11650.0**	**5.1**
Current Expenditure	**9034.5**	**9400.0**	**10092.0**	**8554.0**	**8534.0**	**-0.2**	**8573.0**	**-0.5**
Defence & National Security	2834.8	2785.0	2928.0	2894.0	2987.0	3.2	3070.0	-2.7
Civil Ministries	4580.6	4428.0	4449.0	4616.0	4611.0	-0.1	4453.0	3.5
Public Debt Service	891.9	1054.0	1076.0	1044.0	936.0	-10.3	1050.0	-10.9
Gas Purchase &Transporting Expenditures	727.2	1133.0	1639.0	-	-	-	-	66.4
Investment Expenditure	**1079.7**	**1192.0**	**1306.0**	**1363.0**	**1498.0**	**9.9**	**900.0**	**1.5**
Development Expenditure for Civil Ministries	1071.8	1192.0	1306.0	1363.0	1498.0	9.9	900.0	2.5
Capital Expenditure for Civil Ministries	7.9	-	-	-	-	-	-	-25.5
Oil &Gas Production Expenditure	**1761.1**	**780.0**	**-**	**-**	**-**	**-**	**-**	**22.8**
Conrtibutions and Other Expenses	**1050.3**	**1046.0**	**1931.0**	**1690.0**	**2209.0**	**30.7**	**40.0**	**562.9**
Contributions in Domestic, Regional & International Institutions	72.8	7.0	69.0	20.0	41.0	105.0	55.0	-4.0
Development & Housing Loan Interests Subsidy	31.1	38.0	33.0	42.0	41.0	-2.4	460.0	10.3
Electricity Subsidy	725.3	556.0	546.0	500.0	565.0	13.0	35.0	20.3
Oil Products Subsidy	23.1	39.0	730.0	370.0	232.0	-37.3	25.0	0.0
Food Commodities Subsidy	1.8	-	20.0	12.0	24.0	100.0	184.0	0.0
Water Subsidy	-	95.0	75.0	158.0	203.0	28.5	59.0	-10.5
Wastage Subsidy	-	79.0	55.0	66.0	71.0	7.6	400.0	-100.0
Future Debt Obligations	-	150.0	200.0	400.0	400.0	0.0	84.0	34.3
Transport Sector Subsidy	-	0.0	115.0	100.0	84.0	-16.0	560.0	-184.4
Social Security Scheme Subsidy	-	-	-	-	501.0	-	240.0	-184.4
Other Sectors Subsidy	-	8.0	1.0	21.0	47.0	123.8	35.0	-100.0
SURPLUS/DEFICIT	**-4422.5**	**-1223.0**	**1144.0**	**936.0**	**540.0**	**-42.3**	**-640.0**	**-561.8**
FINANCING	**4422.5**	**1223.0**	**-1144.0**	**-936.0**	**-540.0**		**640.0**	**-1600.0**
Drawing from Reserves	500.0	400.0	-	-	-		400.0	-
Net Loans Received	1222.7	921.0	-2083.0	-1983.0	-1173.0		254.0	
Development Bonds(Net)	739.1	300.0	-82.0	-315.0	210.0		14.0-	
Net change in Government Accounts	1960.7	-398.0	1021.0	1362.0	423.0		-	

Source: Ministry of Finance.

Table 3.3
Breakdown of Current Revenues
(Rial Omani Million)

Items	2020	2021	2022	2023	2024	% change 2024/23
A. Taxes and Fees Revenue	**1199.2**	**1492.6**	**1839.8**	**2050.3**	**2077.0**	**1.3**
Income Tax on Companies and Establishments	468.4	446.0	533.4	747.6	677.9	-9.3
License Fees for Non Omani Labor Recruitment	166.2	222.1	225.8	177.0	204.0	15.3
Municipality Fess on Property Renting Contracts	35.8	26.8	28.3	26.9	29.6	10.0
Fees on Real Estate Transactions	51.5	50.1	44.0	47.4	51.1	7.8
Value Added Tax (VAT)	0.0	300.5	530.8	569.6	590.9	3.7
Excise Tax	72.0	103.4	96.4	89.7	93.3	4.0
Business Activities Licenses	22.8	23.7	19.6	21.3	21.5	0.9
Tansport Licences	69.7	68.4	65.0	75.0	81.5	8.7
Fees on Hotels & Other Facilities	13.8	5.6	26.3	34.6	30.9	-10.7
Fees on Concessionary Facilities	21.9	15.7	14.6	18.9	39.7	110.1
Various Domestic Fees	17.4	12.6	14.1	12.8	12.8	0.0
Licence Fees on Telecommunications Services	73.7	30.1	25.0	12.5	7.4	-40.8
Foreign Vehicles Empty Fees	0.2	0.2	0.4	1.1	1.1	0.0
Customs Taxes (Duties)	185.7	187.4	215.8	215.9	235.5	9.1
B. Non-Tax Revenue	**887.9**	**1381.5**	**1407.8**	**1449.9**	**1394.9**	**-3.8**
Water Revenue	20.9	14.3	0.3	0.0	0.0	0.0
Airport Revenue	41.1	36.1	58.0	70.9	82.2	15.9
Port Revenue	0.7	0.5	0.6	0.9	1.2	33.3
Telecommunications Facility Revenud	73.7	64.1	61.5	68.6	56.0	-18.4
Surplus from Public Authorities	9.5	21.1	14.4	16.1	17.2	6.8
Government Real Estate Rental Revenue	17.9	23.9	24.7	29.8	33.9	13.8
Dividends from Government Investments	237.5	833.2	812.5	805.4	805.3	0.0
Interest on Bank Deposits & Lending	8.1	10.2	28.8	34.8	16.8	-51.7
Passport and Immigration Fees	40.4	48.5	65.6	70.6	66.7	-5.5
Various Administrative Fees & Charges	50.1	66.6	72.1	73.2	77.3	5.6
Compensations, Fines & Forfeitures	123.9	97.6	103.5	106.7	113.6	6.5
Mining Revenue	7.4	7.0	10.1	9.6	11.4	18.8
Miscellaneous Revenue	225.6	129.0	105.1	136.9	76.6	- 44.0
Other Revenue	31.2	29.1	50.8	26.4	36.7	39.0

Source: Ministry of Finance.

Table 3.4
Breakdown of Civil Current Expenditure by Type of Expenses
(Rial Omani Million)

Items	2020	2021	2022	2023	2024	% change 2024/23
A. Total Wages, Salaries, Allowances and Others	**3488.4**	**3282.9**	**3402.4**	**3506.5**	**3531.3**	**0.7**
Salaries and Wages	1809.7	1601.2	1616.2	1649.0	1684.1	2.1
Allowances	1352.4	1171.6	1182.0	1208.1	1265.5	4.8
Other Remuneration	243.9	230.4	220.5	254.6	243.0	-4.6
Contribution to Pension Fund	82.4	279.7	383.7	394.8	338.7	-14.2
B. Expenditure on Goods and Services	**754.3**	**873.0**	**751.3**	**816.2**	**867.6**	**6.3**
Purchase of Goods	237.3	277.2	210.9	221.3	157.6	-28.8
Purchase of Services	400.9	436.4	415.3	421.7	486.6	15.4
Expenses of Government Services	108.9	140.9	114.8	124.9	122.4	-2.0
Others	7.2	18.5	10.3	48.3	101.0	109.1
C. Subsidies and Other Current Transfers	**337.9**	**259.9**	**270.2**	**268.7**	**177.6**	**-33.9**
Total Civil Current Expenditure	**4580.6**	**4415.8**	**4423.9**	**4591.4**	**4576.5**	**-0.3**

Source: Ministry of Finance.

Table 3.5
Government Debt Indicators
(Rial Omani Million)

Items	2020	2021	2022	2023	2024	% change 2024/23
1.Stock of Debt (R.O.Million)	18755.5	20473.7	17601.6	15263.5	14603.0	-4.3
2. Principal Repayments (R.O.Million)	1072.9	1729.0	4104.0	2675.0	2042.0	-23.7
3. Interest Payments (R.O.Million)	891.9	1054.0	1076.0	1044.0	936.0	-10.3
4. Debt Indicators **						
(a) Debt to GDP ratio (%)	64.3	61.0	41.7	37.5	35.5	-5.3
(b) Debt Service ratio (%)***	13.3	14.8	19.7	13.9	9.8	-29.5

**Since non-government debt is not included in deriving these indicators, they do not reflect the debt of Oman as a whole, and hence, they are strictly not comparable with standard published debt indicators for other countries.
*** Relating to external debt of the Government only. Debt- service ratio implies principal repayments plus interest payments as percentage of export of goods and services.
Note:
1. Principal Repayments (item 2) and Interest Payments (item 3) have been augmented to represent external as well as domestic outstanding debt.
2. The overall debt numbers may differ from the data published earlier due to inclusion of overdraft facility from CBO.

Table 3.6
Budget Estimates & Actuals (Rial Omani Million)

Items	2024 Budget	2025 Budget	% Change
TOTAL REVENUES	**11010.0**	**11180.0**	**1.5**
Net Oil Revenues	5915.0	5830.0	-1.4
Gas Revenues	1575.0	1777.0	12.8
Current Revenues	3455.0	3520.0	1.9
Capital Revenues	55.0	45.0	-18.2
Capital Repayments	10.0	8.0	-20.0
TOTAL EXPENDITURE	**11650.0**	**11800.0**	**1.3**
Current Expenditure	**8573.0**	**8555.0**	**-0.2**
Defence & National Security	3070.0	3070.0	0.0
Civil Ministries	4453.0	4570.0	2.6
Public Debt Service	1050.0	915.0	-12.9
Investment Expenditure	**900.0**	**900.0**	**0.0**
Conrtibutions and Other Expenses	**2177.0**	**2345.0**	**7.7**
Contributions in Domestic, Regional & International Institutions	40.0	85.0	112.5
Development & Housing Loan Interests Subsidy	55.0	73.0	32.7
Electricity Subsidy	460.0	520.0	13.0
Oil Products Subsidy	35.0	35.0	0.0
Food Commodities Subsidy	25.0	15.0	-40.0
Water Subsidy	184.0	194.0	5.4
Wastage Subsidy	59.0	59.0	0.0
Future Debt Obligations	400.0	440.0	10.0
Transport Sector Subsidy	84.0	82.0	-2.4
Social Security Scheme Subsidy	560.0	577.0	3.0
Projects with a Developmental Impact	240.0	240.0	0.0
Other Sectors Subsidy	35.0	25.0	-28.6
SURPLUS/DEFICIT	**-1300.0**	**936.0**	**-172.0**
FINANCING	**1300.0**	**-936.0**	
Drawing from Reserves	400.0	0.0	
Net Loans Received	913.0	-1983.0	
Development Bonds (Net)	-13.0	-315.0	
Net Change in Government Accounts	-	1362.0	

Source: Ministry of Finance

CHAPTER 4

MONEY, BANKING, AND FINANCIAL INSTITUTIONS





ANNUAL REPORT 2024

The monetary and banking landscape of Oman during 2024 was characterized by an effective adaptation to the evolving global financial conditions, particularly the shift in the US monetary policy towards easing. The banking sector demonstrated resilience with robust assets growth, strong asset quality and enhanced profitability. The Islamic banking segment also continued its growth trajectory, reinforcing its position as a vital component in Oman's financial sector. Additionally, the capital market showed positive momentum with increased market capitalization and continued development of the debt market through multiple government bonds issuances.

The monetary policy in Oman remained anchored to that in the US due to the currency peg. The exchange rate peg continues to provide a credible nominal anchor for Oman. It reduces uncertainty and contributes to maintaining low and stable inflation in the country. Throughout the year, the CBO focused on ensuring sufficient liquidity in the banking sector. This enabled the banking sector to continue performing its intermediation function effectively. The CBO has also implemented various regulatory and technological initiatives to promote financial innovation, enhance payment systems, and support a shift towards a more digital society away from cash.

Overall, the banking and financial sector remained solid, supporting economic activities while persevering financial stability. Against this backdrop, the following sections provide a detailed assessment of monetary developments, banking performance, and financial sector trends in 2024.

Banking and Monetary Indicators

The Omani banking sector exhibited strong financial resilience in 2024, underpinned by robust capital buffers, ample liquidity, and strong asset quality. The CBO's balance sheet grew by 4.7 percent in 2024, driven mainly by a 5.0 percent increase in foreign assets. Similarly, the banking sector's total assets grew by 6.6 percent, reaching OMR 44.6 billion by the end of 2024.

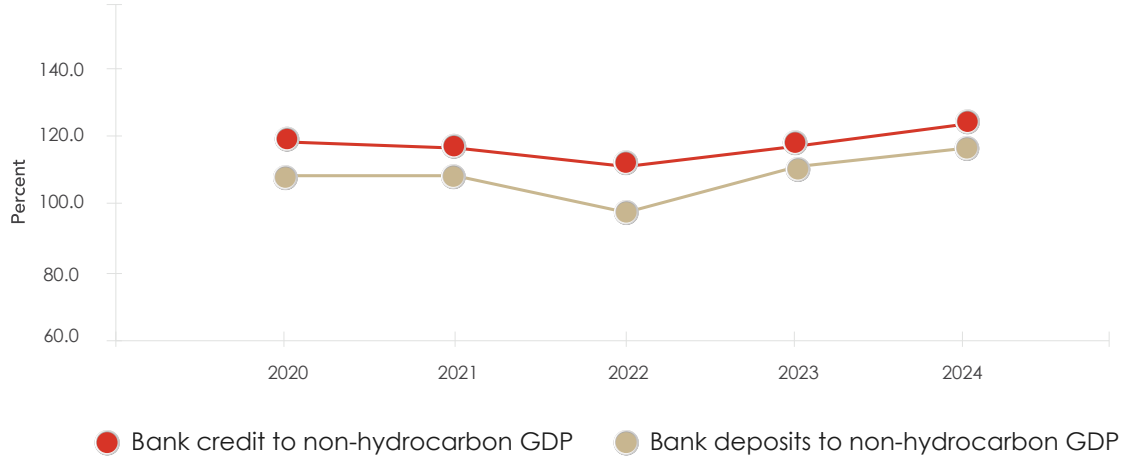
Bank credit increased by 6.7 percent, totaling OMR 32.5 billion, primarily directed towards the private sector, showcasing the sector's commitment in supporting and enabling private business activities. Total deposits rose by 9.1 percent over the year, providing banks with a stable funding base to support their growing lending activities.

The capital position of Oman's banking sector remains robust, with Capital Adequacy Ratio (CAR) of 18.2 percent, well above the minimum regulatory requirements of 13.5 percent. This healthy capitalization was complemented by strong liquidity metrics, with a Liquidity Coverage Ratio (LCR) of 190.6 percent and a Net Stable Funding Ratio (NFSR) of 118.2 percent, both significantly surpassing the 100% regulatory threshold. Asset quality maintained its soundness, with Gross Non-Performing Loans (NPLs) at 4.5 percent, while net NPLs ratio stood at 1.4 percent at the end of December 2024, suggesting effective credit risk management practices.

Financial deepening continued to progress as evidenced by the rising bank credit to nominal non-hydrocarbon GDP ratio, which increased from 112 percent in 2023 to 115.7 percent in 2024. On a similar note, the deposits to non-hydrocarbon GDP ratio increased from 106.9 percent to 111.5 percent over the same period, reflecting banks' ability in performing their intermediation function effectively (Chart 4.1 a). Together, these trends underscore the banking sector's expanding role in supporting economic diversification away from hydrocarbons in line with Oman's Vision 2040. Meanwhile, the income velocity of broad money (GDP

over M2), which is a measure of how quickly money circulates to generate economic activity, reached 1.7 in 2024, broadly unchanged from the previous year (Chart 4.1 b). This relative stability suggests that the increase in broad money supply is largely consistent with the pace of the country's nominal economic activity (Table 4.1).

Chart 4.1 (a): Bank Credit & Bank Deposits to Non-hydrocarbon GDP Ratio



Monetary Aggregates

In 2024, monetary indicators highlighted sustained financial sector strength, with continued growth in broad money (M2) despite a measured decline in the monetary base (M0). M0 contracted by 10.8 percent in 2024, mainly reflecting an 11.7 percent decline in commercial banks' clearing balances held with CBO as deposits, which stood at OMR 1.2 billion by the year end (Table 4.2). In addition, Currency in Circulation (CIC) declined by 10.2 percent, highlighting the continued shift away from physical cash toward electronic digital transactions. Another relevant indicator in this context is the money multiplier which increased from 8.0 percent to 9.6 percent in 2024, aiding the overall increase in the money supply this year (Chart 4.1 b).

Monetary aggregates continued to expand during the year, although at a slower pace than in 2023. M2 grew by 8.1 percent over the year, driven by increases in both of its components; quasi-money and narrow money (M1). On the one hand, quasi money, which includes savings and time deposits in Omani Rial as well as foreign currency, grew by 4.4 percent due to a 12.6 percent increase in saving deposits despite a slight 1.2 percent decrease in time deposits in Omani Rial (Table 4.3). Similarly, M1 recorded a robust growth of 18.6 percent, primarily as a result of a 27.2 percent increase in demand deposits in Omani Rial, which offset the 15.3 percent decline in currency held by the public (Chart 4.1 c).

The expansion of M2 was supported by an increase in Net Foreign Assets (NFA) of the banking sector by 14.9 percent, largely driven by a substantial increase in foreign assets held by Other Depositary Corporations (ODCs), which surged by 326 percent from OMR 195.7 million to OMR 833.9 million. This sharp increase is primarily driven by a rise in conventional banks' foreign assets, prompted by attractive interest rates abroad, and a simultaneous decline in their foreign liabilities. In a similar manner, net foreign assets held with CBO also increased, albeit at a more moderate pace of 4.9 percent, reflecting continued accumulation of external buffers to support the currency peg (Table 4.4).
At the same time, domestic assets rose by 5.6 percent, with notable contributions from increased net claims on the government by 12.8 percent, as well as credit growth to both the private sector by 6.5 percent and public enterprises by 9.1 percent.

Chart 4.1 (b): Income Velocity & Money Multiplier

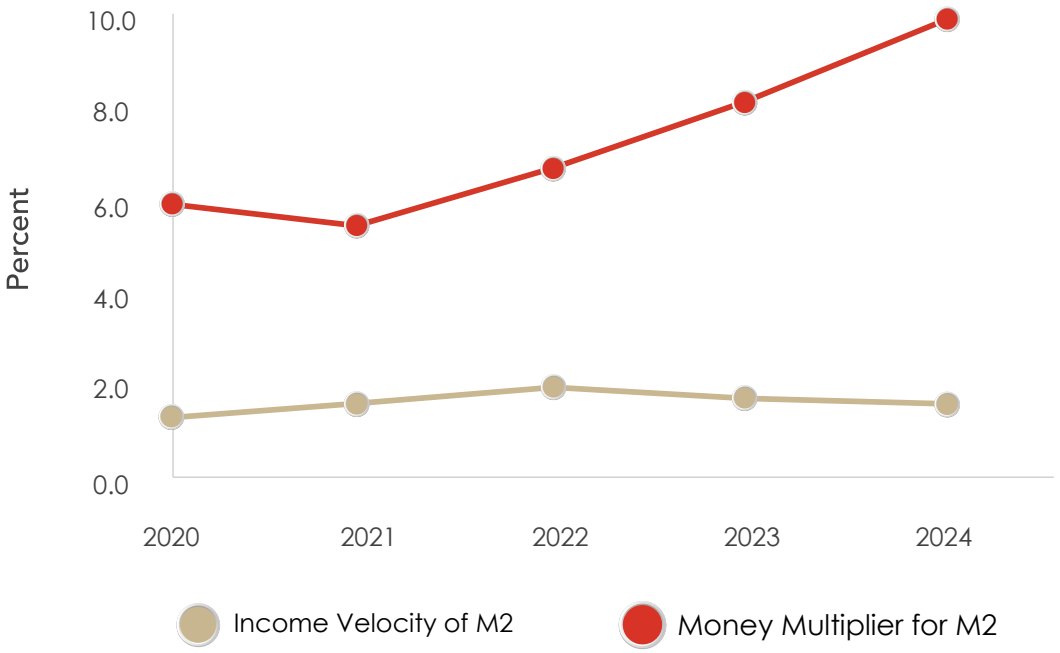
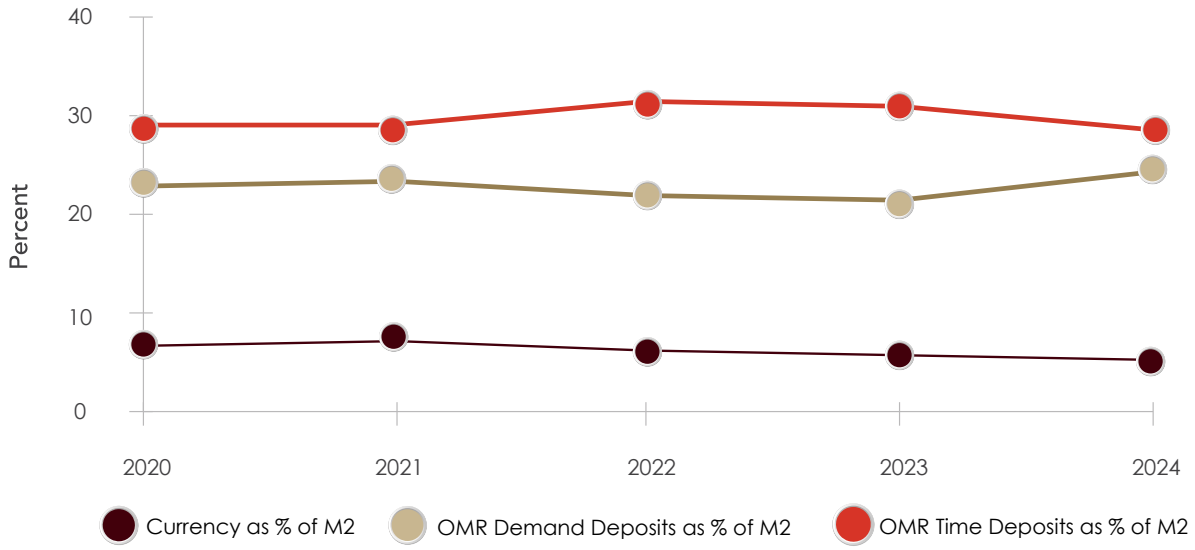


Chart 4.1 (c): Currency & Deposit Ratios

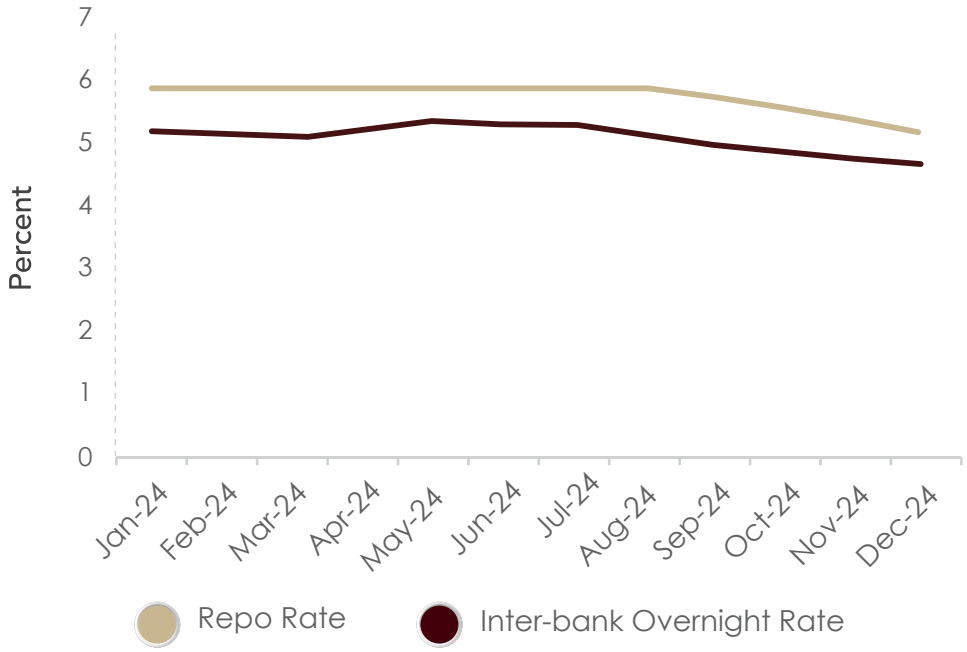


CBO's Monetary Policy

The CBO continued to align its monetary policy with that of the US Federal Reserve as part of the exchange rate peg of the Omani Rial to the US Dollar. This peg continues to provide a credible nominal anchor for Oman, reducing uncertainty and contributing to maintaining low and stable inflation in the country. In 2024, the U.S. Federal Reserve reduced its policy rate three times in response to easing inflationary pressures. The first cut occurred in September, lowering the target range by 50 basis points to 4.75–5.00 percent from 5.25–5.50 percent. This was followed by two subsequent reductions of 25 basis points each, in November to 4.50–4.75 percent, and in December to 4.25–4.50 percent, where the rate has remained until the end of the year.

The CBO sets its policy rate (repo rate) by aligning it with the upper limit of the US target federal funds rate (TFFR), adding an extra 50 basis points as risk premium to account for the varying risk profiles of the two economies. The CBO also ensures bringing about the target liquidity change by absorbing and/or injecting liquidity from time to time depending on the situation through various instruments such as repurchase agreements. Accordingly, CBO's average repo rate reached 5.145 percent in December 2024, marking the end of a monetary tightening cycle. This has, consequently, led to a decrease in the average inter-bank overnight rate from 5.255 percent in 2023 to 5.047 percent in 2024 (Chart 4.2).

Chart 4.2: Short-Term Interest Rates

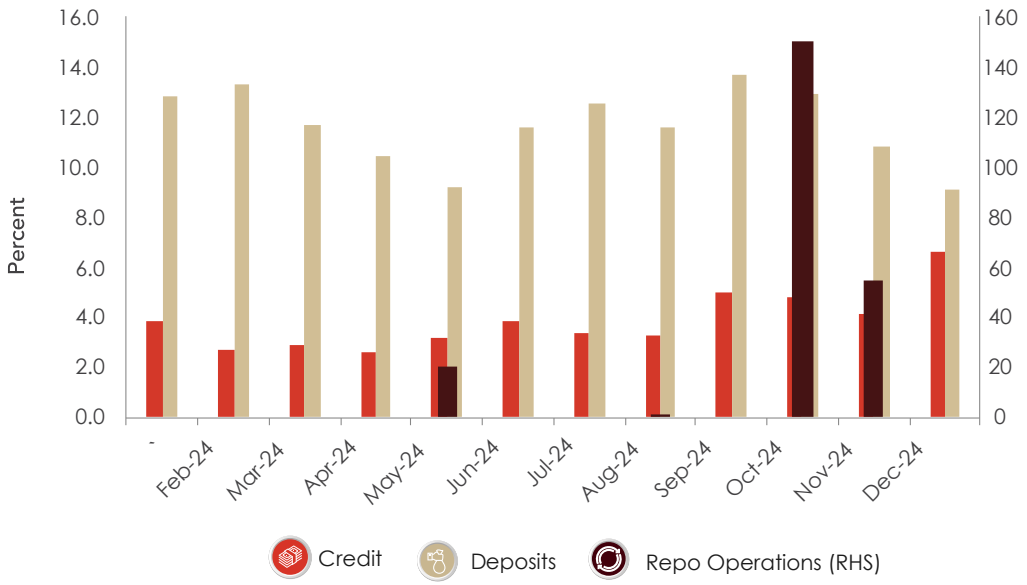


Money Market

The money market is a key player in banking intermediation and monetary policy transmission. The CBO's approach to managing aggregate liquidity in the domestic financial system through various instruments, such as repos, works as an effective mechanism that influences short-term interest rates while maintaining the fixed exchange rate against the US dollar. Given the reduction of the Federal Reserve's rate of 4.25-4.50 percent during the last quarter of 2024, and the consequent reduction in CBO's repo rate at 5.145 percent, the money market rates in Oman decreased accordingly.

The total value of repos, representing secured borrowing by banks from CBO, decreased by 84.2 percent from OMR 1,424.8 million in 2023 to OMR 225.4 million in 2024. Moreover, the total value of treasury bills issued increased to OMR 2224.5 million in 2024 from OMR 1689.4 million in 2023 (Table 4.5). Apart from meeting the government's demand for short-term funding, treasury bills facilitate the development of money market by providing reliable benchmark rates across various maturities (Chart 4.3).

Chart 4.3: Liquidty Injection and Growth in Credit and Deposits



Capital Market

The strategic importance of capital market development extends beyond simple intermediation, serving as a critical mechanism for efficient resource allocation and risk diversification. Oman's emphasis on integrating capital market development within its financial sector strategies reflects a clear recognition of its role in supporting economic diversification and reducing reliance on bank-based financing.

The debt market made some progress in the last few years with regular issuance of government development bonds (GDBs) to finance the fiscal deficit. In 2024, GDBs were issued in four tranches with a cumulative value of OMR 423 Million and maturities ranging from two to five years, demonstrating a strategic approach to debt management that balances immediate funding needs with market development objectives.

The total outstanding amount of GDBs stood at OMR 2,440.5 million at the end of 2024, of which OMR 1,557.2 million were held with commercial and specialized banks. The holding pattern of GDBs at the end of 2024 showed that banks held the highest share of 64.0 percent, followed by pension funds with 29.3 percent share (Table 4.6 (a)).

On the equities side, market indicators point to a moderate recovery. Table 4.6 (b) shows increased in equity share prices as the MSX-30 index by 1.4 percent in 2024 following a 7.1 percent decline in 2023. More significantly, market capitalization surged by 15.9 percent during 2024 reaching OMR 27.6 billion driven by new listings. Notably, the initial public offering (IPO) of OQEP in October 2024 raised USD 2 billion, marking the largest IPO in Oman's history.

Foreign Exchange Market

The fixed exchange rate regime of Oman has served the economy well by providing a credible monetary anchor and stable inflation. Given the dominance of oil exports in the tradable sector and the limited benefits of a flexible exchange rate for competitiveness, such a system helped reduce exposure to exchange rate risks. Preserving the parity of the peg remains an overriding objective for the CBO. The government continued to serve as the primary provider of foreign currency to the Central Bank, whilst commercial banks continued to be the primary purchasers. A total of USD 19.86 billion was purchased by CBO from the Ministry of Finance and other government entities in 2024, whereas sale of US dollars by CBO to banks amounted to USD 20.16 billion.

Interest Rate Structure and Developments

The Omani banking sector experienced subtle shifts in interest rates between December 2023 and December 2024, reflecting evolving monetary policy and conditions as well as market dynamics. The weighted average interest rate on total deposits (Omani Rial plus foreign currency deposits), declined from 2.722 percent in 2023 to 2.533 percent in 2024. This downward trend in deposit rates suggest an easing of liquidity pressures within the banking system in response to broader economic factors, particularly, the reduction of the policy rate in the last quarter of 2024. In contrast, overall lending rates (Omani Rial plus foreign currency), witnessed a slight increase from 5.758 percent in 2023 to 5.775 percent in 2024. A closer look reveals divergent trends within lending categories. Interest rates on local currency lending slightly increased from an average of 5.514 percent to 5.645 percent, attributed to strong demand for credit and the shift towards accommodative monetary policy only introduced in the latter half of the year (Table 4.7d). In contrast, interest rates on foreign currency lending decreased from 7.512 percent in December 2023 to 6.645 percent in 2024.

Most importantly, the interest rate spread between local currency lending and deposits has widened, increasing from 2.878 percent in December 2023 to 3.098 percent in December 2024 (Table 4.7a). This indicates a higher net interest margins leading to the higher profitability achieved during the year. The analysis of the distribution pattern of deposits revealed that 50.6 percent of Omani Rial deposits held with conventional banks at the end of December 2024 earned interest rates of 2 percent or less per annum (Table 4.7b), while 49.1 percent of Omani Rial time deposits held in banks earned a return of 5.0-6.0 percent in the same period (Table 4.7c).

Regulatory and Supervisory Developments

The CBO has introduced a series of regulatory and supervisory measures in line with international best practices to ensure the sound growth of the banking sector and safeguard financial stability. As part of its commitment to fostering innovation in financial services, the CBO has issued a comprehensive framework for "Buy Now, Pay Later" (BNPL) offerings. This framework applies to individuals or entities providing BNPL services within the Sultanate of Oman, excluding licensed banks and finance and leasing companies.

In support of the national objective to promote a society with less cash, the CBO authorized 6 Payment Systems Providers (PSPs) for providing different payment services, such as wallet issuing services and payment gateway services during 2024. Additionally, CBO ensured successful launch of Card Tokenization with the help of banks to offer Samsung Pay and Apple Pay. Both of these allows consumers to pay via smart phone instead of conventional physical cards, which provides more seamless experience to customers.

To enhance the speed, accuracy and efficiency of cross border payments, mandated the use of the International Bank Account Number (IBAN) in 2024. This requirement simplified international transactions by eliminating the need to remember complex bank codes and efforts to verify authenticity of bank account number while receiving international payments.

To further advance the FinTech, the CBO has articulated a strategic vision to create a dynamic and effective digital financial ecosystem. This vision seeks to drive sustainable innovation that strengthens competitiveness and supports the diversification of the national economy.

As part of this strategy, the CBO has introduced regulatory enablers designed to respond to market needs and technological advancements. One key initiative under this strategy is the issuance of the Open Banking Regulatory Framework. This framework enables third-party service providers to securely access customer financial data—with the customer's consent—to develop new, customer-centric financial products and services. Open banking is expected to enhance customer experience, stimulate competition, and drive continued innovation across the financial sector.

Central Bank Operations

The CBO demonstrated balance sheet expansion in 2024 with total assets increasing by 4.7 percent, a notable recovery from the slight decline of 0.4 percent in 2023. This growth was primarily driven by foreign assets, comprising a dominant 95 percent of total assets, increased by 5 percent recovering from a marginal decline of 0.6 percent during 2023. A key strategic move was the substantial increase in CBO's holdings of gold bullion, which surged by 203 percent to reach OMR 234 million in 2024, up from OMR 77.3 million in 2023, indicating an effective diversification of reserves and creating a hedge against elevated global uncertainty. Similarly, securities and IMF reserve assets also saw positive contributions, increasing by 4.5 percent and 3.8 percent, respectively in 2024 to reinforce CBO's robust reserve position. (Table 4.8a).

On the liabilities side, currency issued declined by 10.2 percent in 2024, following a 1.4 percent drop in 2023, reflecting Oman's journey towards greater adoption of digital payments and financial technology solutions. While paid-up capital remained at OMR 1 billion by year end, general reserves increased by 6 percent to OMR 555.3 million, providing a robust 41 percent of the currency in circulation.

CBO's net worth registered an increase of 7.5 percent, though this marked a decline from the 14.9 percent increase recorded in 2023. A significant 59.4 percent increase in government deposits underscores improved fiscal inflows, complemented by 5.8 percent increase in foreign liabilities, offsetting the 5.8 percent decline observed in the previous year.

Commercial Banks' Operations and Performance

The consolidated balance sheet of ODCs, combining conventional banks as well as Islamic banks and windows provides a holistic view of Oman's financial intermediation landscape (Table 4.9).

In 2024, the balance sheet of ODCs expanded by 6.6 percent, building on a growth of 7.8 percent in 2023, signaling robust financial sector activity supported by strong credit demand and deposit mobilization. On the assets side, total credit rose by 6.7 percent in 2024, up from 4.3 percent in 2023. Credit to the private sector, which accounted for 83.3 percent of total credit, increased by 5.9 percent compared to 4.7 percent in 2023, further highlighting the financial sector's deep integration with the real economy. Furthermore, investment activity also remained robust, with total investments rising by 22.7 percent in 2024 compared to 15.0 percent in the previous year.

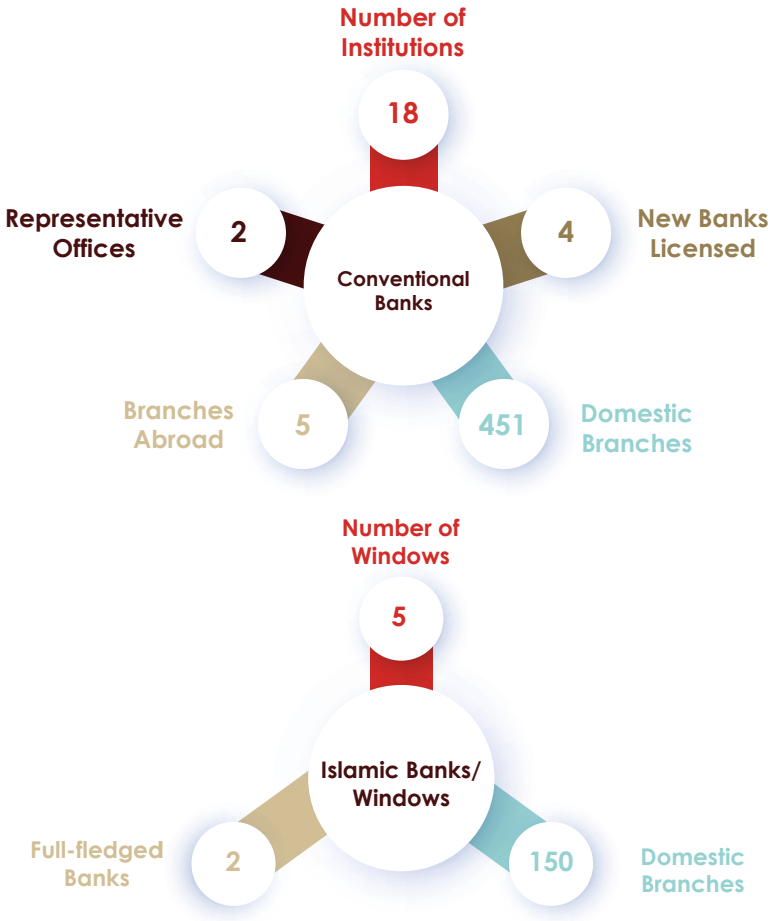
On the liabilities side, total deposits with ODCs increased by 9.1 percent, following a growth of 12.3 percent in 2023, highlighting public trust and increased liquidity within the banking system. Private sector deposits made up the largest share at 65.6 percent of total deposits, with significant contributions

from the household sector at 49.9 percent and non-financial corporations at 30.7 percent.

In terms of profitability, ODCs' net profits grew by a healthy 20 percent, reaching OMR 529.6 million in 2024 (Table 4.12). This was supported by a 16.2 percent increase in foreign exchange earnings and a 7.8 percent decline in provisions for non-performing assets, despite a 14 percent decline in other income and an 8.7 percent increase in operating expenses.

Balance Sheet of Conventional Banks

Conventional banks, representing 82 percent of ODC's assets, saw their total assets increase by 4.4 percent in 2024, a moderation from 6.7 percent in 2023 (table 4.10a). Credit extended grew by 4.8 percent, primarily benefiting the private



sector and public enterprises with increases of 3.6 percent and 6.9 percent, respectively, indicating targeted lending to key economic drivers. A notable 19.1 percent increase in credit to non-residents suggests expanding cross-border financial engagement of local conventional banks. Investments in securities surged by 20.3 percent, surpassing the 16.6 percent growth recorded in 2023, mainly driven by a 30.3 percent increase in foreign securities, reflecting a strategic pursuit of international investment opportunities.

On the liabilities side, total deposits increased by 6.2 percent, with notable increases of government and public enterprises deposits by 5.3 percent and 11 percent, respectively. Private sector deposits, which remained the major contributor to conventional banks' deposits, grew by 4.8 percent, while non-residents deposits saw a substantial 37 percent increase highlighting growing international confidence and capital inflows.

An analysis of the sources of funds, given in table 4.10b, reveals broad-based deposit expansion, with private sector deposits increasing by OMR 746.4 million and public enterprises by OMR 247.6 million. Notably, conventional banks reduced their reliance on foreign bank borrowings by OMR 413.9 million.

Regarding the uses of funds, incremental credit expanded by OMR 1,163.8 million in 2024, with OMR 723.4 million directed to the private sector and 242.9 million to public enterprises. Incremental funds for investments and placements abroad increased substantially by OMR 1,017.4 million in 2024, up from OMR 713.3 million in 2023, reflecting a shift towards capitalizing on attractive returns in global markets amid elevated international interest rates. Furthermore, as detailed in Table 4.10c, foreign assets grew by OMR 230.9 million, mainly due to higher investments in foreign securities and greater balances due from banks overseas. Conversely, foreign liabilities fell by OMR 290.4 million, largely owing to a reduction in long-term bond obligations.

Balance sheet of Islamic Banks and Windows

The Islamic banking sector continues to significantly bolster financial intermediation in Oman, demonstrating consistent growth since the launch of their operations in 2013 (Table 4.11). Islamic Banking Entities (IBEs) sustained a healthy pace with total assets increasing by 16.6 percent in 2024, building on the 14.6 percent observed last year. This robust expansion underscores the increasing acceptance and demand for sharia-compliant financial products in Oman.
Total financing and investments increased by 14.2 percent and 45.7 percent, respectively, indicating strong deployment of funds into economic activities and strategic asset allocation. On the liabilities and equity side, total deposits and capital & reserves figures grew by 21.4 percent and 9.6 percent, respectively, reflecting strong public confidence and capital accretion within the Islamic banking segment. Consequently, IBE's share in the total assets of the banking sector increased from 17.6 percent in 2023 to 19.2 percent in 2024, affirming their growing systematic importance and contribution to financial sector diversification.

Sectoral Flow of Banking Sector Credit

The sectoral distribution of credit provides valuable insights into the structure of Oman's economy as well as the banking sector's role in supporting economic diversification. The personal loans remained the dominant category, accounting for 36.7 percent of the total credit portfolio. Several other productive sectors have also recorded positive credit growth during the year. Notably, the mining and quarrying sector recorded the highest growth at 56.1 percent. Credit to the transport and communication sector also grew by 5.4 percent, a significant slowdown from 27.1 percent in 2023, yet still maintains its position as key recipient of banking finance. Similarly, the wholesale and retail trade sector's robust 7 percent credit growth suggest positive momentum in household and consumer spending. Credit to the manufacturing and import trade sectors have also grew during 2024, albeit at much modest rates of 0.4 percent and 1.7 percent, respectively. Finally, the construction sector's 8.6 percent share of total credit highlights its continued importance in Oman's economy, despite the slight 2 percent decrease in sector lending during 2024 (Table 4.13).

Specialized Banks

Oman's two government owned specialized banks; Oman Housing Bank (OHB) and Oman Development Bank (DB), continued to support targeted lending segments on 2024. OHB, which offers soft housing loans

to Omani citizens, saw its outstanding mortgage portfolio grow by 11.5 percent to OMR 858.5 million compared to 11.1 percent growth in 2023. Its shareholders equity rose by 3.9 percent to OMR 349.7 million from 336.5 million in 2023, maintaining an upward trend. DB, which finances development project in various sectors and SMEs, recorded a 21.4 percent increase in loans and advances to 246.5 million in 2024, moderating slightly from a 30.8 percent increase in the previous year. However, DB's shareholders equity surged by 26.2 percent to OMR 216.8 million, a marked acceleration from the 1.7 percent growth seen in 2023 indicating stronger capital support and lending capacity (Statistical Appendix T8 and T9).

Finance and Leasing Companies

Finance and Leasing Companies represent an important component of Oman's financial landscape, providing financing solutions that complement traditional banking services. The five FLCs operating with a network of 47 branches across the Sultanate contribute to financial inclusion by offering alternative financing channels to certain market segments. The robust 12.9 percent growth in total assets of FLCs in 2024 demonstrate the continued demand for their services (Table 4.14). This is further reaffirmed by the 14.2 percent increase in their total loans/lease portfolio, reflecting healthy business expansion and greater market integration following the CBO's 2023 regulation which allows FLCs to accept deposits and broaden their lending scope to include real estate projects, working capital facilities and unsecured personal finance to individuals.

The asset quality metrics present a nuanced picture. On the one hand, the gross non-performing loans of FLCs increased by 8.6 percent in absolute terms. On the other hands, the ratio of gross non-performing loans to total loans/lease portfolio improved by decreasing to 17.2 percent at December 2024 from 18.1 percent a year earlier. This improvement in the NPL ratio, despite growth in absolute NPL volume, suggests higher quality of new lending and strengthened risk management practices. It is also worth noting that FLCs continued to depend largely on borrowings from banks and other financial institutions to meet their funding needs, which accounted for 54.7 percent of their total assets as of December 2024. In addition, FLCs reported a 15.2 percent increase in net profit after provisions and taxes in 2024, reflecting improved operational performance and profitability.

Money Exchange Companies

Money exchange business in Oman is conducted by two types of institutions: those involved in foreign currency exchange and cross-border money transfers, and those engaged solely in foreign currency exchange. By end of December 2024, there were 15 licensed exchange establishments with 579 branches across the country, up from 461 in 2023, alongside 28 foreign currency changing firms. These institutions are regularly reviewed by the CBO to ensure compliance with regulatory standards. Despite the branch expansion, total net assets of the 15 exchange establishments declined by 2.1 percent to OMR 94.6 million in 2024, following a 6.9 percent drop the previous year. However, liquid assets slightly increased to OMR 72.6 million (OMR 44.9 million as net balances with banks, and OMR 27.7 million as cash in hand), accounting for 76.4 percent of total net assets, up from 73.8 percent in 2023. The total capital, reserves and earnings edged up to OMR 71.7 million, marking a 2.99 percent annual growth compared to 2.2 percent in the previous year indicating improved resilience despite modest asset contraction.

Box 4.1: Assessing the Ceiling on Personal Loans Interest Rates in Oman

Historically, interest rates on both local and foreign currency loans and deposits in Oman were subject to regulatory ceilings. However, in May 1979, the ceiling on foreign currency deposit rates was lifted, and the maximum lending rate was capped at 1.5 percentage points above the relevant LIBOR. CBO continued to enforce caps on both bank deposits and loans until 1993, when the deposit rate ceiling was lifted, and the cap on loan interest rates was lowered to 10.75 percent. In June 1994, a decision was made to deregulate interest rates for all loans except personal loans of OMR 9,000 or less. The interest rate ceiling for these personal loans was adjusted based on market conditions resulting in caps ranging from 12 to 13 percent, depending on the loan's maturity.

The new millennium saw a series of consecutive reductions in the ceiling on personal loan interest rates in Oman. The first cut was in December 2001, when the ceiling was lowered to 12 percent effective January 2002. This was followed by further reduction to 11 percent in April 2003 and 10 percent in October 2003. At the same time, the quantitative ceiling on personal loans was increased to 42.5 percent with effect from January 2004. The following year, the interest rate ceiling on personal loans was further brought down to 9 percent, effective January 2005. The following year, a distinction was made between housing and non-housing loans with specified credit limits issued for the banks. Subsequently, the year 2008 witnessed two reductions in the interest rate cap, to 8.5 and 8 percent in April and June respectively. By April 2012, the cap was revised to 7 percent followed by a final reduction to 6 percent in October 2013. Over the past decade, this interest rate ceiling on personal loans in Oman has remained unchanged, regardless of the stance of monetary policy.

In December 2001, it was announced that the interest rate ceiling would be reduced to 12 percent, effective January 2002. In April 2003, the interest rate ceiling was further lowered to 11 percent. On October 15, 2003, the policy was modified again, raising the quantitative ceiling on personal loans to 42.5 percent and lowering the interest rate ceiling to 10 percent, both with effect from January 2004. The ceiling rate of interest chargeable by a bank on personal loans was further brought down to 9 percent with effect from January 1, 2005. Later in April 2006, a distinction was made between housing and non-housing loans while specifying credit limits for banks. Later in June 2008, the ceiling on interest rates on personal loans was brought down to 8 percent after it was reduced to 8.5 percent in April 2008. By April 2012, this rate was adjusted to

7 percent, down from the previous 8 percent. The current interest rate cap of 6 percent on personal loans has been in place since October 2013. Over the past decade, this rate cap has remained unchanged, regardless of the stance of monetary policy.

Interest rate ceilings are widely implemented across the globe, with at least 76 countries enforcing some form of restriction on credit interest rates. Notably, 25 high-income countries (33 percent of all high-income countries), 16 upper-middle-income countries (30 percent), 25 lower-middle-income countries (49 percent), and 10 low-income countries (32 percent) have implemented a form of interest rate caps. While these caps are not associated with a certain level of economic development, their greater presence in lower-middle-income countries indicates they are particularly prevalent in these economies. Since 2011, many countries have either tightened existing restrictions or introduced new interest rate ceilings. For example, the United Kingdom implemented ceilings on payday loans in 2015. Turkey and Indonesia also reduced caps on outstanding credit card balances in 2013 and 2016, respectively. On the African continent, South Africa lowered cap levels and removed certain exemptions, while Kenya introduced new interest rate ceilings in 2016.

Stylized facts about Personal Loans in Oman

The CBO has been closely monitoring the flow of bank credit to various sectors of the economy due to its implications for consumer indebtedness. In addition, a significant increase in personal loans could also affect banks' resource allocation, potentially, crowding out lending to other investment activities in productive sectors. The sectoral distribution of credit by banks in Oman indicates that personal loans, including housing loans, continue to account for the largest share of total credit. Over the past six years, the total credit extended by banks has risen sharply, primarily driven by growth of domestic deposits and liquidity in the system. Table (1) shows that personal loans accounted for approximately 40.0 percent of banks' credit portfolios in 2018. On average, between 2018 and 2023, personal loans comprised 37.6 percent of total credit. As of December 2024, the share of personal loans in total bank credit stood at 36.3 percent, reflecting a slight decline due to the lingering effects of COVID-19. In 2024, banks also extended credit to other major sectors, including construction (8.6 percent of total credit), manufacturing (7.7 percent), the services sector (7.7 percent), and transport and communication (7.1 percent).

Table (1): Sectoral Distribution of Bank Credit in Oman

Bank Credit by Economic Sectors	2017	2018	2019	2020	2021	2022	2023	2024
Import Trade	4.8	4.4	3.9	3.2	3.2	3.2	3.5	3.3
Export Trade	0.1	0.1	0.1	0.2	0.1	0.1	0.1	0.1
Wholesale & Retail Trade-Others	3.6	3.8	4.2	3.9	4.6	4.3	4.3	4.3
Mining and quarrying	4.5	3.9	4.3	5.3	3.5	3.5	3.8	5.6
Construction	11.2	11.0	10.9	10.3	9.9	9.4	9.0	8.6
Manufacturing	6.8	7.6	8.4	8.1	9.0	8.3	8.2	7.7
Electricity, Gas and Water	4.0	4.2	5.0	5.4	5.1	5.6	5.8	5.9
Transport and Communication	4.8	5.0	4.8	5.1	5.7	5.9	7.2	7.1
Financial Institutions	4.3	4.8	4.8	4.4	4.4	4.5	5.4	5.2
Services	8.9	9.9	8.5	9.4	10.3	10.0	6.8	7.7
Government	0.1	0.2	0.5	1.8	2.2	2.9	2.1	2.1
Personal Loans	**41.0**	**39.9**	**39.7**	**38.5**	**37.9**	**37.4**	**37.5**	**36.7**
Agriculture and allied activities	0.3	0.2	0.2	0.3	0.6	0.9	1.0	1.0
Non-Resident lending	1.2	1.3	1.2	0.6	0.5	0.7	0.8	0.9
All others	4.5	3.7	3.5	3.5	3.1	3.2	4.5	3.8
Total Credit	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**

Source: Central Bank of Oman

[1] Aurora Ferrari et al. (2018). "Interest Rate Caps; The Theory and The Practice". World Bank Group, 8398.

Empirical Exercise

This Box item presents an assessment of the current ceiling on personal loans' interest rates in Oman, and explores whether any negative effects have emerged since its re-imposition in 1994. Regular reassessment of this ceiling is crucial to ensure it continues to serve its intended purpose, namely, promoting credit growth in productive sectors, enhancing the interest rate pass-through, and improving credit access for both unsecured individual borrowers and SMEs.

An econometric exercise was undertaken using annual data from 1990 to 2023 to examine interplay between total personal loans, interest rates, and bank profitability. An autoregressive distributed lag (ARDL) model was used, and found a long-run relationship between the above three variables. The relevant stability diagnostics, including tests for autocorrelation and heteroscedasticity, confirm that the model possesses desirable statistical properties of stability, no autocorrelation, and homoscedasticity. From a quantitative perspective, the results show that the coefficient for the interest rate on personal loans is negative, but low at 0.08 and statistically significant. This indicates minimal sensitivity to rate changes as 10-percentage-point increase in interest rates leads to only a 0.8 percent decrease in total personal loans. In other words, for borrowers in Oman, the sensitivity to interest rate changes is very low as personal financial needs drive borrowing decisions rather than interest rate fluctuations. Given this low sensitivity, the relaxation of the interest rate ceiling could lead to social burdens. Therefore, maintaining the ceiling on personal loans is appropriate to deter undue indebtedness of Omanis, support social protection, and safeguard financial stability.

In contrast, the ARDL model shows that the coefficient for banks' profits is 0.96, which is statistically significant. As an elasticity measure, this indicates that a 10-percentage-point increase in profits leads to a 9.6-percentage-point rise in total personal loans over the long run. This implies that there is no negative impact on bank profitability following the implementation of the interest rate ceiling on personal loans. In fact, the current existing ceiling does not seem to distort the personal loan market. Both the personal loan credit portfolio and bank profits have continued to grow at a healthy pace in recent years, unaffected by the stipulated ceiling.

Table (2): Results of Long-Run Relationship & Error Correction Mechanism (ECM)

Dependent variable			Total Personal Loans _Log (TPL)	
Independent variables	**Coefficient**	**Std.Error**	**t-Statistic**	**Prob.**
Gross Profits of Banks log(GPROFIT)	0.969050***	0.197956	- 4.895281	0.0001
Gross Profits of Banks (GPROFIT)(L1)	0.723850***	0.197956	3.656662	0.0016
Dependent variable		Total Personal Loans_ Log (TPL)		
Interest rates on personal Loans (IRPL)	-0.082847***	0.040577	-2.041723	0.0021
Interest rates on personal Loans (IRPL)(L1)	-0.042235**	0.0190269	-2.219147	0.0325
Interest rates on personal Loans (IRPL)(L2)	-0.010581	0.033382	-1.378718	0.1840
Constant	11.14481	1.220766	5.0180452	0.0001
Error Correction Term (ECT)	-0.969050***	0.166327	-5.826162	0.000
Adj R-squared	0.72		Durbin Watson	1.75

*** denotes significance at 1% level; ** denotes significance at 5% level; * denotes significance at 10% level

Personal Loans Interest Rate Ceiling and Monetary Policy Transmission

As to interest rate pass-through, the ceiling on personal loan rates is not the only factor limiting its transmission into effective lending rates. Relaxing the interest rate ceiling at this stage might create distortion in the market, potentially leading to the exploitation of lending rates that may not accurately reflect risk pricing, ultimately, failing to achieve the intended policy objectives. In fact, deviations from full pass-through can be influenced by several factors, including structural excess liquidity, inefficient financial markets, and the absence of a benchmark interest rate (a proper lending reference rate). Therefore, enhancing pass-through from the U.S. policy rate to local lending and deposit rates requires carefully sequenced measures to ensure high transmission in the short term, and complete in the long run. While relaxing the interest rate ceiling on personal loans may support the transmission of monetary policy as suggested in many economic writings, it is unlikely to be effective in isolation from other equally important measures such as the implementation of a well-structured liquidity management framework, and the development of deeper domestic financial market.

[2] The lag orders in the ARDL model are restricted to two, given the relatively short sample size.

Conclusions and Policy Recommendation

It is true that relaxing interest rate ceilings is frequently recommended in economic literature and by economic experts as a way to promote efficient credit markets and lending practices. It has been argued that relaxing the interest rate ceilings can deliver several benefits, such as enabling risk-based pricing, safeguarding bank margins, enhancing credit access for the private sector, and improving the transmission of monetary policy to lending and domestic liquidity. Moreover, it can foster healthy competition among banks by promoting fair risk-adjusted pricing.

However, in the context of Oman, with its unique market characteristics, the interest rate ceiling on personal loans serves critical objectives.

The ceiling on personal loans imposed by the CBO since the 1990s has functioned as a key mechanism to curb excessive interest rate increases, not only in consumer and housing loan segments, but also in the pricing of credit extended to productive sectors of the economy. This ceiling plays a crucial role in preventing excessive rises in lending rates. Empirical findings support maintaining the current 6 percent ceiling on personal loans. The ceiling does not seem to distort the market; both the personal loan credit portfolio and bank profits have grown at a healthy pace in recent years. Importantly, retaining the current interest rate ceiling is appropriate to deter undue indebtedness of Omanis, support social protection, and maintain financial stability.



Table 4.1
Select Monetary and Banking Indicators

	2020	2021	2022	2023	2024
Monetary Indicators					
Reserve money (in RO million)	3,054	3,443	2,866	2,892	2,578
Currency with public (in RO million)	1,379	1,307	1,243	1,210	1,025
Narrow money M1 (in RO million)	5,562	5,747	5,606	5,981	7,095
Broad money M2 (in RO million)	19,337	20,221	20,335	23,001	24,868
CBO's foreign assets (in RO million)	5,771	7,587	6,775	6,734	7,068
Ratio of NFA of CBO to Reserve money	1.6	2.0	2.1	2.1	2.5
Ratio of NFA of banking system to M2	0.2	0.2	0.2	0.3	0.3
Banking Indicators					
Number of conventional commercial banks	16	16	16	14	18
Number of branches of conventional commercial banks	453	438	457	467	451
Number of branches of Islamic banking entities	91	93	97	122	150
Conventional commercial Bank (ATM, FFM, CDM)	1487	1507	1640	1430	1696
Islamic banking entities (ATM, FFM, CDM)	149	160	171	154	239
Other depository corporations Total Assets (in RO million)	35,814	38,519	38,817	41,826	44,573
Other depository corporations Total Deposits (in RO million)	24,166	25,610	25,902	29,101	31,746
Other depository corporations Total Credit (in RO million)	26,676	27,873	29,223	30,474	32,505
Capital Adequacy ratio (CAR)	18.8	19.4	19.7	18.9	18.2
Non Performing Loans (NPLs)	4.2	4.2	4.4	4.5	4.5
Liquidity Coverage Ratio (LCR)	196.3	212.1	190.2	221.8	190.6
Net Stable Funding Ratio (NSFR)	116.7	118.6	117.1	120.3	118.2
Financial deepening indicators					
Bank credit to GDP (%)	91.4	83.0	69.2	74.6	78.9
Bank credit to non-oil GDP (%)	116.9	115.7	107.8	112.0	115.7
Bank deposits to GDP (%)	82.8	76.3	61.3	71.3	76.1
Bank deposits to non-oil GDP (%)	105.9	106.3	95.5	106.9	111.5
Quasi-money to GDP (%)	47.2	43.1	34.9	41.7	43.1
Broad money to GDP (%)	66.3	60.2	48.1	56.3	60.4
Broad money to non-oil GDP (%)	84.8	83.9	75.0	84.5	88.5
Currency with public to GDP (%)	4.7	3.9	2.9	3.0	2.5
Currency with public to reserve money (%)	45.1	34.0	39.6	41.8	39.7
Currency with public to broad money (%)	7.1	6.5	6.1	5.3	4.1
Income velocity of broad money (GDP over M2)	1.5	1.7	2.1	1.8	1.7
Money multiplier (M2 over reserve money)	6.3	5.3	6.5	8.0	9.6
Stock market capitalization to GDP ratio (%)	69.4	65.8	56.2	58.5	67.0
Stock market capitalization to non-oil GDP ratio (%)	88.7	91.7	87.5	87.5	98.2

Note: Other depository corporations include conventional banks and Islamic banks and windows.

Source: Central Bank of Oman

Table 4.2 Monetary Base and its Sources (Rial Omani Million)							
	2020	2021	2022	2023	2024	Absolute Change 2023/22	 2024/23
Currency Issued	1,736.9	1,716.1	1,611.5	1,589.2	1,427.8	-22.3	-161.4
Banks deposits with CBO*	1,317.0	1,727.0	1,254.0	1,302.4	1,150.5	48.4	-151.8
Monetary Base (M0)	**3,053.8**	**3,443.1**	**2,865.5**	**2,891.6**	**2,578.3**	**26.1**	**-313.3**
Central Bank Assets							
Foreign assets	5,770.6	7,586.7	6,775.3	6,734.1	7,068.5	-41.3	334.4
Claims on Government	870.5	111.5	0.0	0.0	0.0	0.0	0.0
Fixed and other assets	397.1	457.7	347.1	360.4	360.3	13.3	0.0
Less: **Central Bank Liabilities**							
Net Worth (capital and reserves)	1,675.7	1,608.5	1,419.2	1,629.9	1,752.2	210.7	122.3
Government deposits	1,017.9	1,605.6	1,536.2	1,094.8	1,745.6	-441.4	650.7
Foreign liabilities	760.5	790.7	720.5	679.0	718.3	-41.5	39.3
Other liabilities	530.3	303.6	304.6	338.1	322.1	33.6	-16.1

*excludes CDs issued by CBO to banks and foreign currency deposits.

Source: Central Bank of Oman

Table 4.3 Components of Broad Money A. (Rial Omani Million)					
End of the Period	2020	2021	2022	2023	2024
Money Supply (M1)	**5,561.8**	**5,746.6**	**5,606.2**	**5,981.3**	**7,095.2**
Currency with public	1,378.6	1,307.1	1,243.0	1,210.0	1,024.5
Demand deposits in local currency	4,183.1	4,439.4	4,363.2	4,771.3	6,070.6
Quasi Money	**13,775.4**	**14,474.3**	**14,729.2**	**17,019.4**	**17,773.3**
Savings deposits in local currency	6,056.1	6,318.0	6,223.1	6,208.6	6,992.7
Time deposits in local currency	5,535.0	5,868.2	6,316.6	7,116.8	7,031.2
Deposits in foreign currency	1,896.6	1,923.9	1,842.6	3,266.9	3,338.2
Margins	287.7	364.2	346.9	427.2	411.2
Broad Money (M2)	**19,337.2**	**20,220.8**	**20,335.5**	**23,000.7**	**24,868.5**

B. (Percentage To Total)					
End of the Period	2020	2021	2022	2023	2024
Money Supply (M1)	**28.8**	**28.4**	**27.6**	**26.0**	**28.5**
Currency with public	7.1	6.5	6.1	5.3	4.1
Demand deposits in local currency	21.6	22.0	21.5	20.7	24.4
Quasi Money	**71.2**	**71.6**	**72.4**	**74.0**	**71.5**
Savings deposits in local currency	31.3	31.2	30.6	27.0	28.1
Time deposits in local currency	28.6	29.0	31.1	30.9	28.3
Deposits in foreign currency	9.8	9.5	9.1	14.2	13.4
Margins	1.5	1.8	1.7	1.9	1.7
Broad Money (M2)	**100.0**	**100.0**	**100.0**	**100.0**	**100.0**

Source: Central Bank of Oman

Table 4.4 Monetary Survey*

End of Period	2020	2021	2022	2023	2024	Change in RO million 2024/23	% Change 2024/23
1. Broad money (A+B)	**19,337.2**	**20,220.8**	**20,335.5**	**23,000.7**	**24,868.5**	**1,867.8**	**8.1**
A. Money Supply (M1)	5,561.8	5,746.6	5,606.2	5,981.3	7,095.2	1,113.8	18.6
a) Currency with public	1,378.6	1,307.1	1,243.0	1,210.0	1,024.5	-185.5	-15.3
b) Demand deposits in RO	4,183.1	4,439.4	4,363.2	4,771.3	6,070.6	1,299.3	27.2
B. Quasi Money	13,775.4	14,474.3	14,729.2	17,019.4	17,773.3	754.0	4.4
(of which foreign cy. deposits)	1,896.6	1,923.9	1,842.6	3,266.9	3,338.2	71.4	2.2
2. Foreign Assets (net)	**3,544.8**	**4,651.0**	**4,615.4**	**6,250.8**	**7,184.1**	**933.2**	**14.9**
Central Bank	5,010.1	6,796.0	6,054.9	6,055.1	6,350.2	295.1	4.9
Other Depository Corporations	-1,465.2	-2,145.1	-1,439.5	195.7	833.9	638.2	326.0
3. Domestic Assets	**15,792.4**	**15,569.9**	**15,720.1**	**16,749.9**	**17,684.4**	**934.5**	**5.6**
a) Claims on Government (net)(i-ii)	-2,060.8	-2,884.4	-3,624.0	-3,897.7	-4,396.6	-498.9	12.8
i) Government borrowings	4,558.7	4,827.2	4,278.1	3,777.7	4,343.4	565.7	15.0
ii) Government deposits	6,619.4	7,711.6	7,902.2	7,675.4	8,740.0	1,064.6	13.9
b) Domestic claims on Pvt. Sector	23,155.7	23,659.0	24,655.7	25,818.5	27,497.0	1,678.5	6.5
c) Claims on Public enterprises	3,141.7	3,752.3	3,909.6	4,318.2	4,711.3	393.1	9.1
d) Other items (net) (-)	8,444.3	8,957.0	9,221.2	9,489.1	10,126.2	637.1	6.7
i) Central Bank	3,484.0	3,994.8	3,275.7	3,750.2	3,580.1	-170.1	-4.5
ii) Other Depository Corporations	4,960.3	4,962.2	5,945.5	5,738.9	6,546.1	807.3	14.1

* Monetary survey aggregates include that of conventional banks and Islamic banks and windows.

Source : Central Bank of Oman

Table 4.5 Absorption and Injection of Liquidity by CBO during 2024

Month	Liquidity Absorption (Treasury Bills)		Liquidity Injection (Repos With CBO)*		
	Amount Issued During the Month (RO Million)	Outstanding TBs at the end of the Month (RO Million)	Amount Repoed During The Month (RO Million)	Outsatnding Repo Amount (RO Million)	Repo Rate (% p.a)
January	251.60	387.3	0.0	0.0	6.000
February	326.00	575.8	0.0	0.0	6.000
March	274.45	650.1	0.0	0.0	6.000
April	161.60	650.1	0.0	0.0	6.000
May	227.56	668.1	20.0	0.0	6.000
June	71.11	593.1	0.0	0.0	6.000
July	114.75	573.1	0.0	0.0	6.000
August	132.00	585.1	0.3	0.0	6.000
September	130.00	583.9	0.0	0.0	5.790
October	160.80	623.2	150.2	0.0	5.500
November	154.65	580.6	55.0	0.0	5.308
December	220.00	650.0	0.0	0.0	5.145

* Includes repos in instruments such as GDBs, T.Bs, and excludes intra-day repos.
Source: Central Bank of Oman

Table 4.6 (a) Holding Pattern of Outstanding Government Development Bonds* (end 2024)				
	Local (R.O. Million)	Abroad (R.O. Million)	Total Holdings (R.O. Million)	Percentage to Total
Banks	1536.17	21.04	1557.21	63.81
Govt Entities	0.10	0.00	0.10	0.00
Pension Funds	715.70	0.00	715.70	29.33
Other Financial Institutions	110.20	0.00	110.20	4.52
Non- Financial Institutions	15.04	0.00	15.04	0.62
Individuals	42.23	0.06	42.29	1.73
Total	**2419.44**	**21.10**	**2440.54**	**100.0**

* Excludes Investments in Government Sukuk.
Note: Holding pattern based on primary issuance.
Source: Central Bank of Oman

Table 4.6 (b) Stock Market Indicators					
	2020	2021	2022	2023	2024
1) MSX 30 Share Price Index	3,658.77	4,129.54	4,857.44	4,514.07	4,576.60
2) Number of shares traded (Million)	2282.0	4135.0	4282.7	4517.5	6550.8
3) Number of bonds traded (Million)	25.3	74.4	54.2	139.6	119.7
4) Total turnover of trading (RO Million)	441	818	940	1133	1257
a) Turnover of trading in shares (RO Million)	401	645	883	1006	1166
b) Turnover of trading in bonds (RO Million)	40	173	58	127	91
5) Number of trading days	243	246	247	247	247
6) Average value of trading per day in shares & bonds (RO Million)	1.81	3.30	3.81	4.59	5.10
7) Market capitalization (RO Million)	20242	22091	23736	23802	27595

Source: Muscat Securities Market

Table 4.7 (a) Weighted Average Interest Rates* (percent per annum)

End of Period	Deposit Rate			Lending Rate			Spread		
	Total RO Deposits (1)	Total Fcy Deposits (2)	Total Deposits (RO+Fcy) (3)	Total RO Lending (4)	Total Fcy Lending (5)	Total Lending (RO+Fcy) (6)	RO (4)-(1)	Fcy (5)-(2)	Total (6)-(3)
Mar-2020	1.936	1.557	1.884	5.479	4.282	5.268	3.543	2.725	3.384
Jun-2020	1.951	1.565	1.904	5.381	3.804	5.095	3.430	2.239	3.191
Sep-2020	1.916	1.651	1.882	5.481	3.543	5.133	3.565	1.892	3.251
Dec-2020	2.013	1.640	1.966	5.511	3.475	5.140	3.498	1.835	3.174
Mar-2021	2.009	1.672	1.966	5.511	3.529	5.147	3.502	1.857	3.181
Jun-2021	1.952	1.618	1.910	5.524	3.537	5.148	3.572	1.919	3.239
Sep-2021	1.957	1.473	1.896	5.495	3.497	5.105	3.538	2.024	3.210
Dec-2021	1.976	1.438	1.910	5.570	3.520	5.153	3.594	2.082	3.242
Mar-2022	1.923	1.283	1.846	5.485	3.668	5.134	3.562	2.385	3.288
Jun-2022	1.870	1.410	1.813	5.502	4.643	5.334	3.632	3.233	3.521
Sep-2022	1.877	1.606	1.841	5.416	5.562	5.443	3.539	3.956	3.602
Dec-2022	1.993	2.582	2.065	5.379	6.926	5.640	3.386	4.344	3.575
Mar-2023	2.124	2.856	2.218	5.381	7.243	5.646	3.257	4.387	3.428
Jun-2023	2.313	3.180	2.424	5.434	7.521	5.709	3.121	4.341	3.285
Sep-2023	2.453	2.799	2.506	5.451	7.787	5.742	2.998	4.988	3.235
Dec-2023	2.636	3.115	2.722	5.514	7.512	5.758	2.878	4.397	3.037
Mar-2024	2.642	3.056	2.713	5.563	7.639	5.805	2.921	4.583	3.092
Jun-2024	2.651	2.631	2.647	5.581	7.476	5.795	2.930	4.845	3.148
Sep-2024	2.679	2.638	2.671	5.604	7.200	5.796	2.925	4.562	3.125
Dec-2024	2.547	2.468	2.533	5.645	6.645	5.775	3.098	4.177	3.242

*Conventional banks only

Source: Central Bank of Oman

Table 4.7 (b) Interest Rate-wise Distribution of Rial Omani Total Deposits

Rate of Interest (% per annum)	December 2020		December 2021		December 2022		December 2023		December 2024	
	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share
Upto 2%	10,180.7	57.1	10,438.8	56.1	10,054.1	54.5	9,666.1	49.7	10,540.8	50.6
Over 2% TO 3%	486.9	2.7	759.2	4.1	924.2	5.0	338.0	1.7	201.2	1.0
Over 3% TO 4%	1,161.8	6.5	2,272.0	12.2	3,036.1	16.4	1,188.1	6.1	993.1	4.8
Over 4% TO 5%	4,722.0	26.5	3,784.6	20.3	2,921.9	15.8	2,252.9	11.6	4,020.5	19.3
Over 5% TO 6%	1,170.8	6.6	1,314.7	7.1	1,478.2	8.0	5,070.0	26.1	4,291.7	20.6
Over 6% TO 7%	105.7	0.6	38.5	0.2	43.0	0.2	929.4	4.8	762.9	3.7
Over 7% TO 8%	0.4	0.0	0.2	0.0	0.3	0.0	0.2	0.0	0.1	0.0
Over 8% TO 9%	0.0	0.0	0.0	0.0	0.0	0.0	2.1	0.0	2.1	0.0
Over 9% TO 10%	0.0	0.0	0.0	0.0	0.0	0.0	0.2	0.0	0.2	0.0
Over 10%	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total	**17,828.4**	**100.0**	**18,607.8**	**100.0**	**18,457.8**	**100.0**	**19,447.0**	**100.0**	**20,812.6**	**100.0**
Weighted average interest rate (%)	**2.013**		**1.976**		**1.993**		**2.636**		**2.546**	

*Conventional banks only

Source: Central Bank of Oman

Table 4.7 (c)

Interest Rate-wise Distribution of Rial Omani Time Deposits

Rate of Interest (% per annum)	December 2020		December 2021		December 2022		December 2023		December 2024	
	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share
Upto %2	716.5	9.6	670.2	9.1	692.7	9.1	621.4	7.1	747.0	8.7
Over %2 TO %3	288.7	3.9	304.0	4.1	386.3	5.1	92.0	1.0	35.6	0.4
Over %3 TO %4	632.5	8.5	1,391.9	18.9	2,329.4	30.5	629.5	7.2	390.2	4.6
Over %4 TO %5	4,536.9	60.9	3,655.3	49.6	2,719.8	35.6	1,808.4	20.5	2,430.8	28.3
Over %5 TO %6	1,170.5	15.7	1,312.7	17.8	1,460.5	19.1	4,758.6	54.1	4,208.5	49.1
Over %6 TO %7	105.7	1.4	38.5	0.5	43.0	0.6	891.0	10.1	762.4	8.9
Over %7 TO %8	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Over %8 TO %9	0.0	0.0	0.0	0.0	0.0	0.0	0.1	0.0	0.0	0.0
Over %9 TO %10	0.0	0.0	0.0	0.0	0.0	0.0	0.2	0.0	0.0	0.0
Over %10	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total	**7,450.9**	**100.0**	**7,372.6**	**100.0**	**7,631.9**	**100.0**	**8,801.2**	**100.0**	**8,574.4**	**100.0**
Weighted average interest rate (%)	**4.153**		**4.067**		**3.950**		**4.873**		**4.810**	

*Conventional banks only

Source: Central Bank of Oman

Table 4.7 (d)

Interest Rate-wise Distribution of Rial Omani Total Lending

Rate of Interest (% per annum)	December 2020		December 2021		December 2022		December 2023		December 2024	
	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share	Amount (RO mn)	% Share
Upto %2	541.1	3.0	507.1	2.8	506.0	2.6	245.2	1.1	395.4	1.8
Over %2 TO %4	2,129.0	11.7	1,807.7	9.9	2,225.1	11.3	2,078.3	9.7	1,411.1	6.3
Over %4 TO %5	2,761.3	15.1	2,986.7	16.3	4,849.0	24.5	5,088.3	23.8	5,214.6	23.4
Over %5 TO %7	11,239.5	61.6	11,346.7	61.9	10,784.8	54.5	12,228.2	57.1	12,708.4	57.1
Over %7 TO %8	1,031.1	5.6	1,114.8	6.1	883.7	4.5	1,189.7	5.6	1,871.1	8.4
Over %8 TO %9	205.4	1.1	181.3	1.0	163.5	0.8	192.5	0.9	264.4	1.2
Over %9 TO %10	49.9	0.3	45.9	0.3	44.2	0.2	61.9	0.3	45.3	0.2
Over %10 TO %11	43.6	0.2	45.1	0.2	74.7	0.4	43.9	0.2	50.6	0.2
Over %11 TO %12	131.8	0.7	142.3	0.8	107.0	0.5	149.2	0.7	120.9	0.5
Over %12 TO %13	19.8	0.1	5.1	0.0	5.4	0.0	8.3	0.0	9.7	0.0
Over %13	107.9	0.6	134.1	0.7	135.3	0.7	116.0	0.5	152.1	0.7
Total	**18,260.4**	**100.0**	**18,316.9**	**100.0**	**19,778.5**	**100.0**	**21,401.3**	**100.0**	**22,243.6**	**100.0**
Weighted average interest rate (%)	**5.511**		**5.570**		**5.380**		**5.514**		**5.644**	

*Conventional banks only

Source: Central Bank of Oman

Table 4.7 (e)

Domestic Inter-Bank Overnight Lending Rates (Conventional Banks)

Period	2020		2021		2022		2023		2024	
	Daily avg. Amount (RO mn)	Monthly Weighted avg. Interest rate*	Daily avg. Amount (RO mn)	Monthly Weighted avg. Interest rate*	Daily avg. Amount (RO mn)	Monthly Weighted avg. Interest rate*	Daily avg. Amount (RO mn)	Monthly Weighted avg. Interest rate*	Daily avg. Amount (RO mn)	Monthly Weighted avg. Interest rate*
January	32.9	1.865	28.6	0.610	82.6	0.391	19.7	4.357	46.7	5.193
February	45.1	1.868	19.5	0.547	36.7	0.430	24.0	4.730	69.2	5.123
March	46.4	2.088	10.5	0.547	32.6	0.409	36.4	5.073	90.4	5.086
IQ Avg	**41.5**	**1.941**	**19.5**	**0.568**	**50.6**	**0.410**	**26.7**	**4.720**	**68.7**	**5.1**
April	34.3	1.836	17.9	0.394	71.9	0.630	38.8	5.147	111.1	5.212
May	26.4	1.552	25.3	0.405	35.0	1.226	32.1	5.295	38.2	5.501
June	31.0	1.570	19.3	0.336	16.8	1.450	25.0	5.350	39.5	5.402
IIQ Avg	**30.6**	**1.653**	**20.8**	**0.378**	**41.2**	**1.102**	**32.0**	**5.264**	**63.0**	**5.4**
July	16.4	0.977	44.2	0.420	23.7	1.951	50.5	5.540	40.7	5.317
August	13.7	1.100	28.0	0.482	36.4	2.854	54.1	5.721	34.9	5.133
September	21.1	0.780	37.3	0.438	41.8	3.151	58.5	5.388	49.5	4.896
IIIQ Avg	**17.1**	**0.952**	**36.5**	**0.447**	**34.0**	**2.652**	**54.4**	**5.550**	**41.7**	**5.1**
October	24.6	0.859	27.7	0.447	32.3	3.299	60.7	5.584	98.8	4.681
November	18.6	0.948	23.9	0.413	31.1	3.944	34.6	5.459	130.6	4.563
December	24.2	0.700	18.4	0.369	23.2	4.271	49.1	5.417	86.2	4.457
IVQ Avg	**22.5**	**0.836**	**23.3**	**0.410**	**28.9**	**3.838**	**48.1**	**5.487**	**105.2**	**4.6**

* Weighted by individual transaction amounts
Source: Central Bank of Oman

Table 4.8 (a)
Central Bank of Oman Assets and Liabilities
(Rial Omani Million)

	2020	2021	2022	2023	2024	% Change 2024/2023
Foreign Assets including Bullion	**5,770.6**	**7,586.7**	**6,775.3**	**6,734.1**	**7,068.5**	**5.0**
a) Bullion	0.7	0.6	47.9	77.3	234.0	202.8
b) IMF Reserve assets	127.1	442.7	442.4	442.0	458.7	3.8
c) Placements abroad	2,327.1	4,071.9	2,851.8	2,854.7	2,865.4	0.4
d) Securities	3,315.7	3,071.5	3,433.3	3,360.1	3,510.4	4.5
Due from Government	870.5	111.5	0.0	0.0	0.0	0.0
Due from Banks	65.2	115.6	0.3	1.1	2.2	104.3
Fixed Assets	45.2	58.0	56.6	60.0	61.4	2.5
Other Assets	286.8	284.2	290.1	299.3	296.7	-0.9
Total Assets / Liabilities	**7,521.4**	**7,038.2**	**8,156.0**	**7,122.4**	**7,428.8**	**4.7**
Currency Issued	1,736.9	1,716.1	1,611.5	1,589.2	1,427.8	-10.2
Net Worth	1,675.7	1,608.5	1,419.2	1,629.9	1,752.2	7.5
a) Capital	1,000.0	1,000.0	1,000.0	1,000.0	1,000.0	0.0
b) General Reserves	426.0	447.8	480.1	555.3	588.5	6.0
c) Others	249.7	160.6	-60.9	74.6	163.7	119.3
Due to Government	1,017.9	1,605.6	1,536.2	1,094.8	1,745.6	59.4
Due to Banks	1,539.8	2,131.5	1,530.4	1,763.3	1,462.9	-17.0
Foreign Liabilities*	760.5	790.7	720.5	679.0	718.3	5.8
Other Liabilities	**307.5**	**303.6**	**304.6**	**338.1**	**322.1**	**-4.8**
a) CDs	0.0	0.0	0.0	0.0	0.0	0.0
b) Others	307.5	303.6	304.6	338.1	322.1	-4.8

*Includes SDR allocation

Source: Central Bank of Oman

Table 4.8 (b)
Central Bank's Own Foreign Assets
(Rial Omani Million)

	2020	2021	2022	2023	2024	Absolute Change 2024/2023
1. Gross Foreign Assets	**5,770.6**	**7,586.7**	**6,775.3**	**6,734.1**	**7,068.5**	**334.4**
a) Bullion	0.7	0.6	47.9	77.3	234.0	156.7
b) IMF Reserve Assets	127.1	442.7	442.4	442.0	458.7	16.7
c) Placements Abroad	2,327.1	4,071.9	2,851.8	2,854.7	2,865.4	10.7
d) Securities	3,315.7	3,071.5	3,433.3	3,360.1	3,510.4	150.3
Less:						
Foreign cy. deposits from Government	1,017.5	1,604.9	1,514.3	1,070.5	1,517.2	446.7
Foreign cy. deposits from banks	222.8	404.5	276.4	461.0	312.4	-148.6
2. Central Bank's Own Foreign Assets	**4,530.2**	**5,577.4**	**4,984.6**	**5,202.6**	**5,238.9**	**36.3**

Source : Central Bank of Oman

Table 4.9
Combined Balance Sheet of Other Depository Corporations
(Rial Omani Million)

	2020	2021	2022	2023	2024	% Change 2024/23
Cash on hand and deposits with CBO	1,874.4	2,526.1	1,907.6	2,118.1	1,848.3	-12.7
Due from Head Office, affiliates and other banks abroad	883.3	1,107.5	1,075.7	1,635.8	1,530.7	-6.4
Total Credit	26,676.2	27,873.1	29,223.2	30,474.3	32,505.3	6.7
Total investments	4,762.8	5,359.6	4,866.3	5,597.5	6,866.8	22.7
Net fixed assets	308.2	324.6	302.7	401.0	431.5	7.6
Other assets	1,309.1	1,328.4	1,441.7	1,598.9	1,390.8	-13.0
Total assets/liabilities	**35,814.1**	**38,519.5**	**38,817.1**	**41,825.6**	**44,573.3**	**6.6**
Total deposits	24,165.5	25,610.4	25,901.9	29,100.7	31,746.2	9.1
Due to Head Office, affiliates and other banks abroad	2,707.4	3,212.0	2,958.6	2,799.7	2,373.0	-15.2
Core capital and reserves	5,691.0	6,087.5	6,355.8	6,324.2	6,702.6	6.0
Supplementary capital	95.9	74.9	-1.5	38.5	71.8	86.2
Total provisions & reserve interest	1,179.0	1,331.7	1,502.8	1,695.4	1,847.5	9.0
(of which general provisions)	(402.6)	(448.9)	(568.9)	(656.5)	(744.3)	13.4
Other liabilities	1,975.4	2,202.8	2,099.4	1,867.1	1,832.3	-1.9

Note: Other Depository Corporations include conventional commercial banks and Islamic banks and windows.
Source: Central Bank of Oman

Table 4.10 (a)
Combined Balance Sheet of Conventional Banks
(Rial Omani Million)

	2020	2021	2022	2023	2024	% Change 2024/23
Cash and deposits with CBO	1,650.4	2,155.4	1,640.8	1,726.5	1,467.6	-15.0
Due from Head Office, affiliates and banks abroad	1,167.6	1,373.0	1,453.9	1,934.8	1,647.0	-14.9
Total Credit	**22,331.4**	**23,000.9**	**23,784.0**	**24,386.5**	**25,550.3**	**4.8**
a) Credit to Private Sector	18,772.3	19,095.9	19,469.7	20,041.3	20,764.7	3.6
b) Credit to public enterprises	2,927.2	3,136.5	3,269.2	3,599.8	3,842.7	6.7
c) Credit to Government	477.8	620.4	844.6	516.4	670.2	29.8
d) Credit to Non-Residents	154.1	148.2	200.5	229.1	272.8	19.1
Securities	**4,290.2**	**4,846.9**	**4,287.8**	**5,000.1**	**6,017.5**	**20.3**
a) Treasury Bills	512.5	1,041.9	375.3	345.2	514.0	48.9
b) Government Bonds*	1,798.5	2,173.6	2,185.1	1,903.9	2,042.6	7.3
c) CBO CDs	0.0	0.0	0.0	0.0	0.0	0.0
d) Domestic shares	170.3	161.6	165.1	206.2	327.6	58.8
e) Other domestic securities	659.8	674.0	675.9	789.4	846.8	7.3
f) Foreign securities	1,149.1	795.8	886.4	1,755.4	2,286.5	30.3
Fixed assets	279.8	294.8	285.5	376.3	396.4	5.3
Other assets	1,365.9	1,331.4	1,338.5	1,567.1	1,456.0	-7.1
Total assets / liabilities	**31,085.4**	**33,002.4**	**32,790.5**	**34,991.3**	**36,534.8**	**4.4**
Total Deposits	**20,377.0**	**21,207.2**	**21,020.8**	**23,590.9**	**25,042.3**	**6.2**
a) Government deposits	4,368.3	4,783.3	4,917.8	5,039.5	5,308.4	5.3
b) Deposits of public enterprises	1,082.0	1,381.2	1,421.1	2,243.1	2,490.7	11.0
c) Deposits of private sector	14,452.2	14,539.0	14,253.1	15,609.1	16,355.5	4.8
i) Demand	3,977.6	4,096.9	3,999.0	5,150.4	5,248.3	1.9
ii) Savings	5,362.7	5,455.5	5,423.9	5,223.7	5,697.0	9.1
iii) Time	4,838.6	4,713.4	4,574.4	4,904.9	5,091.0	3.8
iv) Commercial prepayments	273.3	273.2	255.8	330.0	319.1	-3.3
(of which in foreign currency)	1,556.5	1,462.4	1,324.3	2,077.9	2,084.7	0.3
d) Deposits of non-residents	474.6	503.7	428.8	699.2	887.7	27.0
Due to Head Office, affiliates and banks abroad	2,511.8	3,008.0	2,738.7	2,598.7	2,245.8	-13.6
Core Capital and Reserves	5,320.9	5,602.0	5,835.0	5,737.9	6,059.0	5.6
Supplementary Capital	101.0	79.8	1.2	50.4	51.6	2.5
Total provisions and reserved interest	1,070.7	1,196.2	1,330.1	1,483.6	1,602.6	8.0
(of which general provisions)	(340.5)	(368.4)	(460.9)	(558.5)	(626.9)	12.2
Other liabilities	1,703.9	1,909.1	1,864.6	1,529.8	1,533.5	0.2

* Includes Investments in Government Sukuk

Source : Central Bank of Oman

Table 4.10 (b)
Sources and Uses of Conventional Bank Funds
(Rial Omani Million)

Source of Funds	2023	2024	Uses of Funds	2023	2024
1. Total deposits	2,570.0	1,451.4	1. Total credit disbursement	602.5	1,163.8
a) Government deposits	121.6	268.9	a) Credit to Govt.	-328.2	153.8
b) Deposits of public enterprises	822.0	247.6	b) Credit to public enterprises	330.5	242.9
c) Deposits of Private Sector	1,356.0	746.4	c) Credit to private sector	571.5	723.4
1. Financial corporations	85.8	217.9	1. Financial corporations	268.9	-72.0
2. Non-Financial corporations	1,036.9	-95.5	2. Non-Financial corporations	-103.6	383.0
3. Household sector	183.8	639.7	3. Household sector	345.5	359.1
4. Other sectors	49.6	-15.7	4. Other sectors	60.7	53.3
d) Non-resident deposits	270.4	188.5	d) Credit to non-residents	28.7	43.7
2. Borrowings from banks abroad	-138.8	-413.9	2. Investments in securities	712.3	1,017.4
3. Increase in Capital, reserves & provisions	-97.1	441.3	3. Placements with banks abroad	480.9	-172.7
4. Other liabilities	-336.0	64.6	4. Cash and Deposits with CBO	85.7	-258.9
			5. Fixed assets	90.8	20.0
			6. Other assets	228.6	-226.2
Total sources of funds	**2,200.8**	**1,543.4**	**Total uses of funds**	**2,200.8**	**1,543.4**

Source: Central Bank of Oman

Table 4.10 (c)
Non-Resident Assets and Liabilities of Conventional Banks
(Rial Omani Million)

	2020	2021	2022	2023	2024	Absolute Change
Foreign Assets	**2,504.3**	**2,359.6**	**2,574.9**	**4,015.3**	**4,246.2**	**230.9**
Due from banks abroad	1,167.6	1,373.0	1,453.9	1,934.8	1,647.0	-287.8
Credit to Non-Residents	154.1	148.2	200.5	229.1	272.8	43.7
Investment in foreign securities	1,149.1	795.8	886.4	1,755.4	2,286.5	531.2
Other assets	33.5	42.7	34.1	96.0	39.9	-56.1
Foreign Liabilities	**3,855.9**	**4,357.1**	**3,878.3**	**3,764.8**	**3,532.3**	**-290.4**
Deposits of Non-Residents	474.6	503.7	428.8	699.2	887.7	192.5
Long term bonds	583.1	813.9	694.7	362.3	429.8	9.6
Due to banks abroad	2,511.4	3,008.0	2,737.5	2,598.7	2,184.8	-417.9
Other liabilities	286.8	31.6	17.2	104.6	30.0	-74.6
Net Foreign Assets	**-1,351.6**	**-1,997.5**	**-1,303.4**	**250.5**	**714.0**	**521.3**

Source: Central Bank of Oman

Table 4.11
Combined Balance Sheet of Islamic Banks/Windows
(Rial Omani Million)

	2020	2021	2022	2023	2024	% Change 2024/23
Cash on hand and deposits with CBO	224.1	370.7	266.9	391.6	349.9	-10.6
Due from Head Office, affiliates and other banks abroad	30.4	27.7	49.3	112.2	179.1	59.7
Total financing	4,344.7	4,847.5	5,439.1	6,087.8	6,950.5	14.2
Total investments	471.7	512.8	578.5	597.2	870.4	45.7
Net fixed assets	28.4	29.8	17.1	24.7	31.5	27.7
Other assets	95.2	84.2	61.2	135.8	188.1	38.5
Total assets/liabilities	**5,194.4**	**5,900.3**	**6,412.0**	**7,349.5**	**8,569.7**	**16.6**
Total deposits	3,788.5	4,403.2	4,881.0	5,509.8	6,689.6	21.4
Due to Head Office, affiliates and other banks abroad	175.8	204.0	319.9	200.9	170.2	-15.3
Core capital and reserves	635.0	763.9	807.3	898.9	985.1	9.6
Other liabilities	595.1	529.2	403.8	740.3	724.7	-2.1

Source: Central Bank of Oman

Table 4.12
Profitability of Other Depository Corporations
(Rial Omani Million)

	2020	2021	2022	2023	2024	% Change 2023/22	% Change 2024/23
1. Interest/Profit Income	1,513.3	1,557.8	1,694.4	1,961.4	2,189.8	15.8	11.6
2. (Interest Expenses)	(653.1)	(674.3)	(716.5)	(988.0)	(1139.9)	37.9	15.4
3. Net Interest/Profit	860.2	883.4	977.9	973.4	1,049.8	-0.5	7.9
4. Foreign Exchange earnings	70.3	64.5	64.0	74.8	86.9	17.0	16.2
5. Fees and Commissions	95.1	88.5	88.5	90.0	171.5	1.8	90.6
6. Other Income	163.0	216.2	220.1	189.7	163.3	-13.8	-14.0
7. Gross Income (3+4+5+6)	1,188.6	1,252.6	1,350.4	1,328.0	1,471.6	-1.7	10.8
8. Operating Expenses	568.8	596.6	613.5	575.4	625.4	-6.2	8.7
a) Administrative Costs	503.6	547.1	559.5	523.9	572.8	-6.4	9.3
b) Depreciation	64.6	49.2	53.8	51.3	53.5	-4.6	4.3
c) Others	0.5	0.3	0.2	0.3	-0.9	47.4	-461.9
9. Gross Profits (7-8)	619.8	656.0	736.9	752.5	846.2	2.1	12.4
10. Provision for doubtful debts *	325.7	271.6	269.3	240.6	221.8	-10.7	-7.8
11. Profits after provisions (9-10)	294.1	384.4	467.6	512.0	624.3	9.5	21.9
12. Provision for Taxes	52.8	59.9	67.5	70.5	94.7	4.5	34.4
13. Net Profit after Provisions & Taxes (11-12)	**241.4**	**324.5**	**400.1**	**441.5**	**529.6**	**10.3**	**20.0**

* Gross provisions made during the year. Recoveries on previous loan loss provisions are reflected under other income.

Note: Profits comprise that of conventional banks and Islamic banks and windows.

Source : Central Bank of Oman

Table 4.13 Distribution of Bank* Credit by Economic Sectors (Rial Omani Million)					
End of Period	2020	2021	2022	2023	2024
Import Trade	855.9	885.7	930.4	1,064.4	1,082.7
Export Trade	40.4	40.4	42.2	18.0	33.1
Wholesale & Retail Trade	1,049.2	1,288.7	1,258.1	1,315.8	1,408.4
Mining and Quarrying	1,426.4	970.3	1,025.7	1,157.0	1,805.6
Construction	2,735.4	2,751.1	2,758.2	2,748.4	2,803.5
Manufacturing	2,168.4	2,502.5	2,424.0	2,494.0	2,504.3
Electricity, gas and water	1,433.7	1,406.6	1,639.6	1,767.3	1,923.8
Transport and Communication	1,367.9	1,575.5	1,723.0	2,190.1	2,308.8
Financial Institutions	1,167.4	1,214.1	1,305.8	1,655.9	1,675.6
Services	2,512.0	2,871.0	2,936.7	2,085.9	2,501.5
Government	477.8	620.4	844.6	625.8	670.2
Personal Loans	10,269.6	10,542.1	10,935.2	11,426.9	11,945.9
Agriculture and allied activities	73.7	171.1	256.9	315.6	314.0
Non-Resident lending	157.1	150.1	202.4	246.0	293.3
All Others	941.0	858.8	940.5	1,363.1	1,236.2
Total Credit	**26,676.0**	**27,848.4**	**29,223.3**	**30,474.3**	**32,506.8**

Source: Central Bank of Oman
*Includes conevtional banks and Islamic banking entities

Table 4.14 Finance and Leasing Companies (FLC) Indicators (Rial Omani Million)					
	2020	2021	2022	2023	2024
Total Assets	993.7	1,002.2	1,066.7	1,177.5	1,329.2
Loans/Lease Portfolio*	883.2	861.8	925.3	1,032.2	1,178.4
Gross Non-Performing Loans	167.1	168.0	176.7	187.2	203.2
Cash and Bank Balances	84.6	114.9	113.4	113.7	119.7
Borrowings from Banks & Financial Institutions	642.3	635.9	593.4	691.2	727.8
Paid Up Capital	174.3	174.8	175.9	180.9	182.3
Capital & Reserves	301.8	312.6	321.8	314.7	384.0
Loan Loss Provisions and Reserve Interest	112.0	126.1	127.4	141.8	157.5
Net Profit After Provisions and Tax	10.5	17.0	18.6	21.3	24.5
Number of Branches (Including Head Office)	41	41	32	39	47

* Loans net of provisions & reserve interest

Source: FLC Annual Reports

Payment and Settlement Systems
Table 4.15 (a)
RTGS Business Trends

Year	No. of Transactions	Value (RO Millions)
2020	754,616	155,542
2021	757,927	154,649
2022	723,336	179,347
2023	680,076	209,867
2024	178,570	240,523

Table 4.15 (b)
ACH Business Trends

Year	No. of Transactions	Value (RO Millions)
2020	10,453,000	6,030
2021	14,548,566	9,178
2022	18,505,802	11,460
2023	21,887,363	13,509
2024	31,770,544	15,906

Table 4.15 (c)
Electronic Cheque Clearing

Year	No. of Transactions	Value (RO Millions)
2020	3,910,962	11,771
2021	3,780,009	9,796
2022	3,745,001	9,969
2023	3,714,271	10,293
2024	3,729,394	10,286

Table 4.15 (d)
Oman Net Switch Business Trends

Year	No. of Transactions	Value (RO Millions)
2020	128,757,655	4,547
2021	180,821,400	5,167
2022	252,929,529	5,865
2023	329,579,118	6,423
2024	432,946,520	6,884

Table 4.15 (e)
Mobile Payment Clearing Switch System

Year	No. of Transactions	Value (RO Millions)
2020	195,903	13
2021	755,548	58
2022	4,944,730	294
2023	40,609,732	1,720
2024	169,561,120	5,562

Source: Central Bank of Oman

CHAPTER 5

EXTERNAL SECTOR DEVELOPMENTS





ANNUAL REPORT 2024

Overall Assessment

In 2024, economic growth remained stable supported by strong non-oil activity, which helped offset the impact of OPEC+ production cuts on growth. Trade volumes expanded during the year, underpinned by strong external demand for non-hydrocarbon exports of Omani origin, reflecting growing competitiveness and diversification of the export base. Oman's external sector held firm through 2024, navigating a complex global environment shaped by regional tensions and general uncertainty. Lower global interest rates enhanced access to external funding, while the appreciation of the U.S. dollar—through the currency peg—helped ease domestic inflation, thereby strengthening the competitiveness of Omani non-oil exports in key markets.

Oman maintained a current account surplus in 2024, equivalent to 2.9 percent of GDP, underscoring continued external sector strength amid a challenging global environment. The trade balance remained in surplus, though it moderated slightly as import growth outpaced export growth. Import growth was largely driven by capital goods and industrial inputs—including feedstock, mineral products, machinery, and transport equipment—reflecting continued investment momentum and expansion in productive capacity. As a result, the overall goods import bill rose by 12.3 percent in 2024, highlighting strong demand for industrial and infrastructure-related inputs. Oil exports held steady, while refined petroleum products surged, bolstered by Duqm refinery reaching full operational capacity.

Non-hydrocarbon exports gained further traction, supported by rising industrial output and targeted government initiatives to broaden the export base. Re-exports also posted solid growth, reflecting improvements in trade logistics and expanded regional connectivity.

The services account saw a modest widening of the deficit in 2024, due to higher freight and insurance costs, steady outbound travel, and increased regional insurance claims. However, inbound tourism and hospitality receipts posted moderate gains, helping to offset part of the gap. The primary income account deficit widened in 2024, mainly driven by increased dividend distributions from corporates and higher returns on equity assets. Secondary income outflows remained stable in 2024, broadly in line with the economy's demand for foreign labor.

Oman's financial account registered a net lending position for the third straight year. Foreign direct investment inflows remained strong, particularly in the oil and gas sector. Portfolio flows reflected increased investments abroad by financial institutions, and the government's continued efforts to reduce its external liabilities through repayments of securities. Other investment outflows rose, as loan repayments by corporates and government accelerated. Official reserves increased, driven by the buildup of foreign assets at the CBO. The overall external sector performance remained stable, reinforced by steadfast implementation of structural reforms and continued progress on fiscal consolidation.

Nominal Effective Exchange Rate (NEER)

Oman's NEER index tracks the value of the Omani Rial against a basket of 18 currencies from Oman's main trading partners, with 1999 as the base year. A higher NEER index signals an appreciation of the Omani Rial, making imports from partner economies less expensive while increasing the value of exports in terms of one unit of foreign currency.

By December 2024, the import-weighted NEER index rose to 119.0 from 114.3 in 2023, reaching its peak in the final quarter (Table 5.1). This marks a continuation of the appreciation trend observed in recent years, with the NEER index reaching a new high by end-2024 (Chart 5.1). This increase was primarily driven by the appreciation of the U.S. Dollar, fueled by optimism about the U.S. economy and anticipated policy changes. Despite the stronger Omani Rial affecting export price competitiveness, Oman's non-hydrocarbon exports, particularly in mineral products, continued to grow robustly. A stronger NEER also helped ease import costs, supporting domestic price stability.

Current Account

In 2024, Oman's current account balance (CAB) maintained a healthy surplus of 2.9 percent of GDP, equivalent to approximately OMR 1,179.9 million (Chart 5.2). This performance was underpinned by firm oil prices averaging USD 81.2 per barrel, stronger non-hydrocarbon export growth, and continued fiscal restraint in current and capital spending. The merchandise trade surplus widened by 5.3 percent, supported in part by increased refinery exports following the ramp-up of operations at the Duqm refinery. However, this was partly offset by larger deficits in services and primary income, which rose by 7.7 percent and 5.6 percent respectively, reflecting higher transportation, insurance, and dividend payments. Meanwhile, the secondary income deficit narrowed by 2.0 percent, aided by a moderation in worker remittances (Chart 5.3). As a result, the current account posted a higher surplus of OMR 1,179.9 million in 2024 compared to OMR 935.7 million in 2023.

Chart 5.1: NEER and Non-Oil Exports

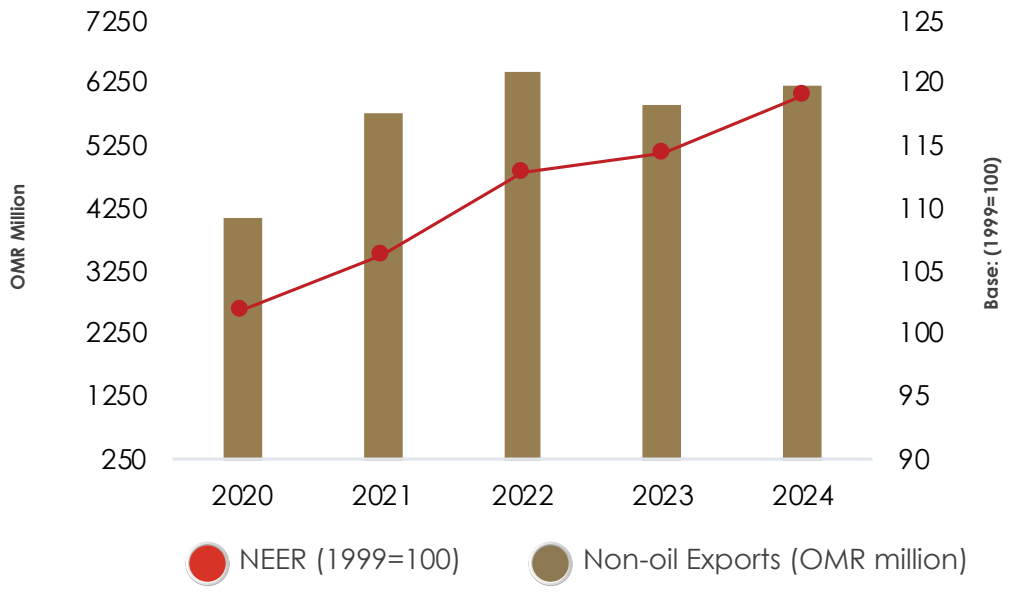


Chart 5.2: Current Account Balance

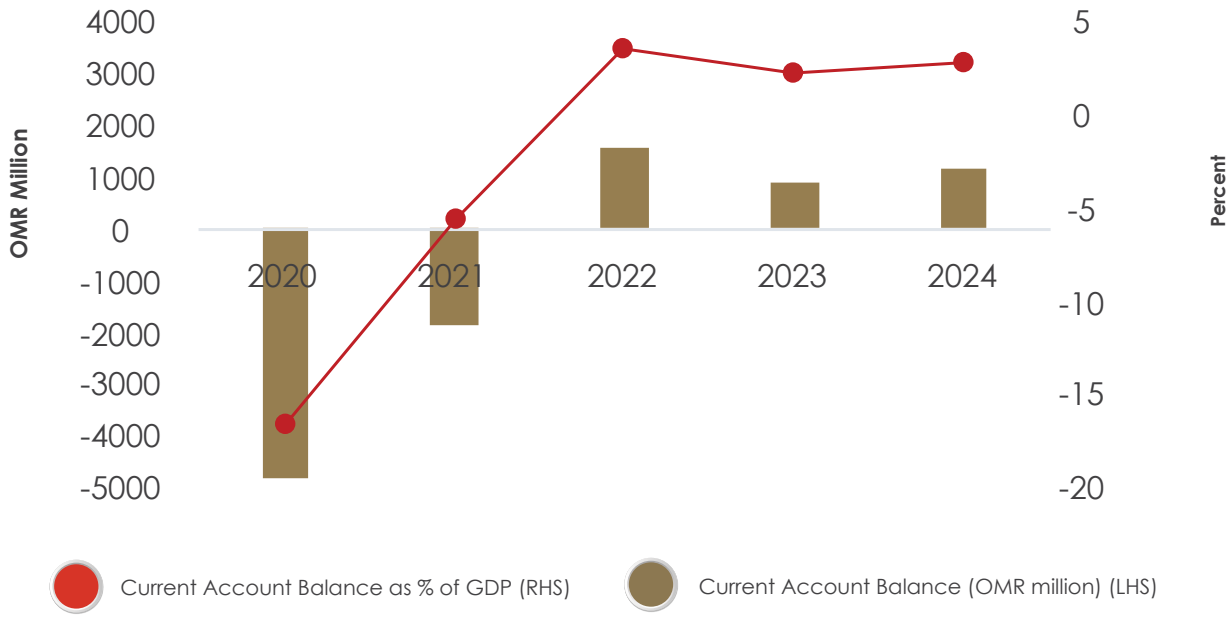
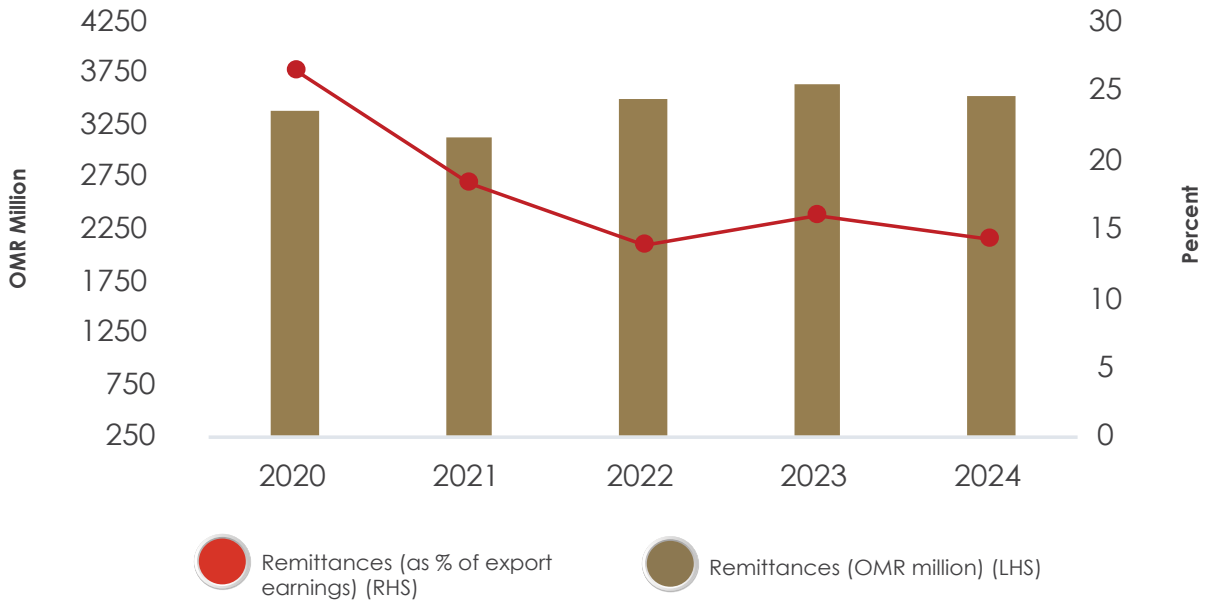


Chart 5.3: Outward Remittances



Foreign Trade

Oman's trade openness, measured as the sum of exports (f.o.b) and imports (c.i.f) relative to GDP, edged up to 102 percent in 2024 from 93.1 percent in 2023, indicating greater reliance on trade and a more open economy (Chart 5.4). This increase was fueled by a surge in trade values (particularly refinery exports and rising import costs) growing faster than the overall economy (Table 5.2). In nominal terms, total merchandise exports (f.o.b) increased noticeably by 9.4 percent during 2024, while continuing to serve as the mainstay of domestic production with a share of 60.8 percent of GDP. Crude oil and liquified natural gas (LNG) exports held steady at OMR 9,908 million and OMR 2,528 million, respectively, while refinery exports soared by 50.5 percent to OMR 4,678 million, significantly boosting overall merchandise exports. Meanwhile, non-hydrocarbon exports increased by 5.8 percent, underscoring ongoing diversification momentum, while imports (c.i.f) increased by 12.3 percent over the year.

Merchandise Balance

In 2024, Oman's merchandise trade surplus expanded by 3.8 percent, supported by strong growth in exports (Chart 5.5). Total exports, including re-exports, increased by OMR 2,154.8 million, while imports (c.i.f.) rose by OMR 1,856.2 million. This led to a notable boost in the trade surplus, up by OMR 298.5 million from the previous year.

Chart 5.4: Degree of Trade Openness

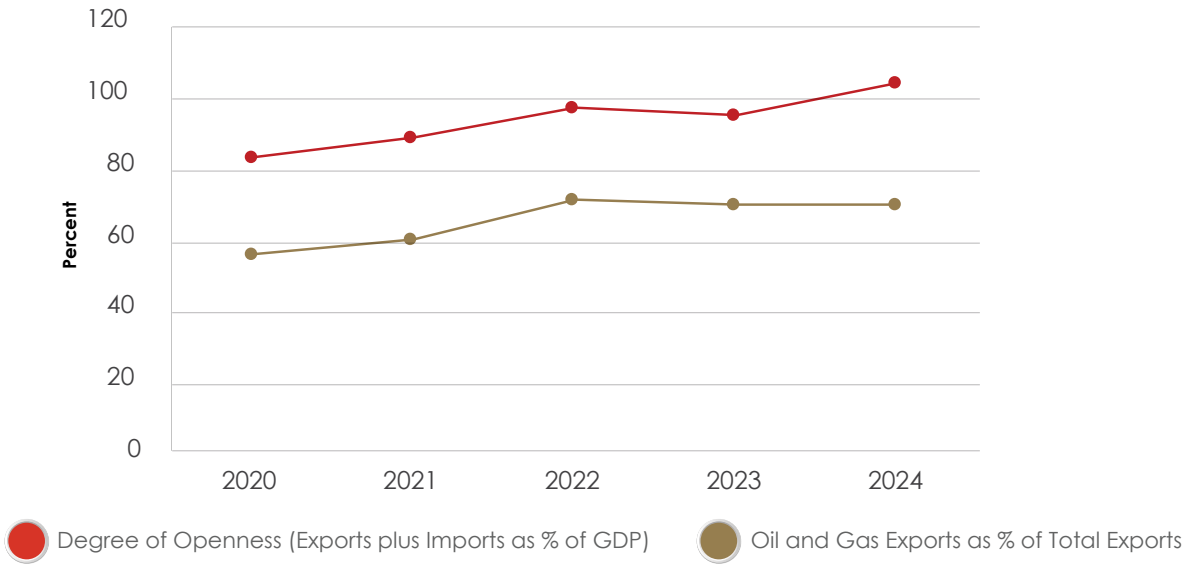
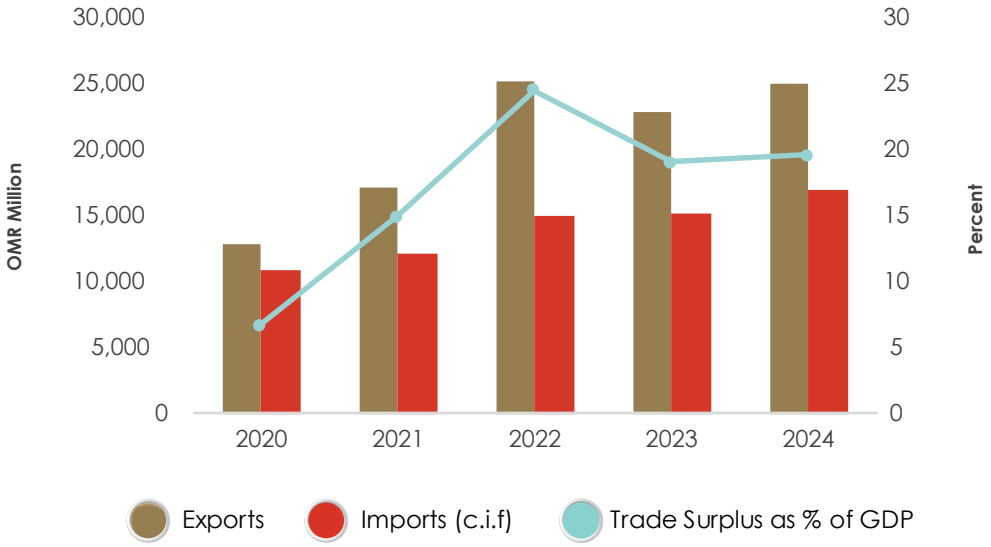


Chart 5.5: Merchandise Trade Balance

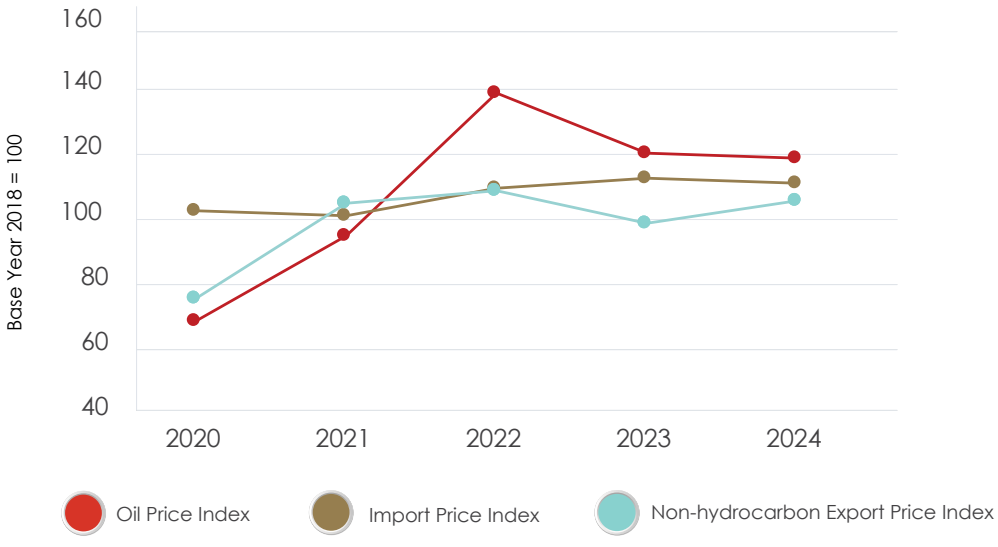


Imports remained elevated throughout the year, reflecting strong investment activity and domestic demand, and rose by 12.5 percent to reach OMR 16,826.7 million (Table 5.3). The rise in imports was concentrated in machinery and mechanical appliances, vehicles, aircraft, and vessels, and vegetable products, which saw respective increases of 28.7 percent, 22.7 percent, and 18.2 percent.

Export growth stemmed from both hydrocarbon and non-hydrocarbon sectors. Hydrocarbon exports expanded by 10.3 percent, largely attributed to a substantial 50.5 percent surge in refined oil exports. This increase was due to the Duqm refinery operating at full capacity throughout the year. Crude oil production in 2024 remained broadly unchanged from the previous year, though average prices of crude oil edged down by 1.4 percent (Table 5.3). The value of LNG exports witnessed a modest 1.9 percent drop in 2024, driven by lower global prices.

Non-hydrocarbon exports rose by 5.8 percent in 2024, reaching a total value of OMR 6,228.7 million (Table 5.4). The expansion was fueled by strong growth in exports of mineral products, vehicles, aircraft and vessels, and plastics and articles thereof, which increased by 29.7 percent, 28.9 percent, and 13.3 percent respectively. Correspondingly, the non-hydrocarbon exports Price Index registered a 9.2 percent rise over the year (Chart 5.6). Total re-exports also performed strongly, increasing by 14.8 percent in 2024, though performance varied across product categories.

Chart 5.6: Unit Value Indices of Exports and Imports



In terms of trade partners, the United Arab Emirates, Saudi Arabia, and India were the leading destinations for Oman's non-oil exports, accounting for 16.8 percent, 13.6 percent, and 10.6 percent of total non-oil exports, respectively. The re-export market was led by the United Arab Emirates at 33.3 percent, followed by Iran at 21.0 percent, and Kuwait at 6.9 percent. On the imports side, the United Arab Emirates remained Oman's largest supplier, making up 23.3 percent of total imports, with China at and Kuwait contributing 10.2 percent and 10.0 percent, respectively (Table 5.5).

Services

In 2024, Oman's services account deficit widened by 7.7 percent, reaching OMR 2,743.4 million. This was mainly due to a decline in service exports, which fell by 3.5 percent to OMR 2,167.3 million in 2024. The drop reflected lower earnings from transport, telecommunications, computer, and information services, while travel and construction services remained broadly unchanged from the previous year. On the import side, services increased more modestly by 2.5 percent to OMR 4,910.8 million, largely driven by higher transportation costs, including freight and insurance payments, in line with the growth in merchandise imports.

The deficit in transport services account widened by 19.6 percent in 2024, reflecting increased costs tied to higher import volumes. In contrast, the deficit in the travel account contracted sharply by 80.7 percent to OMR 25.6 million, supported by a tourism surge — with inbound travel credit rising by 4.0 percent and outbound travel debits falling by 6.3 percent.

The deficit in construction services account dipped slightly by 2.5 percent to OMR 170.3 million. Meanwhile, the deficit in insurance and pension services account expanded by 9.4 percent in 2024, driven by increased imports and higher claims paid abroad.

Primary and Secondary Income Accounts

The primary income account deficit widened by 5.6 percent in 2024 compared to 2023, largely due to higher dividend payouts and profit repatriation by oil and non-oil companies. Investment income credits declined by 3.6 percent, falling to OMR 405 million in 2024 from OMR 420 million in 2023. This decrease was mainly driven by a drop-in income from nonresident equity and investment fund shares under direct investment, which fell from OMR 27.8 million to OMR 11.5 million. Offsetting this decline somewhat, income from other investments rose notably, supported by increased interest receipts earned by quasi-corporations. On the debit side, investment income payments edged up by 4.1 percent, driven by higher dividend payments under direct investment. Meanwhile, portfolio investment debits declined markedly by 15.1 percent, helped by the government's external debt restructuring efforts, which lowered interest cost on Eurobonds and Sukuk. Secondary income, which mainly comprises workers' remittances, declined by 2 percent to OMR 3,572.6 million in 2024. This drop reflected fewer expatriate workers and boosted Omani workforce participation in sectors such as retail, construction, and administrative roles traditionally held by foreign labor.

Financial Account

Over the past three years (2022-2024), Oman's sustained current account surpluses reflected its net lending position with the rest of the world, matched by corresponding outflows in the financial account. In 2024, the financial account recorded a higher net outflow of OMR 808.7 million, up from OMR 539.4 million in the previous year. A closer look reveals strong direct investment inflows, while portfolio and other investments posted notable outflows. At the same time, official reserves, comprising assets held by the Central Bank of Oman (CBO) and the government, increased by OMR 196.2 million during the year (Table 5.6).

Direct investment continued to play a leading role, with net inflows amounting to OMR 4,847.9 million in 2024 compared to a net inflow of OMR 4,891.6 million recorded in 2023. Net acquisition of direct investment assets declined by OMR 54.9 million in 2024, alongside a substantial increase of OMR 4,793 million in inward investments, mainly related to oil and gas exploration projects.

Portfolio investment witnessed a reduced net outflow of OMR 1,726 million in 2024 compared to OMR 2,787.1 million the year before. This was driven by a significant increase of OMR 1,641.9 million in overseas financial asset holdings, especially in the financial sector.

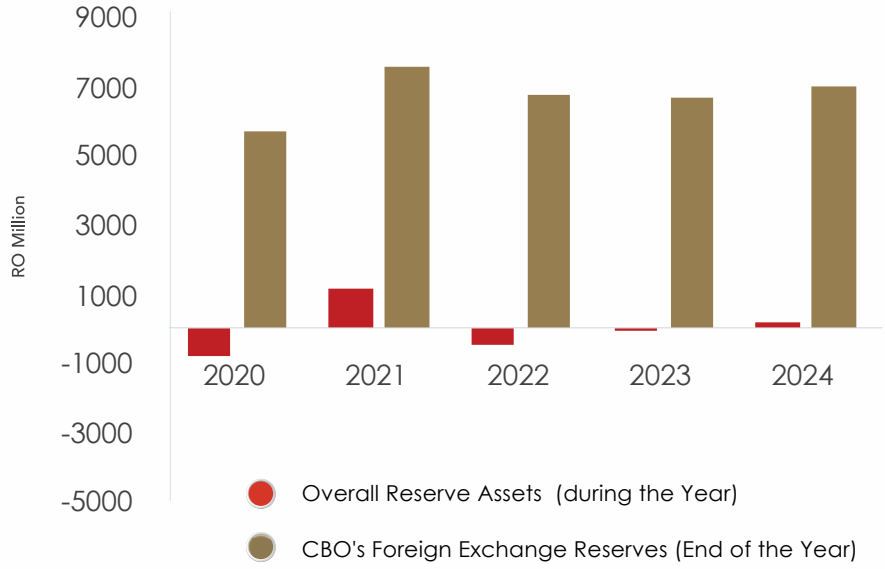
At the same time, outflows on the liabilities side eased to OMR 84.1 million, as government repayments of maturing securities offset new bond issues by corporates.

Other investment posted a higher net outflow of OMR 3,734.4 million in 2024 compared to OMR 2,678.4 million in 2023. The net acquisition of other investment assets increased by OMR 897.6 million, meanwhile the net incurrence of other investment liabilities decreased substantially by OMR 2,836.8 million in 2024. The reduction in liabilities reflected sizable repayments of loans by both the government and corporates.

Reserve assets held by the CBO and Oman Investment Authority (OIA) increased by a net OMR 196.2 million in 2024 as against the decline of OMR 34.5 million in 2023. The total outstanding position of CBO's foreign assets stood at OMR 7,068.3 million, recording an increase of OMR 285.6 million during 2024 compared to the decline of OMR 68.8 million during the previous year (excluding valuation and exchange rate changes) (Chart 5.7). The government foreign assets held by the OIA declined by OMR 89.4 million during 2024 compared to the increase of OMR 34.3 million during the previous year (excluding valuation and exchange rate changes).



Chart 5.7:Overall Reserve Assets and CBO's Foreign Exchange Reserve Levels



Foreign Direct Investment

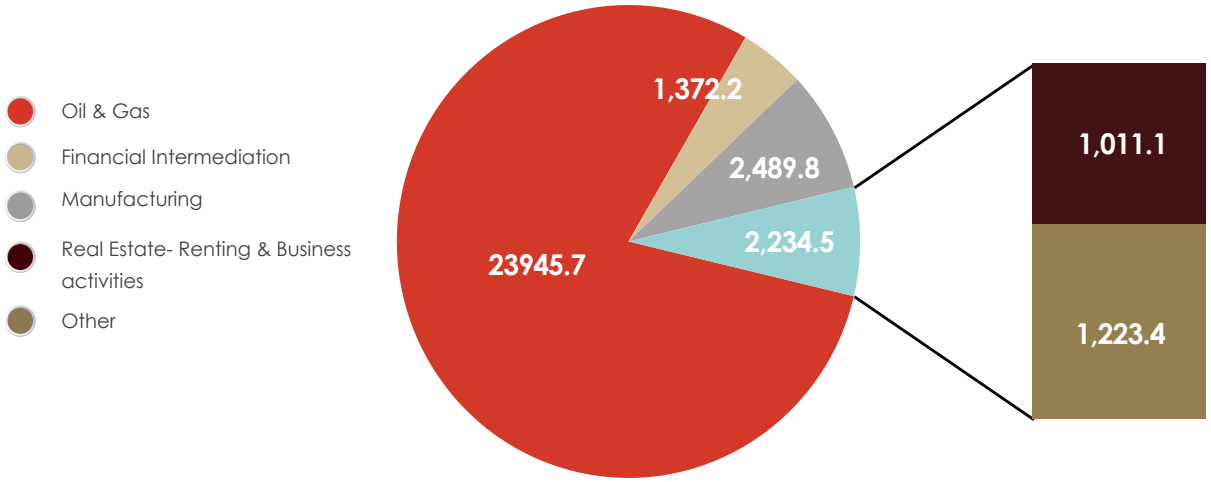
Foreign direct investment (FDI) continues to be a key pillar in Oman's economic development strategy, helping to bridge domestic investment gaps, enabling technology transfer and generating employment opportunities. In line with Oman's Vision 2040 of attracting more global capital, FDI inflows have strengthened markedly in recent years. According to data from the National Center for Statistics and Information (NCSI), the total stock of FDI increased by 18 percent, reaching OMR 30 billion by 2024, up from OMR 25.5 billion in the same period of 2023. The oil & gas sector dominated, accounting for a share of 79.7 percent of the total FDI, followed by the manufacturing sector, financial sector and the real estate sector (Chart 5.8).

FDI stock in the oil and gas sector increased by 24.1 percent to reach OMR 23,945.7 million at the end of 2024 from OMR 19,300.2 million at the end of 2023. Other key sectors also witnessed gains reflecting sustained investor confidence and ongoing expansion in the economy. Transport, storage and communication sector attracted 18.3 percent more investment in 2024, while the trade sector recorded a more modest rise of 4.7 percent.

By source country, the United Kingdom maintained its position as the largest investor, with investments worth OMR 15,312.2 million at the end of 2024, representing just over half of total FDI. The United States of America followed closely behind the UK, with FDI holdings totaling OMR 7,672 million, while China ranked third, contributing OMR 1,293 million in investments (Chart 5.9).

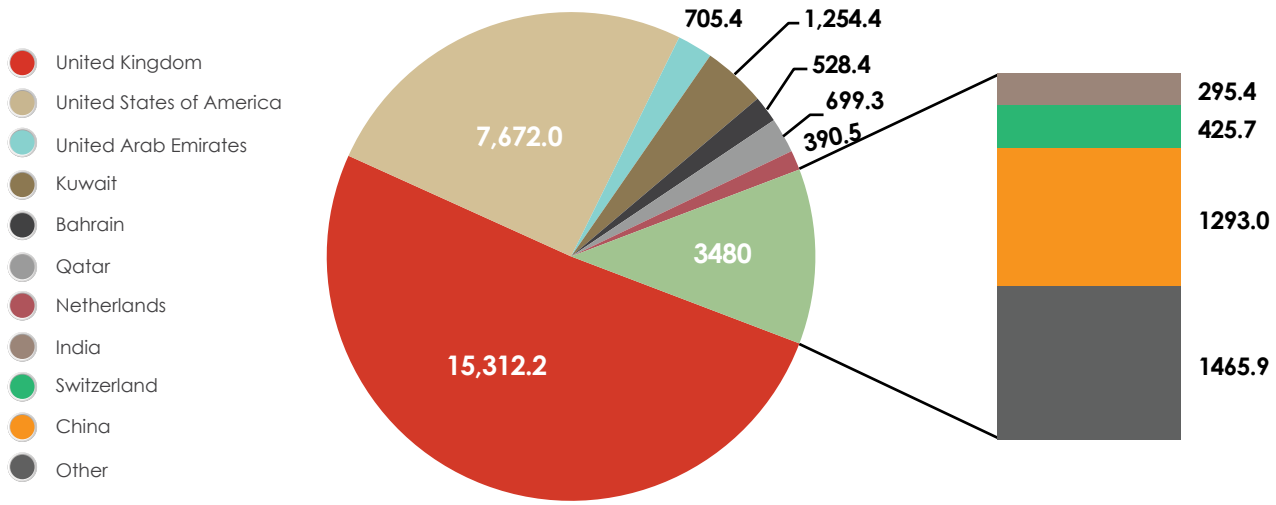


Chart 5.8: FDI by sector (Position) Million OMR



Source: National Center for Statistics and Information (NCSI)

Chart 5.9: FDI by countries (Position) Million OMR



Source: National Center for Statistics and Information (NCSI)

International Investment Position (IIP)

Oman's International investment position registered a net inflow of OMR 8,690 million at the end of 2024, down from OMR 10,685 million a year earlier (Table 5.7). As a share of GDP, net IIP declined to 21.1 percent compared to 26.2 percent in 2023 (Charts 5.10 and 5.11). The country's foreign assets position grew by 7.9 percent to reach RO 43,973 million at the end of 2024 compared to OMR 40,749 million at the end of the last year. The rise in assets was driven by a 21.4 percent increase in portfolio investment, reflecting higher overseas investment activity by domestic financial institutions.

Other investment assets and reserve holdings also expanded 5.2 percent and 4.0 percent, respectively. In contrast, direct investment dipped slightly by 1.0 percent. On the liabilities side, foreign obligations increased by 2.4 percent to reach OMR 52,663 million at the end of 2024 as against OMR 51,435 million at the end of 2023. The rise in liabilities was mainly attributed to an 18.7 percent increase in FDI into Oman. Meanwhile, portfolio liabilities fell by 4.4 percent, and other investments declined sharply by 27.6 percent, reflecting large-scale loan repayments made by corporate entities and the government.

Chart 5.10 International Investment Position

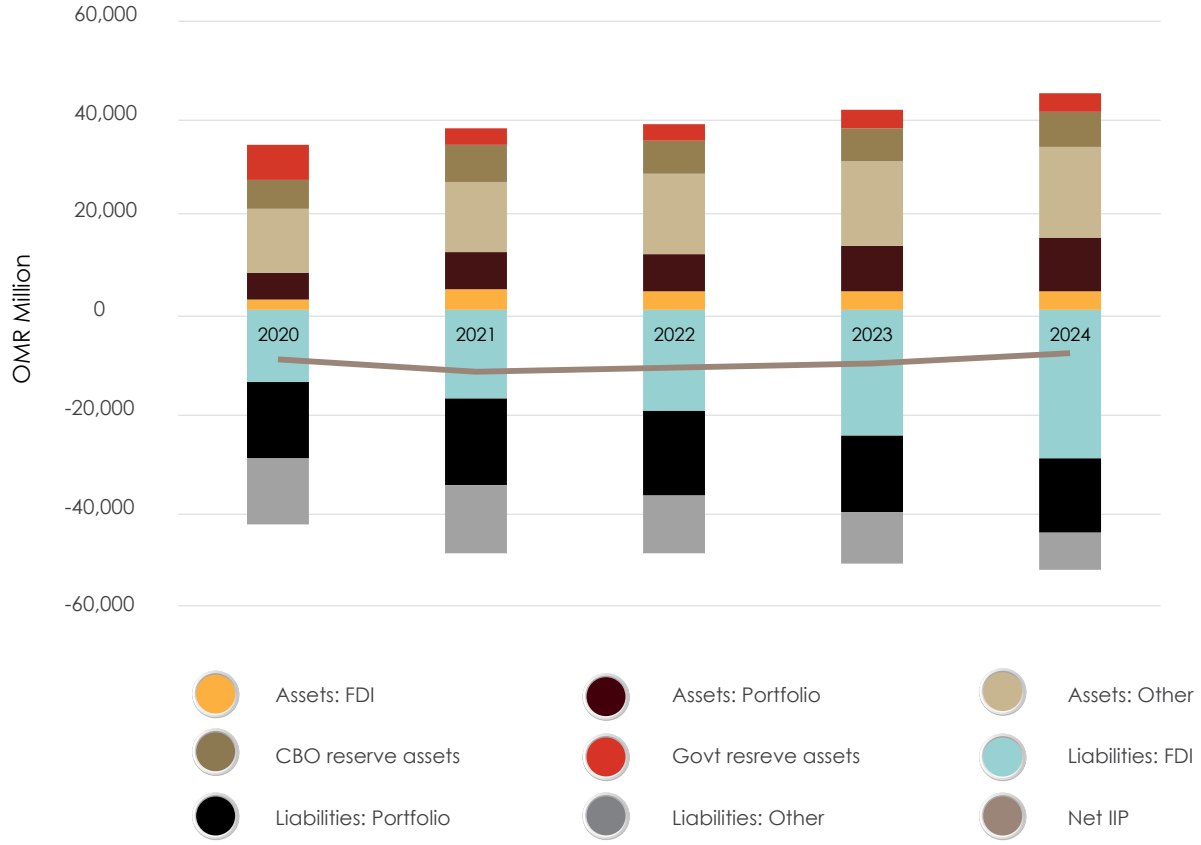
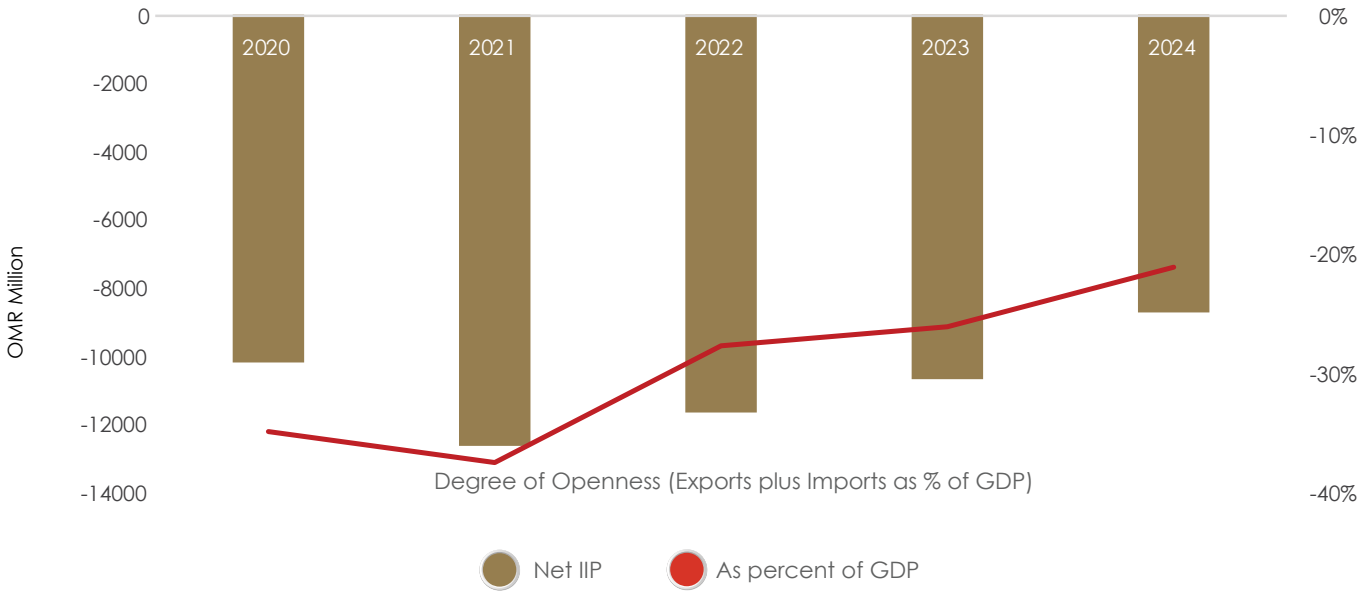


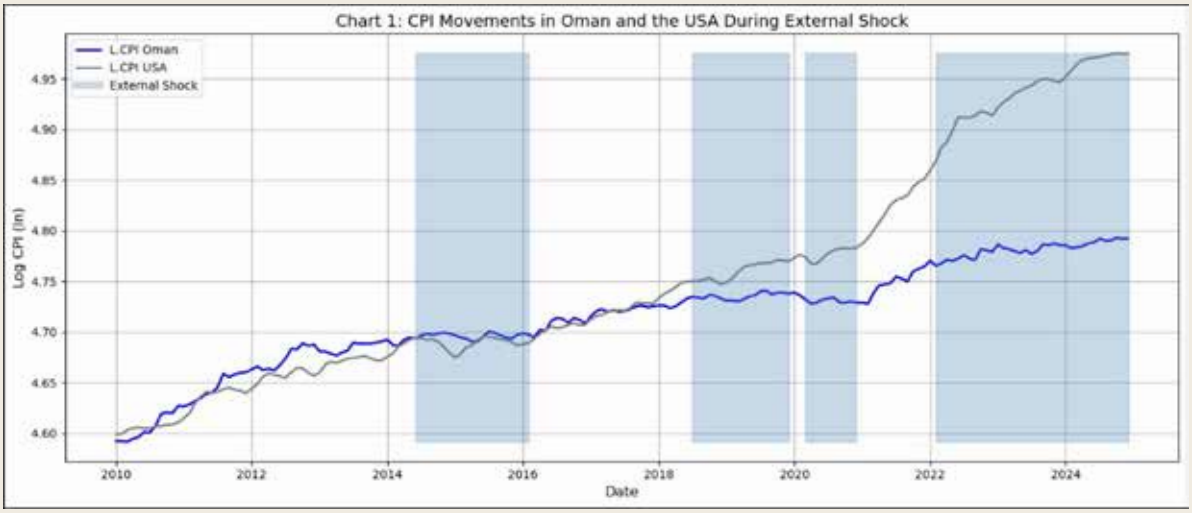
Chart 5.11: Net International Invetment Position as Percent of GDP



Box 5.1 Assessing Long-Run Price Alignment under a Fixed Exchange Rate

Under the theory of relative purchasing power parity (PPP), inflation differentials between countries should be offset by exchange rate movements, keeping the real exchange rate broadly stable over time. In the case of Oman, where the Rial is pegged to the U.S. Dollar, nominal exchange rate adjustment is not possible, implying that domestic inflation must move in line with U.S. inflation to maintain external stability.[1] If inflation in Oman diverges from that of the U.S., the real exchange rate adjusts either appreciating and eroding competitiveness or depreciating and signaling undervaluation.

In practice, relative PPP seldom holds in the short run, but it tends to be more reliable over longer horizons. Research shows that short-term deviations from PPP are common and often reflect practical factors such as transport costs, tariffs, non-tradable goods, temporary price rigidities, and policy intervention. The body of empirical evidence on PPP is vast, covering a wide range of methods and time periods. Researchers have evaluated whether real exchange rates follow a random walk, examined long-run relationships using cointegration techniques, explored exceptionally long historical data spans, and applied most recent nonlinear models to capture slow or asymmetric adjustments (Sarno & Taylor, 2002).



This box investigates the long-run and short-run drivers of inflation in Oman within the framework of relative PPP, using a cointegration and autoregressive distributed lag (ARDL) approach. It evaluates whether consumer prices in Oman align with those of the U.S. The model incorporates the nominal effective exchange rate (NEER) to capture imported inflation pass-through,[2] a broad money (M2) index to proxy domestic demand conditions, and a subsidy index to reflect the role of fiscal policy in price stabilization. The aim is to assess whether long-run inflation divergence, and consequently real exchange rate misalignment, is absent.

Over the past few decades, Oman has maintained consistently low and stable inflation, with only occasional fluctuations,

[1] Movements in Oman's nominal effective exchange rate (NEER) primarily reflect changes in the U.S. dollar against third currencies, which are shaped by U.S. economic conditions and policy. As these lie outside Oman's control, maintaining external balance under the peg requires that domestic inflation gradually converge with that of the anchor currency, the U.S. dollar.

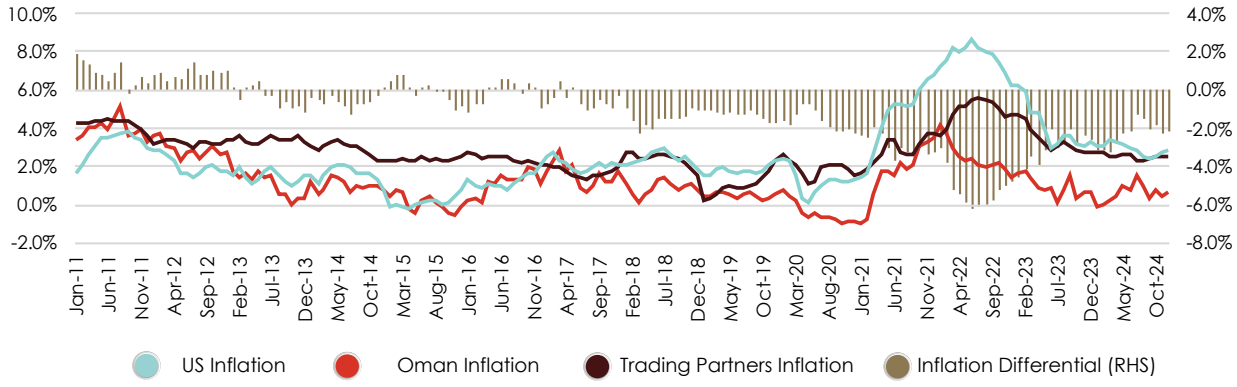
[2] A recent IMF working paper by Fareed et al. (2023) uses Global VAR model to show that much of the inflation seen across GCC countries stems from abroad-- mainly through imported inflation from global price trends and, to a lesser extent, exchange rate movements.

often aligning with or falling below U.S. inflation rates. Brief periods of regional instability temporarily drove prices upwards, while recent global supply chain disruptions and geopolitical events triggered short lived spikes. Chart 1 illustrates the logarithmic consumer price indices (cumulative price levels) for Oman and the U.S. from 2010 to 2024, where the slope of each line represents the inflation rate. In the earlier period, prices in both countries tracked closely, reflecting stable relative pricing under Oman's fixed exchange rate regime. Since early 2020, however, U.S. prices have risen more sharply, suggesting a divergence in relative price levels that may not be fully reconciled.

Chart 2 displays annual inflation rates for Oman and the U.S. from 2010 to 2024, revealing short-term divergences and periods of convergence in general, inflation in Oman and the U.S. are broadly aligned with some short-lived deviations that revert over time. The inflation between Oman and U.S. widened most notably after 2020, suggesting that domestic prices only partially adjusted to external inflation pressures.

These variables form the basis of the empirical model that follows, which examines how each factor contributes to inflation dynamics under the peg using cointegration and ARDL techniques.

Chart 2: Annual Inflation Rates



Source: IMF Database and CBO Calculations

Empirical Methodology and Findings

The analysis uses monthly data for the period January 2010 to December 2024. Consumer price indices (CPI) for Oman and the United States were sourced from the IMF data portal. The NEER was constructed as a geometric index using bilateral exchange rates and trade weights, with all indices rebased to 2010=100. Two additional indices, one capturing subsidies and the other representing broad money (M2) as a proxy for domestic demand were constructed and normalized to 2010 base.[3]

As a first step, we began by visually inspecting the time series data, which revealed potential structural breaks around key economic events. Formal break point unit root tests confirmed significant shifts. We adjusted the original series to account for breaks, ensuring robust analysis. The Augmented Dickey Fuller tests on the modified series indicated that all variables were integrated of order one, I(1). This justified proceeding with cointegration analysis, which confirmed a stable long-run equilibrium relationship. An ARDL model was then estimated to model the short-

[3] The subsidy index was derived by combining annual government expenditures on subsidies with monthly international oil prices. Monthly values for subsidies were generated using the Chow-Lin interpolation method, ensuring consistency with annual totals while reflecting intra-year oil price fluctuations.

run and long-run impacts of US inflation, NEER, M2, and subsidies on inflation in Oman, testing PPP validity.

The cointegrating relationship was examined following Pesaran et al. (2001) using the critical values for the lower and upper bounds. The Long Run Form and Bounds Test were applied to evaluate the long-run relationship between variables in the ARDL model. This test relies on the F-statistic: if the calculated F-statistic exceeds the upper bound, it indicates the presence of a long-run relationship among the variables. Conversely, if the F-statistic falls below the lower bound, it suggests no long-run relationship. The calculated F-statistic, presented in Table (1), indicates that a long-run relationship exists among the variables.

Table (1): The Long Run Form and Bounds Test Results for ARDL Model

Bound Test critical values		**Null Hypothesis: No levels relationship**		
Test statistic	**F-Statistic**	**Significant**	**Lower bound**	**Upper bound**
	5.47***	10%	2.2	3.09
		5%	2.56	3.49
		1%	3.29	4.37
Cointegration:	Yes		Included observations	176

*** denotes significance at %1 level; ** denotes significance at %5 level; * denotes significance at %10 level

After confirming the existence of a long-run relationship among the variables, the ARDL model was estimated using an error correction mechanism (ECM), with the error correction term (ECT) as an explanatory variable (Table 2). The ECT coefficient reflects the speed at which the dependent variable returns to equilibrium after a shock.

We estimate that a 10 percentage points increase in the U.S. inflation is associated with 0.8 percentage point rise in Oman inflation over the long run, ceteris paribus. Interestingly, NEER appreciation is associated with a decline in inflation, suggesting that an appreciation by 10 percentage points is associated with 0.6 percentage point decrease in inflation. This means that Oman's policy mix of a fixed peg to the U.S. dollar, combined with continued price subsidies, and a more disciplined fiscal stance in recent years, has helped shield the economy from sharp global inflation swings. This also suggests that Oman's domestic prices respond partially to external prices. Overall, this finding is not fully consistent with relative PPP, which would require a one-to-one adjustment, but supports a weaker form of PPP where partial price convergence occurs. However, subsidies appear to have no significant impact on inflation, implying that administrative pricing mechanisms may have successfully cushioned external price shocks without distorting inflationary trends.

The coefficient for the error correction term (ECT) is above 0.15 (with a negative sign), implying that the dependent variable exhibits relatively low adjustment towards equilibrium. By the same token, the system corrects 15% of the deviation per period, implying it takes multiple periods to fully restore equilibrium.

Importantly, the model passed all key diagnostic tests, confirming stability, no autocorrelation, and homoscedasticity. This reinforces the reliability of the estimated relationships.

Table (2): Results of Long-Run Relationship & Error Correction Mechanism (ECM)				
Dependent variable		**Consumer Price Index (CPI_Oman)**		
Independent variables	**Coefficient**	**Std.Error**	**t-Statistic**	**Prob.**
CPI_USA_ADJ(1-)	0.083047**	0.036181	2.295332	0.0230
NEER_GEOM_ADJ(1-)	-0.065043**	0.032868	-1.978925	0.0495
M2_INDEX_ADJ(1-)	0.014164**	0.006258	2.263178	0.0249
SUBSIDIES_ADJ(1-)	-0.000185	0.002098	-0.088197	0.9298
Constant	0.545067**	0.193980	2.809921	0.0055
Error Correction Term	-0.153577***	0.026400	-5.817319	0.0000

*** denotes significance at %1 level; ** denotes significance at %5 level; * denotes significance at %10 level

Policy Implications and Concluding Remarks

The findings indicate that inflation differentials between Oman and its external counterparts are not persistent but tend to narrow over time albeit at a relatively low pace, suggesting that such gaps are mean-reverting. This reinforces the conclusion that Oman's domestic price movements are not diverging independently but remain broadly aligned with those of its major trading partners. This outcome underscores the effectiveness of the fixed exchange rate regime in anchoring inflation expectations and maintaining price stability. Importantly, relative PPP holds for Oman, indicating no significant long-run inflation divergence or misalignment of the real exchange rate. Based on these findings, the following policy recommendations are proposed:

Preserve the Exchange Rate Peg. The empirical evidence supports the peg's role in anchoring inflation expectations and fostering price stability, even if relative PPP holds only partially. Maintaining the peg remains essential for monetary policy credibility.

Strengthen Price Flexibility. When enhancing the speed and completeness of inflation convergence with external trends, which will contribute to preserving the exchange rate peg stability. Oman should consider gradual reforms that improve domestic price flexibility—especially subsidy reforms in energy, utilities, and administered goods—while balancing social protection needs.

Improve Competitiveness Monitoring. Continued tracking of relative price levels and effective exchange rates—particularly through PPP-based assessments—will be critical in ensuring external competitiveness under the fixed exchange rate system.

Diversify Price Anchors through Trade Policy. Since Oman's inflation is partially aligned with U.S. inflation, diversifying trade partnerships and adjusting the basket of trading partners used for NEER calculation may better reflect evolving trade realities and price trends.

Table 5.1 Nominal Effective Exchange Rate (NEER) (1999=100)		
End of year	Import Weighted	Non-Weighted
2011	92.3	89.3
2012	92.9	88.6
2013	96.2	91.1
2014	101.6	97.4
2015	105.2	104.5
2016	107.3	108.4
2017	102.1	100.7
2018	104.6	107.8
2019	105.0	110.1
2020	101.8	110.8
2021	106.2	112.3
2022	112.8	124.2
2023	114.3	129.2
Month-end (2024)		
January	116.0	130.8
February	116.5	131.0
March	116.8	131.4
April	118.4	133.0
May	117.6	131.6
June	118.4	132.1
July	116.3	130.9
August	115.0	129.0
September	114.2	127.7
October	116.4	130.3
November	117.1	132.0
December	119.0	134.0

Note: A rise in the index indicates an appreciation of the Rial.
Source: Central Bank of Oman.

Table 5.2 Merchandise Trade (Rial Omani Million)						
	2020	2021	2022	2023	2024	% Change 2024/23
Imports (c.i.f.)	**10,896.6**	**12,039.2**	**14,927.6**	**15,108.7**	**16,964.9**	**12.3**
Exports (f.o.b.)	**12,861.2**	**17,048.8**	**25,270.5**	**22,895.9**	**25,050.7**	**9.4**
Crude Oil	5,053.6	7,184.8	11,656.4	9,833.7	9,908.0	0.8
Refined Oil	632.1	1,104.8	2,828.0	3,108.3	4,678.0	50.5
LNG	1,310.0	1,662.8	3,057.2	2,576.7	2,528.0	-1.9
Non-Hydrocarbon	4,092.7	5,777.7	6,410.8	5,890.0	6,228.7	5.8
Re-exports	1,772.9	1,318.7	1,318.1	1,487.2	1,708.0	14.8
Trade Balance	**1,964.6**	**5,009.6**	**10,342.9**	**7,787.3**	**8,085.8**	**3.8**
(Exports+Imports) as % of GDP	81.4	86.6	95.2	93.1	102.0	9.6
Trade Balance as % of GDP	6.7	14.9	24.5	19.1	19.6	2.9
Total Non-oil Exports as % of GDP*	14.0	17.2	15.2	14.4	15.1	4.8

The coverage of both exports and imports was expanded in 2020, due to which it may not be strictly comparable with the previous year.
Import figures in some other tables which may relate only to recorded imports. Similarly, import figures in this table are on c.i.f. basis, and, therefore, may not tally with import and trade balance figures in other tables where imports could be on f.o.b. basis.
Source: Directorate General of Customs and National Center for Statistics & Information.

Table 5.3
Value and Quantity of Exports / Imports

Year	Non-oil Exports of Omani Origin*		Re-Exports		Recorded Imports		Oil Exports	
	Value (R.O. Million)	Weight (000) Tonnes	Value (R.O. Million)	Weight (000) Tonnes	Value (R.O. Million)	Weight (000) Tonnes	Million Barrels	Avg. Price US $/Barrel
2002	261.6	1727.8	726.7	475.2	2309.1	4901.0	306.2	24.3
2003	304.1	1973.0	600.8	492.1	2527.0	5643.1	287.7	27.8
2004	420.3	2167.8	538.3	300.3	3313.8	5713.7	263.6	34.4
2005	555.3	3013.1	583.9	338.8	3394.5	5566.9	262.1	50.3
2006	812.5	5488.1	766.9	318.2	4190.1	5822.7	233.2	61.7
2007	1290.7	6335.1	1003.5	338.7	6146.5	7398.7	222.0	65.2
2008	1962.9	10156.9	1515.8	608.3	8813.1	10476.3	216.7	101.1
2009	1849.5	11340.3	1834.8	1245.4	6862.7	9431.8	242.9	56.7
2010	2448.2	24052.9	1921.7	1143.7	7590.1	12826.9	271.8	76.6
2011	3033.2	31775.3	2247.6	2129.7	9081.8	15651.8	269.4	103.0
2012	3594.1	15921.1	2486.3	2572.6	10811.3	17865.5	279.8	109.6
2013	3806.9	30237.6	3541.4	3940.6	13201.0	29746.6	299.3	105.5
2014	4125.5	18731.3	2944.1	2887.2	11267.7	23175.3	292.2	103.2
2015	3003.9	14902.0	2571.6	2217.4	11153.3	35570.4	308.1	56.5
2016	2398.7	19016.1	2056.3	3005.7	8900.2	41845.0	321.9	40.1
2017	3176.4	40013.5	2102.1	3183.5	9937.5	33724.0	294.2	51.3
2018	3727.1	40290.9	1831.5	1931.2	9703.7	30585.0	289.3	69.7
2019	3230.6	53402.9	1434.6	1992.9	8788.4	32493.7	310.3	63.6
2020	4096.5	60543.2	1772.9	1268.2	10754.3	33949.2	287.0	46.0
2021	5777.7	60786.7	1318.7	961.1	11906.7	37927.5	289.0	64.3
2022	6410.8	65325.4	1318.1	915.7	14881.2	43864.4	318.0	95.4
2023	5890.0	66097.6	1487.2	1416.3	14952.6	42744.5	310.3	82.3
2024	6228.7	64961.5	1707.8	2176.8	16826.7	48844.0	308.4	81.2

*Excludes re-exports.
Source: Directorate General of Customs and Ministry of Oil and Gas.

Table 5.4
Composition of Trade by Components

Value of Non-oil Exports of Omani Origin* (Rial Omani Million)	2020	2021	2022	2023	2024	% Change 2024/23
BASE METALS AND ARTICLES OF BASE METAL	895.6	1327.0	1473.5	1315.6	1319.8	0.3%
LIVE ANIMALS, ANIMAL PRODUCTS	255.0	258.0	321.1	393.7	350.3	-11.0%
MACHINERY AND MECHANICAL APPLIANCES	187.0	214.7	157.6	369.9	271.7	-26.5%
MINERAL PRODUCTS	454.8	842.1	1254.9	1315.6	1778.2	35.2%
PLASTIC AND ARTICLES THEREOF	509.7	884.8	1123.2	878.5	995.6	13.3%
PREPARED FOODSTUFFS	196.5	213.4	199.8	213.2	235.8	10.6%
PRODUCTS OF THE CHEMICALS	744.6	1234.5	1419.9	951.2	804.2	-15.5%
VEGETABLE PRODUCTS	80.8	78.0	82.1	77.0	85.5	11.1%
VEHICLES, AIRCRAFTS, VESSELS	436.2	347.4	16.6	22.3	28.8	28.9%
Others	332.3	377.8	362.1	353.1	358.9	1.6%
Total	**4092.7**	**5777.7**	**6410.8**	**5890.0**	**6228.7**	**5.8%**
Composition of Re-exports	2020	2021	2022	2023	2024	% Change 2024/23
BASE METALS AND ARTICLES OF BASE METAL	89.5	28.0	31.7	33.8	31.6	-6.4%
LIVE ANIMALS, ANIMAL PRODUCTS	24.7	67.2	64.4	108.4	97.4	-10.1%
MACHINERY AND MECHANICAL APPLIANCES	334.2	250.1	338.5	397.8	376.1	-5.5%
MINERAL PRODUCTS	42.7	37.8	62.5	99.2	120.3	21.3%
PLASTIC AND ARTICLES THEREOF	20.6	24.5	28.9	50.5	37.5	-25.8%
PREPARED FOODSTUFFS	88.2	129.8	145.3	140.8	183.9	30.6%
PRODUCTS OF THE CHEMICALS	30.0	50.1	30.7	33.4	50.3	50.4%
VEGETABLE PRODUCTS	22.6	30.4	28.7	21.3	23.5	10.5%
VEHICLES, AIRCRAFTS, VESSELS	842.5	544.5	383.5	403.5	400.7	-0.7%
Others	277.9	156.2	204.0	198.6	386.5	94.7%
Total	**1772.9**	**1318.7**	**1318.1**	**1487.2**	**1707.8**	**14.8%**
Composition of Recorded Imports	2020	2021	2022	2023	2024	% Change 2024/23
BASE METALS AND ARTICLES OF BASE METAL	1406.3	1511.1	1567.2	1589.9	1602.9	0.8%
LIVE ANIMALS, ANIMAL PRODUCTS	521.0	577.4	686.1	638.8	699.5	9.5%
MACHINERY AND MECHANICAL APPLIANCES	2439.0	1989.7	2102.2	2278.7	2933.5	28.7%
MINERAL PRODUCTS	1275.2	2181.6	4295.6	4225.1	4673.4	10.6%
PLASTIC AND ARTICLES THEREOF	406.0	466.1	515.7	501.6	527.9	5.2%
PREPARED FOODSTUFFS	533.3	605.4	701.0	694.8	785.2	13.0%
PRODUCTS OF THE CHEMICALS	988.0	1149.0	1564.2	1472.2	1516.8	3.0%
VEGETABLE PRODUCTS	599.0	677.5	620.5	592.6	700.6	18.2%
VEHICLES, AIRCRAFTS, VESSELS	1260.3	1215.8	1189.4	1335.7	1638.7	22.7%
Others	1326.2	1533.1	1639.4	1623.2	1748.3	7.7%
Total	**10754.3**	**11906.7**	**14881.2**	**14952.6**	**16826.7**	**12.5%**

*Excludes re-exports.
Source: Directorate General of Customs.

Table 5.5
Non-oil Trade by Country

Country		2022			2023			2024		
		Non-Oil Exports	Re-Exports	Imports	Non-Oil Exports	Re-Exports	Imports	Non-Oil Exports	Re-Exports	Imports
Bahrain	**Value**	64.3	4.9	354.4	41.6	6.8	199.1	39.5	8.8	123.6
	% Share	%1.0	%0.4	%2.4	%0.7	%0.5	%1.3	%0.6	%0.5	%0.7
Kuwait	**Value**	60.8	43.2	131.8	62.9	73.9	669.5	83.5	117.2	1688.9
	% Share	%1.0	%3.3	%0.9	%1.1	%5.0	%4.5	%1.3	%6.9	%10.0
Qatar	**Value**	343.4	47.4	913.4	226.6	48.1	830.4	171.5	51.8	840.7
	% Share	%5.4	%3.6	%6.1	%3.9	%3.2	%5.6	%2.8	%3.0	%5.0
Saudi Arabia	**Value**	837.9	64.2	1780.5	1000.1	83.2	1844.9	848.6	46.1	1278.3
	% Share	%13.2	%4.9	%12.0	%17.2	%5.6	%12.3	%13.6	%2.7	%7.6
UAE	**Value**	767.1	436.7	4312.4	834.9	502.2	3935.0	1046.1	568.3	3919.0
	% Share	%12.1	%33.1	%29.0	%14.2	%33.8	%26.3	%16.8	%33.3	%23.3
China	**Value**	211.8	13.7	1108.7	203.8	15.1	1087.5	155.7	60.8	1723.4
	% Share	%3.3	%1.0	%7.5	%3.5	%1.0	%7.3	%2.5	%3.6	%10.2
India	**Value**	839.7	19.6	1258.1	795.9	55.7	1068.0	659.4	35.7	1496.4
	% Share	%13.1	%1.5	%8.5	%13.5	%3.7	%7.1	%10.6	%2.1	%8.9
USA	**Value**	830.0	40.3	393.4	412.1	83.4	519.9	407.2	56.4	582.1
	% Share	%12.9	%3.1	%2.6	%6.4	%5.6	%3.5	%6.5	%3.3	%3.5
Euro Area	**Value**	198.0	80.8	830.4	196.4	45.0	1078.9	222.1	96.8	923.4
	% Share	%3.1	%6.1	%5.6	%3.3	%3.0	%7.2	%3.6	%5.7	%5.5
Brazil	**Value**	63.1	0.1	445.5	42.1	0.2	470.7	28.8	0.1	547.1
	% Share	%1.0	%0.0	%3.0	%0.7	%0.0	%3.1	%0.5	%0.0	%3.3
Japan	**Value**	12.9	0.3	466.5	36.0	0.6	489.2	81.8	0.4	549.7
	% Share	%0.2	%0.0	%3.1	%0.6	%0.0	%3.3	%1.3	%0.0	%3.3
Iran	**Value**	4.1	203.3	113.4	1.9	210.9	122.9	2.1	359.0	150.9
	% Share	%0.1	%15.4	%0.8	%0.0	%14.2	%0.8	%0.0	%21.0	%0.9
South Korea	**Value**	67.1	1.5	125.0	123.5	1.4	147.8	655.5	0.1	188.9
	% Share	%1.0	%0.1	%0.8	%2.1	%0.1	%1.0	%10.5	%0.0	%1.1
Egypt	**Value**	292.5	5.5	95.5	325.8	16.8	124.2	215.1	3.8	79.5
	% Share	%4.6	%0.4	%0.6	%5.6	%1.1	%0.8	%3.5	%0.2	%0.5
Others	**Value**	1818.0	356.6	2552.2	1586.4	343.9	2364.6	1611.8	302.5	2734.8
	% Share	%28.3	%27.1	%17.2	%27.0	%23.1	%15.8	%25.9	%17.7	%16.3
Grand Total	**Value**	**6410.8**	**1318.1**	**14881.2**	**5890.0**	**1487.2**	**14952.6**	**6228.7**	**1707.8**	**16826.7**
	% Share	**%100.0**	**%100.0**	**%100.0**	**%100.0**	**%100.0**	**%100.0**	**%100.0**	**%100.0**	**%100.0**

Source: Directorate General of Customs.

Table 5.6 Balance of Payments (Rial Omani Million)					
Items	2020	2021	2022	2023	2024 (Prel.)
Oil Prices	$46.0	$64.3	$95.4	$82.3	$81.2
Current account	**-4,830**	**-1,859**	**1,542**	**936**	**1,180**
Credit	14,014	18,607	26,967	25,577	27,638
Debit	18,844	20,466	25,425	24,641	26,458
Goods and services	**717**	**3,598**	**8,636**	**6,827**	**7,123**
Credit	13,723	17,907	26,585	25,141	27,218
Debit	13,007	14,309	17,949	18,315	20,095
Goods	**3,108**	**6,273**	**11,910**	**9,373**	**9,867**
Credit	12,861	17,049	25,271	22,896	25,051
Debit	9,752	10,775	13,360	13,523	15,184
General merchandise on a balance of payments basis	**3,108**	**6,273**	**11,910**	**9,373**	**9,867**
Credit	**12,861**	**17,049**	**25,271**	**22,896**	**25,051**
Oil	5,685	8,289	14,484	12,942	14,586
Crude Oil	5,054	7,185	11,656	9,834	9,908
Refined Oil	632	1,105	2,828	3,108	4,678
Gas	1,310	1,663	3,057	2,577	2,528
Non-oil Exports	4,093	5,778	6,411	5,890	6,229
Re-exports	1,773	1,319	1,318	1,487	1,708
Debit (Imports F.o.B)	**9,752**	**10,775**	**13,360**	**13,523**	**15,184**
Services	**-2,392**	**-2,676**	**-3,274**	**-2,547**	**-2,743**
Credit	862	858	1,315	2,245	2,167
Debit	3,254	3,534	4,589	4,792	4,911
Transport	**-938**	**-1,103**	**-1,455**	**-1,150**	**-1,375**
Credit	422	389	441	821	715
Debit	1,360	1,492	1,896	1,970	2,089
Travel	**-125**	**-244**	**-320**	**-133**	**-26**
Credit	175	155	554	962	1,000
Debit	300	399	874	1,095	1,026
Construction	**-198**	**-166**	**-169**	**-175**	**-170**
Credit	15	15	15	14	13
Debit	213	181	185	189	184
Insurance and pension services	**-420**	**-418**	**-464**	**-489**	**-535**
Credit	15	22	25	26	24
Debit	435	441	489	515	558
Financial services	**-134**	**-131**	**-145**	**-131**	**-141**
Credit	6	7	7	8	9
Debit	140	137	152	140	149
Telecommunications, computer, and information services	**-106**	**-96**	**-160**	**-92**	**-110**
Credit	91	93	100	163	151
Debit	197	189	260	255	261

Continued - Table 5.6 Balance of Payments (Rial Omani Million)					
Items	2020	2021	2022	2023	2024 (Prel.)
Other business services	**-470**	-518	-560	-377	-388
Credit	139	178	173	251	255
Debit	609	696	733	628	643
Primary income	**-2,156**	**-2,318**	**-3,589**	**-2,245**	**-2,371**
Credit	291	700	382	436	420
Debit	2,447	3,018	3,971	2,680	2,791
Compensation of employees	**15**	**15**	**15**	**15**	**15**
Credit	15	15	15	15	15
Debit	0	0	0	0	0
Investment income	**-2,171**	**-2,333**	**-3,604**	**-2,260**	**-2,386**
Credit	276	685	367	421	405
Debit	2,447	3,018	3,971	2,680	2,791
Direct investment	**-1,264**	**-1,518**	**-1,887**	**-1,070**	**-1,373**
Credit	18	17	89	28	12
Debit	1,283	1,535	1,975	1,098	1,385
Portfolio investment	**-261**	**155**	**-457**	**-656**	**-572**
Credit	163	610	184	162	122
Debit	424	455	641	818	694
Other investment	**-645**	**-970**	**-1,261**	**-533**	**-441**
Credit	94	58	94	230	271
Debit	740	1,028	1,355	764	712
Secondary income	**-3,391**	**-3,139**	**-3,505**	**-3,646**	**-3,573**
Credit	0	0	0	0	0
Debit	3,391	3,139	3,505	3,646	3,573
Financial corporations, nonfinancial corporations, households, and NPISHs	**-3,373**	**-3,121**	**-3,488**	**-3,627**	**-3,532**
Credit	0	0	0	0	0
Debit	3,373	3,121	3,488	3,627	3,532
Personal transfers	**-3,373**	**-3,121**	**-3,488**	**-3,627**	**-3,532**
Credit	0	0	0	0	0
Debit	3,373	3,121	3,488	3,627	3,532
Capital account	**69**	**15**	**4**	**-2**	**10**
Credit	80	24	14	12	20
Debit	11	8	10	14	10
Capital transfers	**69**	**15**	**4**	**-2**	**10**
Credit	80	24	14	12	20
Debit	11	8	10	14	10
Net lending (+) / net borrowing (-) (balance from current and capital account)	**-4,779**	**-1,844**	**1,546**	**934**	**1,190**

Continued - Table 5.6 Balance of Payments (Rial Omani Million)					
Items	2020	2021	2022	2023	2024 (Prel.)
Financial account	**-4,392**	**-2,218**	**1,260**	**539**	**809**
Net lending (+) / net borrowing (-) (balance from financial account)	**-4,392**	**-2,218**	**1,260**	**539**	**809**
Direct Investment	**-1,056**	**-2,909**	**-2,759**	**-4,892**	**-4,848**
Net acquisition of financial assets	**-322**	**454**	**-117**	**-68**	**-55**
Net incurrence of liabilities	**734**	**3,363**	**2,642**	**4,824**	**4,793**
Portfolio Investment	**-694**	**-1,532**	**563**	**2,787**	**1,726**
Net acquisition of financial assets	**520**	**392**	**-244**	**1,575**	**1,642**
Equity and investment fund shares	**734**	**644**	**-230**	**462**	**704**
Deposit-taking corporations, except central bank	0	0	0	0	0
Other sectors	734	644	-230	462	704
Debt securities	**-214**	**-252**	**-14**	**1,113**	**938**
Deposit-taking corporations, except central bank	26	-343	38	875	399
Other sectors	-240	90	-52	238	539
Net incurrence of liabilities	**1,215**	**1,924**	**-807**	**-1,212**	**-84**
Equity and investment fund shares	**432**	**196**	**111**	**-371**	**-378**
Deposit-taking corporations, except central bank	-28	-104	20	-15	-5
Other sectors	460	300	91	-356	-373
Debt securities	**783**	**1,728**	**-918**	**-841**	**294**
Deposit-taking corporations, except central bank	11	2	-129	-276	10
Government	772	1,208	-654	-774	-646
Other sectors	0	519	-135	209	929
Other Investment	**-1,838**	**1,035**	**3,881**	**2,678**	**3,734**
Net acquisition of financial assets	**-898**	**1,216**	**2,009**	**1,112**	**898**
Currency and deposits	-652	362	130	520	-226
Trade credit and advances	100	150	70	34	50
Loans	-152	-7	52	39	52
Other accounts receivable	-194	711	1,757	518	1,022
Net incurrence of liabilities	**940**	**181**	**-1,872**	**-1,567**	**-2,837**
Currency and deposits	-80	569	-335	127	-248
Trade credit and advances	-183	-150	136	98	32
Loans	1,173	-458	-1,553	-1,722	-2,274
Other accounts payable	27	-58	-101	-74	-336
Special drawing rights	4	278	-19	3	-10
Reserve assets	**-803**	**1,188**	**-424**	**-35**	**196**
Central Bank	-720	1,767	-800	-69	286
Government	-83	-578	375	34	-89
Net errors and omissions	**369**	**-374**	**-285**	**-394**	**-381**

Note: (1)From 2022, OIA assets are classified into liquid and illiquid components; reserve assets include only the liquid portion, while illiquid assets are allocated according to BoP classification. (2)Based on improved reporting of information through the annual survey, data in respect of foreign direct investment, other investment, and investment income flows have been revised considerably for past years. Since the coverage of the survey increases every year, with new respondents reporting data for past few years as well, this annual revision process may continue till the survey becomes comprehensive with full coverage.
* Source: Central Bank of Oman 2024

Table 5.7
International Investment Position (IIP)
(RO Million)

Items	2020	2021	2022	2023	2024 (Prel.)	% Change 2023/22	% Change 2024/23
IIP (NET)	**-10,217**	**-12,619**	**-11,672**	**-10,685**	**-8,690**	**-8.5**	**-18.7**
A. Assets	**33,371**	**36,801**	**37,683**	**40,749**	**43,973**	**8.1**	**7.9**
1. Direct investment	**2,047**	**4,075**	**3,898**	**3,848**	**3,810**	**-1.3**	**-1.0**
2. Portfolio investment	**5,506**	**7,741**	**7,479**	**9,105**	**11,049**	**21.7**	**21.4**
2.1 Equity and investment fund shares	3,897	6,384	6,136	6,649	7,655	8.4	15.1
2.1.1 Deposit-taking corporations, except the central bank	0	0	0	0	0	0	0
2.1.2 Other sectors	3,897	6,384	6,136	6,649	7,655	8.4	15.1
2.2 Debt securities	1,609	1,357	1,343	2,456	3,394	82.9	38.2
2.2.1 Deposit-taking corporations, except the central bank	1,093	750	789	1,664	2,063	111.0	24.0
2.2.2 Other sectors	516	607	554	792	1,331	42.9	68.0
3. Other investment	**12,999**	**14,165**	**16,175**	**17,288**	**18,186**	**6.9**	**5.2**
3.1 Currency and deposits	1,053	1,415	1,545	2,066	1,840	33.7	-10.9
3.2 Loans	163	156	209	250	302	19.7	20.6
3.3 Trade credit and advances	520	620	690	724	774	4.9	6.9
3.4 Other accounts receivable	11,263	11,974	13,730	14,249	15,270	3.8	7.2
4. Reserve assets	**12,819**	**10,819**	**10,131**	**10,509**	**10,929**	**3.7**	**4.0**
4.1 Central Bank	5,771	7,587	6,775	6,734	7,068	-0.6	5.0
4.2 Government Reserves	7,048	3,232	3,356	3,775	3,861	12.5	2.3
B. Liabilities	**43,589**	**49,420**	**49,355**	**51,435**	**52,663**	**4.2**	**2.4**
1. Direct investment	**14,479**	**17,967**	**20,584**	**25,399**	**30,157**	**23.4**	**18.7**
2. Portfolio investment	**15,726**	**17,727**	**16,917**	**15,748**	**15,056**	**-6.9**	**-4.4**
2.1 Equity and investment fund shares	4,357	4,631	4,738	4,410	4,066	-6.9	-7.8
2.1.1 Deposit-taking corporations, except the central bank	247	143	163	148	143	-9.3	-3.3
2.1.2 Other sectors	4,110	4,488	4,576	4,263	3,924	-6.8	-8.0
2.2 Debt securities	11,369	13,097	12,179	11,338	10,990	-6.9	-3.1
2.2.1 Deposit-taking corporations, except the central bank	825	826	698	422	432	-39.6	2.4
2.2.2 General government	9,199	10,407	9,753	8,979	8,333	-7.9	-7.2
2.2.3 Other sectors	1,345	1,864	1,728	1,938	2,225	12.1	14.8
3. Other investment	**13,384**	**13,726**	**11,854**	**10,287**	**7,450**	**-13.2**	**-27.6**
3.1 Currency and deposits	3,168	3,736	3,401	3,529	3,281	3.7	-7.0
3.2 Loans	8,524	8,066	6,513	4,791	2,517	-26.4	-47.5
3.3 Trade credit and advances	384	395	531	630	661	18.5	5.0
3.4 Other accounts payable	1,209	1,151	1,049	976	640	-7.0	-34.5
3.5 Special drawing rights	99	377	359	362	351	0.8	-2.8

Note: From 2021, OIA assets are classified into liquid and illiquid components; reserve assets include only the liquid portion, while illiquid assets are allocated according to IIP classification.

CHAPTER
CENTRAL BANK ACCOUNTS





ANNUAL REPORT 2024

Independent auditor's report to the Board of Governors of Central bank of Oman

Opinion

We have audited the financial statements of Central Bank of Oman ("the Bank"), which comprise the statement of financial position as at 31 December 2024, income statement, statement of changes in capital and reserves and statement of cash flows for the year then ended, and notes, comprising significant accounting policies and other explanatory information.

In our opinion, the accompanying financial statements are prepared in all material respects, in accordance with the accounting policies of the Bank described in note 2 to the financial statements and the Banking Law Royal Decree 2000/114.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Bank in accordance with the International Ethics Standards Board for Accountants International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in the Sultanate of Oman, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter - Basis of Accounting

We draw attention to Note 2 to the financial statements, which describes the basis of accounting. The financial statements are prepared to assist the Bank to comply with the requirements of the Banking Law Royal Decree 2000/114. As a result, the financial statements may not be suitable for another purpose. Our opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of the financial statements in accordance with the accounting policies of the Bank described in note 2 to the financial statements and the Banking Law Royal Decree 2000/114, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with Governance are responsible for overseeing the Bank's financial reporting process.

Independent auditor's report to the Board of Governors of Central bank of Oman (continued)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

KPMG
Muscat, Sultanate of Oman
15 September 2025

KPMG LLC
KPMG LLC
Children's Public Library Building
4th floor, Shatti Al Qurum
P O Box 641, PC 112
Sultanate of Oman
CR.No: 1358131

Central Bank of Oman Statement of Financial Position As at 31 December 2024

	2024	2023
ASSETS	**RO'000**	RO'000
Bullion	**233,993**	77,281
Reserve holdings abroad		
Foreign currency placements	**2,839,952**	2,820,684
Available-for-sale investments	**3,510,563**	3,360,137
Other assets	**120,531**	128,515
International Monetary Fund		
Reserve tranche	**80,005**	74,935
Currency quota	**203,651**	205,865
	283,656	280,800
Special drawing rights holdings	**378,681**	367,033
	662,337	647,833
Property and equipment	**61,446**	59,975
TOTAL ASSETS	**7,428,822**	7,094,425
LIABILITIES		
Currency in circulation	**1,427,811**	1,589,231
Deposits and current accounts	**3,559,346**	3,214,293
Employee benefits	**84,287**	50,646
Other liabilities	**50,417**	42,523
International Monetary Fund		
Non-interest bearing demand notes	**185,070**	189,153
Other accounts	**18,391**	17,126
	203,461	206,279
Special drawing rights allocation	**351,308**	361,529
	554,769	567,808
Total liabilities	**5,676,630**	5,464,501
CAPITAL AND RESERVES		
Capital	**1,000,000**	1,000,000
General reserve	**588,520**	555,281
Bond price fluctuation reserve	**62,500**	57,500
Currency fluctuation reserve	**38,000**	35,000
Currency valuation adjustment account	**94,585**	27,620
Financial assets valuation adjustment account on available-for-sale investments	**(46,702)**	-60,766
Capital in kind	**15,289**	15,289
Total capital and reserves	**1,752,192**	1,629,924
Total liabilities and capital and reserves	**7,428,822**	7,094,425

The financial statements were approved by the Board of Governers of the Central Bank of Oman on 13 April 2025 and were signed on their behalf by:

H.E. Ahmed Jaffer Salim Al Musalmi
The Governor

Abdulaziz Abdulrahman Said Al Manthari
Executive Vice President-Administration & Financial Affairs

The accompanying notes form an integral part of these financial statements.
Independent Auditors' report is set forth on page 1 - 3

Central Bank of Oman
Income statement
For the year ended 31 December 2024

	2024	2023
	RO'000	RO'000
Interest income	**260,532**	227,445
Interest expense	**(113,646)**	(104,790)
Net interest income	**146,886**	122,655
Other income	**(18,879)**	12,077
Operating income	**128,007**	134,732
Operating expenses		
Staff costs	**(27,732)**	(24,871)
Currency expenses	**(3,091)**	(3,550)
Administrative expenses	**(16,532)**	(15,083)
Contribution to Pension Fund	**(1,975)**	(4,657)
Depreciation on premises and equipment	**(3,537)**	(3,408)
Total operating expenses	**(52,867)**	(51,569)
Profit for the year	**75,140**	83,163

The accompanying notes form an integral part of these financial statements.
Independent Auditors' report is set forth on page 1 - 3

STATISTICAL APPENDIX





ANNUAL REPORT 2024

Table 1 Domestic and National Savings (Rial Omani Million)					
Items	2020	2021	2022	2023	2024*
1- GDP at Market Prices	29187.2	33576.0	42238.4	40824.2	41194.3
2- Total Final Consumption	20,503.9	20,625.4	21,931.6	23,113.1	23,834.4
3- Domestic Savings (1-2)	8,683.2	12,950.6	20,306.9	17,711.1	17,359.9
4- Net Factor Income (transfer)	-5546.9	-5456.9	-7089.8	-5890.9	-5943.5
5- National Savings (3-4)	3,136.3	7,493.7	13,212.6	11,820.2	11,416.3
6- Percent Of Domestic Savings to GDP (3/1)	29.8	38.6	48.1	43.4	42.1
7- Percent of National Savings to GDP (5/1)	10.7	22.3	31.3	29.0	27.7

* Provisional
Source : National Center for Statistics and Information

Table 2 Expenditure on Gross Domestic Product at Current Market Prices (Rial Omani Million)					
Items	2020	2021	2022	2023	2024*
1. Final Consumption Expenditure	**20503.9**	**20625.4**	**21931.6**	**23113.1**	**23834.4**
Households	12836.7	13162.8	14447.5	15390.0	16089.2
Government	7607.9	7434.4	7455.8	7694.3	7716.2
Non Profit Institutions	28.2	28.2	28.2	28.8	29.1
2. Gross Capital Formation**	**9215.7**	**9017.7**	**9691.0**	**9911.3**	**10519.4**
Building and Construction	6506.8	6494.2	7031.0	6938.7	6908.4
Machinery and Equipment	1510.9	1220.1	1231.2	1459.4	2009.8
Intangible Fixed Assets	1198.0	1303.4	1428.7	1513.2	1601.3
Change in Inventories	**-1249.3**	**335.2**	**1848.9**	**973.2**	**-283.1**
3.Net Exports of Goods & Services	**716.8**	**3596.9**	**8767.0**	**6826.6**	**7123.5**
GDP at Market Prices	**29187.2**	**33576.0**	**42238.4**	**40824.2**	**41194.3**

* Provisional
** It does not include change in inventories.
The data for 2022 was not available at the time of publication of this report.
Source: National Center for Statistics and Information

Table 3
Structure of Interest Rates on Commercial Banks Deposits
December 2024
(Rial Omani Thousands)

Rates of Interest (Per Annum)	Total Rial Omani Deposits				Total Foreign Currency Deposits				Total Deposits			
	No of A/Cs	%	Amount	%	No of A/Cs	%	Amount	%	No of A/Cs	%	Amount	%
NIL INTEREST	5,300,139	92.3	8,186,922	39.4	26,929	80.1	1,734,207	40.8	5,327,068	92.2	9,921,128	39.6
OVER 0% TO 2%	382,413	6.7	2,347,914	11.3	5,870	17.5	293,991	6.9	388,283	6.7	2,641,905	10.5
OVER 2% TO 3%	36,453	0.6	201,178	1.0	128	0.4	35,055	0.8	36,581	0.6	236,233	0.9
OVER 3% TO 4%	12,968	0.2	993,071	4.8	236	0.7	333,966	7.9	13,204	0.2	1,327,038	5.3
OVER 4% TO 5%	8,829	0.2	4,019,721	19.3	372	1.1	1,262,574	29.7	9,201	0.2	5,282,295	21.1
OVER 5% TO 6%	2,944	0.1	4,291,740	20.6	103	0.3	593,352	14.0	3,047	0.1	4,885,092	19.5
OVER 6% TO 7%	176	0.0	762,920	3.7	0	0.0	0	0.0	176	0.0	762,920	3.0
OVER 7% TO 8%	18	0.0	120	0.0	0	0.0	0	0.0	18	0.0	120	0.0
OVER 8% TO 9%	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0
OVER 9% TO 10%	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0
OVER 10% TO 11%	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0
OVER 11% TO 12%	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0
OVER 12%	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0
Total	**5,743,940**	**100**	**20,803,586**	**100**	**33,638**	**100.00**	**4,253,145**	**100**	**5,777,578**	**100**	**25,056,731**	**100**
Weighted Average Rate of Interest (%)			**2.547**				**2.468**				**2.533**	

Source: Central Bank of Oman

Table 4
Structure of Private Sector Time Deposits by Rate of Interest and Maturity
December 2024
(Rial Omani Thousands)

Rates of Interest (Per Annum)	7 Days to Less than 6 Months			6 Months to Less than 1 Year			1 Year and Above			Total		
	Rial Omani	Foreign Currency	Total	Rial Omani	Foreign Currency	Total	Rial Omani	Foreign Currency	Total	Rial Omani	Foreign Currency	Total
NIL INTEREST	0	1	1	11	0	11	1,872	0	1,872	1,883	1	1,884
OVER 0% TO 2%	16,376	48,232	64,608	2,269	646	2,915	726,428	9,538	735,966	745,072	58,417	803,489
OVER 2% TO 3%	14,004	8,950	22,955	5,129	410	5,539	16,424	9,238	25,662	35,557	18,599	54,156
OVER 3% TO 4%	70,129	4,211	74,340	18,813	3,352	22,165	168,114	122,778	290,891	257,056	130,341	387,396
OVER 4% TO 5%	116,180	7,529	123,708	214,625	11,509	226,134	843,387	183,047	1,026,433	1,174,191	202,084	1,376,276
OVER 5% TO 6%	34,896	322	35,218	47,399	3,853	51,252	1,843,257	431,716	2,274,973	1,925,552	435,891	2,361,443
OVER 6% TO 7%	0	0	0	0	0	0	465,050	0	465,050	465,050	0	465,050
OVER 7% TO 8%	0	0	0	0	0	0	0	0	0	0	0	0
OVER 8% TO 9%	0	0	0	0	0	0	0	0	0	0	0	0
OVER 9% TO 10%	0	0	0	0	0	0	0	0	0	0	0	0
OVER 10% TO 11%	0	0	0	0	0	0	0	0	0	0	0	0
OVER 11% TO 12%	0	0	0	0	0	0	0	0	0	0	0	0
OVER 12%	0	0	0	0	0	0	0	0	0	0	0	0
Total	**251,584**	**69,245**	**320,829**	**288,246**	**19,771**	**308,017**	**4,064,532**	**756,316**	**4,820,849**	**4,604,362**	**845,332**	**5,449,695**
Weighted Average Rate of Interest (%)	**4.021**	**1.747**	**3.530**	**4.536**	**4.369**	**4.525**	**4.505**	**4.840**	**4.558**	**4.481**	**4.576**	**4.495**

Source: Central Bank of Oman

Table 5
Structure of Interest Rates on Commercial Banks Credit
December 2024
(Rial Omani Thousands)

Rates of Interest (Per Annum)	Total R.O. Lending				Total Foreign Currency Lending				Total Lending (R.O. + Fcy.)			
	No of A/Cs	%	Amount	%	No of A/Cs	%	Amount	%	No of A/Cs	%	Amount	%
NIL INTEREST	17,626	2.2	145,027	0.7	114	3.3	17,146	0.5	17,740	2.2	162,173	0.6
OVER 0% TO 2%	1,622	0.2	249,370	1.1	358	10.5	4,730	0.1	1,980	0.2	254,100	1.0
OVER 2% TO 4%	26,826	3.3	1,411,116	6.3	35	1.0	892	0.0	26,861	3.3	1,412,008	5.5
OVER 4% TO 5%	156,938	19.2	5,213,768	23.4	510	14.9	200,250	6.0	157,448	19.2	5,414,018	21.2
OVER 5% TO 7%	349,858	42.8	12,708,023	57.1	296	8.7	1,725,514	52.1	350,154	42.7	14,433,537	56.5
OVER 7% TO 8%	91,715	11.2	1,871,093	8.4	2,026	59.3	918,807	27.7	93,741	11.4	2,789,900	10.9
OVER 8% TO 9%	4,665	0.6	264,296	1.2	38	1.1	370,424	11.2	4,703	0.6	634,719	2.5
OVER 9% TO 10%	424	0.1	45,287	0.2	4	0.1	75,155	2.3	428	0.1	120,443	0.5
OVER 10% TO 11%	2,654	0.3	51,178	0.2	21	0.6	4	0.0	2,675	0.3	51,181	0.2
OVER 11% TO 12%	2,532	0.3	120,904	0.5	0	0.0	0	0.0	2,532	0.3	120,904	0.5
OVER 12% TO 13%	97	0.0	9,701	0.0	0	0.0	0	0.0	97	0.0	9,701	0.0
OVER 13% TO 14%	1,024	0.1	9,385	0.0	0	0.0	0	0.0	1,024	0.1	9,385	0.0
OVER 14% TO 15%	1,023	0.1	6,638	0.0	0	0.0	0	0.0	1,023	0.1	6,638	0.0
OVER 15% TO 16%	470	0.1	2,819	0.0	2	0.1	0	0.0	472	0.1	2,819	0.0
OVER 16% TO 17%	4	0.0	0	0.0	1	0.0	27	0.0	5	0.0	27	0.0
OVER 17% TO 18%	159,355	19.5	132,664	0.6	10	0.3	24	0.0	159,365	19.4	132,688	0.5
OVER 18% TO 20%	260	0.0	578	0.0	0	0.0	0	0.0	260	0.0	578	0.0
OVER 20%	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0
Total	**817,093**	**100**	**22,241,847**	**100**	**3,415**	**100**	**3,312,973**	**100**	**820,508**	**100**	**25,554,820**	**100**
Weighted Average Rate of Interest (%)		**5.645**				**6.645**				**5.775**		

Source: Central Bank of Oman

Table 6
Structure of Private Sector Credit by Rate of Interest and Maturity
December 2024
(Rial Omani Thousands)

Rates of Interest (Per Annum)	Overdraft			Credit Cards			Other Loans and Advances						Total	
							Less than 1 Year			1 Year and above				
	Rial Omani	Foreign Currency	Total	Rial Omani	Foreign Currency	Total	Rial Omani	Foreign Currency	Total	Rial Omani	Foreign Currency	Total	Rial Omani	Foreign Currency
NIL INTEREST	36,676	771	37,446	775	0	775	11,560	5,489	17,049	96,016	10,887	106,903	145,026	17,146
OVER 0% TO 2%	185,078	211	185,289	18	0	18	7,559	4,262	11,821	56,703	257	56,960	249,358	4,730
OVER 2% TO 4%	14,525	535	15,060	535	0	535	33,811	357	34,168	709,752	0	709,752	758,623	892
OVER 4% TO 5%	38,558	169	38,727	0	0	0	278,398	124,062	402,460	3,665,595	76,019	3,741,614	3,982,551	200,250
OVER 5% TO 7%	436,988	20,430	457,417	1,728	0	1,728	1,646,586	109,468	1,756,053	9,271,067	703,949	9,975,015	11,356,368	833,846
OVER 7% TO 8%	131,477	2,648	134,125	2,098	0	2,098	183,766	58,911	242,678	1,535,624	572,495	2,108,119	1,852,966	634,055
OVER 8% TO 9%	15,416	0	15,416	328	0	328	90,596	6,791	97,388	157,955	280,735	438,690	264,296	287,526
OVER 9% TO 10%	3,638	0	3,638	0	0	0	11,224	11	11,235	30,425	75,144	105,569	45,287	75,155
OVER 10% TO 11%	43,149	4	43,153	0	0	0	831	0	831	7,197	0	7,197	51,178	4
OVER 11% TO 12%	82,399	0	82,399	193	0	193	640	0	640	37,672	0	37,672	120,904	0
OVER 12% TO 13%	6,434	0	6,434	43	0	43	1,068	0	1,068	2,156	0	2,156	9,701	0
OVER 13% TO 14%	4,101	0	4,101	80	0	80	8	0	8	5,196	0	5,196	9,385	0
OVER 14% TO 15%	6,199	0	6,199	439	0	439	0	0	0	0	0	0	6,638	0
OVER 15% TO 16%	2,819	0	2,819	0	0	0	0	0	0	0	0	0	2,819	0
OVER 16% TO 17%	0	27	27	0	0	0	0	0	0	0	0	0	0	27
OVER 17% TO 18%	0	0	0	128,163	24	128,187	4,465	0	4,465	3	0	3	132,631	24
OVER 18% TO 20%	0	0	0	578	0	578	0	0	0	0	0	0	578	0
OVER 20%	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	**1,007,456**	**24,794**	**1,032,250**	**134,979**	**24**	**135,003**	**2,270,513**	**309,351**	**2,579,864**	**15,575,360**	**1,719,486**	**17,294,846**	**18,988,308**	**2,053,655**
Weighted Average Rate of Interest (%)	**5.803**	**5.868**	**5.804**	**16.999**	**17.500**	**16.999**	**5.992**	**5.560**	**5.940**	**5.654**	**6.955**	**5.783**	**5.783**	**6.732**

Source: Central Bank of Oman

Table 7
Licensed Banks In the Sultanate of Oman
(As at 31 December, 2024)

Name of the Banks	Date Of Establishment	Authorised Offices	Operating Offices
Local Banks			
1. National Bank of Oman	1973	58	58
2. Oman Arab Bank	1973	50	50
3. Bank Muscat	1981	158	158
4. Bank Dhofar	1990	107	107
5. Bank Sohar International	2007	30	30
6. Al Ahli Bank	1997	25	25
7. Oman Investment Bank	2024	1	1
Foreign Banks			
1. Standard Chartered Bank	1968	1	1
2. Bank Melli Iran	1974	1	1
3. First Abu Dhabi Bank	1976	7	7
4. Bank Saderat Iran	1976	2	2
5. Bank of Baroda	1976	1	1
6. State Bank of India	2004	1	1
7. Bank of Beirut	2006	1	1
8.Qatar National Bank	2007	5	5
9.Gulf International Bank	2024	1	1
10.AL Masherq Bank	2024	1	1
11. HSBC Middle East	2024	1	1
Specialised Banks			
1. Oman Housing Bank	1977	9	9
2. Oman Development Bank	1977	19	19
Islamic Banks & Wndows			
1. Bank Nizwa	2012	23	23
2. Al Izz Islamic Bank	2013	18	18
3. BM-Meethaq	2013	32	32
4. NBO - Muzn	2013	7	7
5. BD - Dhofar Islamic	2013	25	25
6. AHB -Ahli Islamic	2013	25	25
7. BS - Sohar Islamic	2013	20	20
Total		**629**	**629**

Source: Central Bank of Oman

Table 8 Balance Sheet of Oman Housing Bank SAOC (Rial Omani Thousands)		
	December 2023	December 2024
Assets		
Cash and Bank balances	15,238	14,814
Term deposit	0	19,000
Mortgage loan accounts	769,987	858,503
Other assets	2,928	180
Property and equipment	3,476	4,357
Total assets	**791,629**	**896,854**
Liabilities and Equity		
A. Liabilities		
Due to Banks	35,000	31,092
Customers' deposits	122,423	225,137
Other liabilities	22,268	16,867
Loan from Arab Fund for Economic & Social Development	112,900	111,541
Loans from the Government	143,830	145,879
Loans from a Bank	18,750	16,652
Total Liabilities	**455,171**	**547,168**
B. Equity		
Share capital	100,000	100,000
Legal reserve	32,571	33,334
Special reserve	78,251	82,480
Impairment reserve	9,202	9,822
Revaluation reserve	2,287	2,287
Retained earnings	114,147	121,763
Total equity	**336,458**	**349,686**
Total liabilities and equity	**791,629**	**896,854**
Mortgage Loan Commitments	**40,671**	**52,168**

Source: Oman Housing Bank SAOC

Table 9 Balance Sheet of Oman Development Bank SAOC (Rial Omani Thousands)		
	December 2023	December 2024
Assets		
Cash and balances with Central Bank of Oman	1,673	2,517
Balances due from other banks	8,170	24,646
Loans and advances to costomers	203,018	246,524
Investments	10,905	8,788
Staff housing loans	857	789
Receivable from Government	2,907	2,550
Property and equipment	1,657	1,593
Prepayments and other receivables	524	834
Total assets	**229,711**	**288,240**
Liabilities and Shareholders' Equity		
Liabilities		
Customer Deposits(Izdihar)	533	530
Payable to Government	1,121	1,265
Payable and accruals	8,033	10,437
Borrowings	48,292	59,241
Total liabilities	**57,978**	**71,474**
Shareholders' Equity		
Share capital	100,000	140,000
Legal reserve	8,703	9,199
Investment revaluation reserve	133	660
Special reserve	5,541	5,541
Impairement IFRS 9 Reserve	0	0
Retained earnings	57,355	61,365
Total shareholdres' Equity	**171,733**	**216,766**
Total liabilities and shareholders' Equity	**229,711**	**288,240**
Net assets value per share	**1.717**	**1.548**
Commitments and contingencies	**41,395**	**67,714**

Source: Oman Development Bank

